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विश्वविद्यालय एवं स्वशासी
महाविद्यालयों के विद्यार्थियों हेतु



विश्वविद्यालय प्रकाशन (रजि.)

ग्वालियर द्वारा प्रकाशित

20 प्रश्न

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(परीक्षोपयोगी महत्वपूर्ण मॉडल प्रश्नोत्तर)

A reliable book based on the
prescribed unified syllabus as per
the new National Education Policy.

असली पुस्तक की
पहचान

Financial Accounting

[Major-1]

B.Com. First Year



प्रकाशक



विश्वविद्यालय प्रकाशन (रजिस्टर्ड)

महादजी पार्क, हरिदर्शन विद्यालय मार्ग, ग्वालियर-474 009 (मध्य प्रदेश)

Unit-3. Branch Accounts and Departmental Accounts.
Standard - 6), Royalty Accounts.

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Unit-4. Accounting of Non-Profit Organisations and Investment Accounts.

Unit-5. Computerised Accounts by using any popular accounting software e.g. Talley. Creating a company, Configure and Features setting, Creating accounting ledgers and groups, creating stock items and groups, Vouchers entries, generating report - Cash Book, Ledger Accounts, Trial Balance, Profit and Loss Account and Balance Sheet.



Assessment and Evaluation

Suggested Continuous Evaluation Methods

Maximum Marks : 100 Continuous Comprehensive Evaluation (CCE): 30 Marks University Exam (UE): 70 Marks		
Internal Assessment: Continuous Comprehensive Evaluation (CCE): 30	Class Test Assignment/Presentation/Quiz/ Peer Teaching	30 Marks
External Assessment: University Exam: 70	Section (A) : Multiple Choice Questions Section (B) : Short Questions Section (C) : Long Questions	70 Marks
		Total Marks 100

Note : In the Examination, some short answer questions will also be asked. So the students are advised to go through all the long answer questions thoroughly as given in this book and write down the answer as much as needed/asked in the question paper.

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UNIT-I

Long and Short Answer type Questions :

Q.1. What are the merits of Ancient Indian accounting system?

Ans. Ancient Indian accounting systems, while rudimentary compared to modern methods, offered several significant advantages, including their hands-on approach, low technology dependency, and the ability to be used in environments lacking advanced tools. These systems provided a foundation for later developments and demonstrated the importance of record-keeping for managing various aspects of life, from trade to temple administration. Here are some merits:

- 1. Reliability and Long History :** The enduring nature of these systems, dating back centuries, suggests their reliability and practicality in managing various aspects of economic activity. Their long history provides evidence of their ability to withstand the test of time and adapt to changing economic conditions.
- 2. Low Technology Dependency :** The use of manual methods, like ledgers and tokens, meant that these systems could be implemented in environments where technology was limited or unavailable. This hands-on approach offered a direct link between the transaction and the record, allowing for a more intuitive understanding of financial processes.
- 3. Hands-On Approach :** Some individuals find the tactile nature of manual accounting methods to be more engaging and beneficial for learning and retention. The direct manipulation of records could foster a greater sense of ownership and responsibility for financial management.
- 4. Evidence of Early Accounting Practices :** Evidence of accounting principles can be traced back to ancient Indian literature, demonstrating the early recognition of the importance of record-keeping. The Smriti literature, for example, outlines regulations for exchanging goods and services, showcasing the awareness of financial transactions.
- 5. Management of Large-Scale Operations :** Temples and other large-scale institutions relied on detailed accounting practices to manage their finances, highlighting the importance of record-keeping in complex environments.

This suggests that the need for accurate and organized financial management extended beyond simple transactions to encompass large-scale operations.

- 6. Basis for Future Developments :** The early accounting systems in India likely influenced the development of more sophisticated methods, including double-entry bookkeeping, which was later adopted in other parts of the world.

The knowledge and practices of ancient Indian accounting laid the groundwork for the evolution of modern accounting systems.

Q.2. What are the demerits of Ancient Indian accounting system?

Ans. Ancient Indian accounting practices, while sophisticated for their time, had limitations. They primarily relied on manual record-keeping, which was prone to errors and time-consuming. Additionally, the focus on monetary transactions meant non-financial factors weren't considered, potentially hindering a complete understanding of business performance.

Here are some demerits :

1. Reliance on Manual Systems :

- (i) **Data Entry Errors:** Manual entry of data, including accounts and transactions, was susceptible to human mistakes, increasing the likelihood of inaccurate records.
- (ii) **Time-Consuming:** The manual nature of record-keeping was labour-intensive and time-consuming, especially for large businesses or complex transactions.
- (iii) **Data Redundancy:** The physical nature of records could lead to duplication of information, making it difficult to manage and potentially increasing the risk of errors.

2. Lack of Standardization and Automation:

- (i) **Inconsistency:** The absence of standardized accounting practices across different businesses and regions could lead to inconsistencies in reporting and financial analysis.
- (ii) **Limited Reporting Capabilities:** Manual systems restricted the ability to generate comprehensive and timely financial reports, potentially hindering decision-making.
- (iii) **Absence of Automated Systems:** The lack of automated systems meant that there was no real-time data processing or error checking, which could have been useful for efficiency and accuracy.

3. Focus on Monetary Transactions:

- (i) **Omission of Non-Financial Factors:** Ancient Indian accounting primarily focused on recording transactions in monetary terms, neglecting non-financial factors like employee

morale, customer satisfaction, or brand reputation, which are essential for long-term business success.

- (ii) **Limited Financial Analysis:** The focus on monetary transactions limited the ability to conduct thorough financial analysis and make informed business decisions based on a comprehensive understanding of the company's performance.

4. Lack of Modern Tools and Techniques:

- (i) **No Sophisticated Auditing:** The absence of modern auditing techniques and procedures made it difficult to ensure the accuracy and reliability of financial records.
- (ii) **Limited Access to Information:** The limited ability to generate and share financial information restricted the ability to monitor performance and track progress over time.
- (iii) **Inability to Adapt to Dynamic Environments:** The rigid and manual nature of the accounting system made it difficult to adapt to changes in the business environment, which could hinder growth and competitiveness.

Q.3. How would you compare Ancient Indian accounting system with the English accounting system?

Ans. Ancient Indian and English accounting systems, while sharing the foundational concept of tracking financial transactions, diverge in their historical evolution and specific practices: While the ancient Indian system, particularly the "Bahi Khata", pre-dates the English system and influenced its development, particularly the double-entry bookkeeping, modern English accounting, with its formalized standards like IFRS, has become significantly more complex and standardized.

Ancient Indian Accounting System:

- (i) **Bahi Khata:** This double-entry book keeping system, originating in India, predates similar systems in other parts of the world, including Europe.
- (ii) **Early Practice:** The system was used for various purposes, including commercial transactions, land records, and government revenue collection.
- (iii) **Evolution:** While the Bahi Khata system was sophisticated for its time, its evolution was not as formalized as later European accounting practices.

English Accounting:

- (i) **Medieval Developments:** English accounting practices developed alongside the growth of trade and commerce in Europe, influenced by the Bahi Khata system.
- (ii) **Formalization:** The 15th-century Italian Luca Pacioli is credited with formally publishing the double-entry bookkeeping system in his "Summa," which then spread through Europe.

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(iii) **Standardization:** Modern English accounting, with its emphasis on standardized financial reporting, is heavily influenced by International Financial Reporting Standards (IFRS), a global standard setting body.

Key Differences:

(a) **Formalization:** Ancient Indian accounting systems lacked the formal standards and regulations that characterize modern accounting.

(b) **Complexity:** Modern English accounting, driven by the need for accurate financial reporting and regulatory compliance, is significantly more complex.

(c) **Scope:** While ancient systems focused on specific transactions and records, modern accounting encompasses a wider range of financial information, including financial statements, tax reporting, and internal control systems.

(d) **Technology:** Modern accounting relies heavily on technology for recording and processing transactions, while ancient systems used manual methods.

Q.4. Explain the Ancient Indian Accounting System and discuss its major merits.

Ans. The Ancient Indian Accounting System is one of the earliest known systems of record-keeping in the world. References to accounting practices are found in ancient texts such as **Kautilya's Arthashastra**, which described methods of maintaining records of revenues, expenditures, and inventories during the Mauryan Empire. Merchants and traders also used systematic ways of recording financial transactions to keep track of their business dealings. The system relied on **Bahi-Khata** or **Lekhajokha**, which were handwritten ledgers maintained on paper or palm leaves.

One of the biggest merits of this system was its **simplicity**. It did not require highly technical knowledge, and even small traders could maintain their accounts. It was also a **trust-based system**, where accounting records were closely linked to the reputation and honesty of the trader. Another strength was its **adaptability** to the needs of local businesses. For example, farmers, artisans, and shopkeepers used modified versions of Bahi-Khata to suit their business needs.

Additionally, the system ensured **clarity of ownership and obligations**. Debtors and creditors were clearly recorded, which reduced disputes in trade. It also supported **tax collection** and the smooth functioning of markets, showing that financial accountability was important even in ancient economies.

However, the key merit lies in its **cultural relevance**. The system was deeply integrated into Indian social and commercial practices, making it

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user-friendly for communities. Even today, in rural and traditional settings, one can still find Bahi-Khata practices in use.

In summary, the Ancient Indian Accounting System laid the **foundation of modern financial recording** by encouraging discipline, clarity, and fairness in financial matters. Its merits highlight that accounting has always been central to trade and governance, even thousands of years ago.

Q.5. What were the demerits of the Ancient Indian Accounting System?

Ans. While the Ancient Indian Accounting System had many strengths, it also had several limitations that prevented it from becoming a universal or advanced framework.

The first major demerit was **lack of standardization**. There was no single uniform system across regions. Traders and kingdoms often developed their own styles of recording, which made it difficult to compare or consolidate accounts across different places. This caused confusion in inter-regional trade.

Another drawback was the **absence of double-entry bookkeeping**, which later became the backbone of the English system. The Indian method largely followed a **single-entry approach**, focusing mainly on cash inflows and outflows. This limited the accuracy of profit calculations and the ability to track assets and liabilities in detail.

The system also faced issues with **fraud and errors**. Since records were manually maintained on Bahi-Khata and relied heavily on the honesty of the person writing them, manipulation of data was possible. Unlike modern auditing, there were no strict checks and balances.

Preservation of records was another problem. Palm leaves, cloth, or handmade paper used in writing were not durable, leading to loss of data over time. This affected historical accuracy and long-term reference.

Another limitation was **incompatibility with complex business models**. The system was designed for small merchants and localized trade. As economies grew larger, involving corporations, joint ventures, and multinational trade, the ancient Indian system could not cope with the growing complexities.

In essence, the demerits highlight that while the system was suitable for its time, it could not evolve with the same efficiency as the later English system. It lacked sophistication, reliability, and adaptability to large-scale modern business requirements.

Q.6. Compare the Ancient Indian Accounting System with the English System of Accounting.

Ans. The Ancient Indian Accounting System and the English System of Accounting represent two different stages of the evolution of financial management.

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The **Ancient Indian System** was mostly based on **single-entry bookkeeping**, where only one side of transactions (cash or goods movement) was recorded. The English system, on the other hand, introduced **double-entry bookkeeping**, where every transaction had two aspects – debit and credit. This made the English system more reliable and accurate.

In the Indian method, the **Bahi-Khata** was maintained in a very simple and traditional format. It was designed for small-scale transactions and heavily dependent on local trust and reputation. In contrast, the English system introduced a **structured approach with ledgers, journals, and trial balances**, which allowed businesses to scale and operate globally.

Accuracy was another point of difference. The Indian system was prone to **errors and manipulations** due to lack of verification mechanisms. The English system included checks like balancing ledgers and reconciling accounts, which made fraud detection easier.

The Indian system had **cultural and social relevance**, whereas the English system had **universality**. With colonization and industrialization, the English method spread worldwide, becoming the standard.

Despite these differences, the Indian system cannot be dismissed, as it provided the **foundation** for disciplined financial practices. However, in terms of reliability, scalability, and auditability, the English system clearly outperformed it, which is why it became the global standard.

Q.7. Describe the nature and purpose of the initial accounting books.

Ans. The initial accounting books, often referred to as **primary books of entry**, are the records where all business transactions are first noted before being classified and summarized. In the Ancient Indian context, this was the **Bahi-Khata** or ledger maintained by merchants. In the English system, these evolved into **journals and subsidiary books**.

The **nature** of initial accounting books is that they are chronological, meaning entries are made in the order they occur. They serve as the most authentic evidence of a transaction taking place. They are also detailed, capturing the date, parties involved, amount, and nature of the transaction.

The **purpose** of these books is manifold. First, they provide a **systematic record** of all business dealings, reducing the possibility of forgetting or overlooking a transaction. Second, they serve as the **basis for preparing ledgers**, trial balances, and final accounts. Without these books, the entire accounting process would lack structure.

Another important purpose is to **provide evidence in case of disputes**. For example, if a debtor denies payment, the entry in the Bahi-

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Khata or journal acts as proof. They also help in **analysis of business trends**, as one can trace sales, purchases, or expenses over a period.

In the modern context, initial accounting books have evolved into **computerized entries in ERP systems** or accounting software, but the principle remains the same: they are the **starting point of the accounting cycle**.

Thus, the nature and purpose of these books highlight their importance in both traditional and modern systems, proving that systematic recording is the backbone of commerce and finance.

Q.8. Write a note on 'Nature of initial accounting books in India.'

Ans. In India, initial accounting books, also known as books of original entry or primary books, serve as the foundational records for all financial transactions. These books systematically and chronologically record business activities, forming the basis for the entire accounting process. Common types include the Cash Book, Sales Journal, Purchase Journal, and General Journal, each designed for specific transaction types.

The nature of these books are as follows:

1. Books of Original Entry:

(i) **Definition:** These are the initial records where transactions are first recorded, forming the basis for subsequent accounting processes.

(ii) **Purpose:** They provide a chronological and detailed record of all financial transactions, ensuring accuracy and traceability.

Examples:

Cash Book: Records cash receipts and payments.

Sales Journal: Records credit sales of goods.

Purchase Journal: Records credit purchases of goods.

General Journal: Records transactions that don't fit into other special journals.

Sales Return Book: Records goods returned by customers.

Purchase Return Book: Records goods returned to suppliers.

Bills Receivable Book: Records promissory notes received from customers.

Bills Payable Book: Records promissory notes issued to suppliers.

2. Subsidiary Books:

(i) **Definition:** These are specialized journals that record transactions related to specific types of business activities.

(ii) **Purpose:** They streamline the recording process by segregating transactions, making it easier to track and analyze specific areas of the business.

Examples:

Purchase Book: Records all credit purchases of goods.

Sales Book: Records all credit sales of goods.

Return Inwards Book: Records sales returns from customers.

Return Outwards Book: Records purchase returns to suppliers.

3. Nature of Books of Original Entry:

(i) **Chronological:** Transactions are recorded in the order they occur.

(ii) **Detailed:** Each transaction is recorded with all relevant details, such as date, account names, amounts, and a brief description.

(iii) **Originality:** They represent the initial record of the transaction, serving as the foundation for subsequent accounting processes.

(iv) **Accuracy:** Proper maintenance of these books is crucial for ensuring the accuracy and reliability of financial records.

4. Importance of Books of Original Entry:

(i) **Foundation of Accounting:** They form the basis for all subsequent accounting activities, including the preparation of financial statements.

(ii) **Legal Compliance:** They provide a record of transactions that can be used for tax and legal purposes.

(iii) **Internal Controls:** They help to ensure the accuracy and reliability of financial records, contributing to internal control systems.

(iv) **Decision-Making:** They provide information that can be used to make informed business decisions.

Q.9. Describe briefly 'the concept of Double Entry System'.

Or

Explain the meaning of 'Double Entry System' and discuss its advantages.

Or

What do you mean by Double Entry System? Discuss its characteristics.

Or

'Each Transaction has double aspects.' Explain the statement with suitable examples.

Or

Discuss fully the statement, 'Every debit has a corresponding credit and every credit has a corresponding debit'.

Or

'For every debit amount there is a corresponding credit amount under Double Entry System of Accounting.' Explain this statement with examples.

Ans. Meaning of Double Entry System : Business transaction are recorded in the books of accounts on the basis of Double Entry System.

This system of Accounting was invented in 1494, in Venice by Lucas Pacioli. Later, it was developed in England. The System is based upon the fact that there are two aspects of every business transaction. Every transaction involves at least two persons, parties or accounts. This is an established fact that there cannot be any receiver unless there is giver. To explain it further we can say that if something comes into one business, it will definitely go out from other business. In the same way if there is loss for someone, it will definitely be gain for someone. This proves an established truth 'Somebody's loss is another body's gain'. Every business transaction has two aspects. Recording dual aspects of business transactions in terms of debit and credit is Double Entry System.

Definition : Eminent authors have defined Double Entry System differently. Some of the important definitions are the following—

(1) According to **William Pickles**, 'The system of Book-Keeping which is almost universally employed is that whereby every debit has a credit. This is known as the Double Entry System'.

(2) According to **J.R. Batliboi**, 'Every business transaction has a two fold effect and that effects two accounts in opposite directions, and if a complete record were to be made of each such transaction, it would be necessary to debit one account and credit another account. It is this recording of two-fold effect of every transaction that has given rise to the term, 'Double Entry.'

Characteristics of Double Entry System

(1) **Every business transaction affects two Accounts :** Under this system, each transaction affects two accounts. One of them is debited and the other is credited. Certain transactions may involve more than two accounts but the amount of the accounts to be debited and credited will always be equal.

(2) **Definite rules :** The system is based upon universally accepted accounting concepts and conventions which we follow while maintaining our books of accounts.

(3) **Recording of Personal and Impersonal Aspects :** Under this system, both the aspects of personal and impersonal accounts are recorded. Thus, this system is more scientific and reliable.

(4) **Scientific System :** It is based on certain fixed principles and a definite object is attained at the end.

(5) **Arithmetical Accuracy is Tested :** In this system, every transaction has two fold effect-one account is debited and the other account is credited with the same amount. Hence the total of debit side of all accounts must be equal to the total amount of all the accounts of the credit side.

Principles of Double Entry System

transaction has double Aspects : A business transaction always requires two parties for performance, and means either the receipt of a benefit in shape of cash, goods or service, or the imparting of such benefit. In order, therefore, to clearly indicate whether any particular transaction has resulted in the receipt of a benefit or the imparting of a benefit, it has been found necessary to divide each account into two one for benefit received and the other for benefit imparted.

(1) **Every transaction is recorded at two Places** : Every transaction is required to be recorded at two places, on the debit side of one account and also on the credit side of another account or accounts. In order to decide which account is to be debited and which credited, the accounts are broadly classified into the following three categories :

(i) **Personal Accounts** : An account opened in the name of a person, firm or Company is called the personal account. The separate account is kept in respect of each person on firm whom the trader has business dealings. In the case of personal account, the rule of double entry is : 'Debit the Receiver and Credit the Giver.'

(ii) **Real Accounts** : Items representing the properties of the trader are called real accounts e.g., furniture, cash, stock, building, investments etc. The rule of Double Entry is : 'Debit what comes in, and credit what goes out.'

(iii) **Nominal Accounts** : Nominal accounts record a trader's expenses, incomes, gains and losses, etc., e.g., rent, wages, discount interest, carriage, etc. The rule of Double Entry is : 'Debit expenses and losses, credit incomes and gains.'

(3) **Effect on opposite sides of Accounts** : According to Double entry system, every business transaction has a two-fold effect and that it effects two accounts in opposite directions, and as such it would be necessary to debit one account and credit another account or accounts with the same amount and vice-versa.

Thus, 'Every debit must have its corresponding credit, and every credit must have its corresponding debit.'

(4) **Record of transaction at three Stages** : Under Double Entry System all business transactions are recorded at three stages : (i) Recording of transactions in chronological order in books of original entry i.e., Journal or Subsidiary Books; (ii) Classified accounts i.e., Ledger; and (iii) Final Accounts.

Advantages : The following are the advantages of Double Entry System:

1. **Complete and Scientific System** : In comparison to other systems of Accounting, Double Entry System is more complete

and scientific. Therefore, this system is followed all over the world by medium and big business houses.

2. **Brings into record both the Aspects** : It brings into record both the aspects of every transaction, the personal as well as the impersonal.

3. **Arithmetical accuracy of the books Tested** : As a result of accuracy of the books can be proved by means of a Trial Balance.

4. **Comparative study of Accounts Possible** : By a comparative study of profit and Loss accounts and Balance sheets of various years, a trader can draw conclusions regarding firm's progress; resultantly necessary control over business activities can be exercised.

5. **Less possibility of Fraud etc.** : Proper accounting not only prevents frauds and discovers errors, it also discovers frauds. It can work well with the help of internal check system.

6. **Provides reliable and important Information** : As most accurate and detailed information about various items of expenses and losses, incomes and gains, and assets and liabilities is available, the trader can control the business effectively.

7. **System is Elastic** : According to the firm and size of the business, the required number of books can be kept. If the business increases or decreases accordingly the number of account books may also be increased or decreased.

8. **Helps in ascertaining Profit and Loss and Financial Position** : It helps towards the ascertainment of the trader's profit or loss and financial position by preparing Trading and Profit & Loss Account and Balance sheet.

Disadvantages : The following are the disadvantages of Double Entry System :

(1) **Suitable only to big Business Houses** : To a retailer or a middle size business double entry system becomes a burden, because their transactions are often limited.

(2) **Requires Special Knowledge** : To understand the principles of Double Entry System one must be well educated and have a practical experience to get efficiency in accounts.

(3) **Lack of Economy** : If a trader keeps limited member of account books, even then he has to incur more expenditure over registers of various type and account books.

(4) **Difficulty of Proper Control and Supervision** : A trader who is uneducated or having a simple knowledge cannot supervise well or keep control over the activities of his clerical staff and accounts.

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- (5) **Difficult to know the Compensating Errors** : When any compensating error takes place it becomes difficult to find such errors.

Golden Rules of Double Entry System : Under Double Entry System one aspect (account) of the transaction is debited and the other aspect (account) is credited. The golden rules of debiting and crediting the different accounts are as under :

1. Personal Accounts	Debit the receiver Credit the giver
2. Real Account	Debit what comes into business Credit what goes out of the business
3. Nominal Account	Debit expenses and losses Credit incomes and gains

Q.10. Briefly explain the concepts which form the backbone of Accounting.

Or

What do you understand by Accounting Principles? Discuss the nature and significance of Accounting Principles.

Or

Explain the meaning and nature of Accounting Principles.

Ans. The development of accounting principles has been very closely associated with the development of business. With a view of making the accounting language a standard language, certain accounting principles, concepts and conventions have been developed over a course of period.

Definition of Accounting Principles : 'According to the Canadian Institute of Chartered Accountants, 'Accounting Principles are the body of doctrines commonly associated with the theory and procedure of accounting, serving as an explanation of current practices and as a guide for the selection of conventions or procedures where alternatives exists.'

The American Institute of Certified Public Accountants defines, 'Accounting Principle is a general law or rule adopted or professed as a guide to action. It is a basis of conduct or practice.' Thus it suggests rigidity of compliance and universality of acceptance.

Accounting Principles and their Essential Features :

- (1) Accounting Principles are general guidelines for sound accounting practices but they do not establish exact standards. They provide a broad framework within which the accountants may differ in recording, classifying and summarising the economic events in order to achieve a fair presentation of financial statements.
- (2) Accounting principles developed through a process of evolution over the years and are constantly changing in keeping with the

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changes in the economic world. Any new principle is acceptable if it satisfies three criteria viz., Relevance, Objectivity and feasibility.

- (3) Accounting Principles are based on the accounting conventions and concepts.
- (4) These Principles are unnatural i.e., these, principles are developed on the basis of experience, practical knowledge and criticism by human being.
- (5) It is not possible to list, the different principles of accounting, as they are not available at a place.

In conclusion, the accounting principles that are generally accepted by the accountants are called '**Generally Accepted Accounting Principles**' (GAAP). They are based on accounting concepts, conventions and assumptions.

Concepts

Meaning : The term 'Concept' is used to signify accounting postulates i.e., necessary assumptions and conditions forming base of accounting. It is a logical consideration and generally accepted notions.

Accounting concepts are certain rules of general application. They provide guidelines in selecting accounting methods in certain situations.

Kinds of Accounting Concepts : Some of the concepts are as follows :

- (1) **Business Entity Concept** : According to this concept, the proprietor of an enterprise is always considered to be separate and distinct from the business conducted by him. From the point of view of business, all the transactions of business are recorded in the books of business and not in the books of the proprietor. Therefore, the amount which he invests in the business as capital is treated as a liability and is shown in the Balance Sheet of the business on the liability side. In absence of this principle, the affairs of the business would be mixed up with the private affairs of the proprietor and the true results of the business would not be known.

- (2) **Money Measurement Concept** : According to this concept, the transactions which can be expressed in terms of money will only be recorded in accounting. Thus, the skill of a manager, the quarrel between the management and the labour will not be recorded unless its monetary effect can be measured fairly.

- (3) **Going Concern Concept** : According to this concept, the business entity will continue to exist indefinitely. The recording of transactions are made in such a way that it is useful not only for the current period but also for the future. That is why depreciation is charged on fixed assets and the net value of the assets is shown in the assets side of the Balance Sheet. Adjustments regarding outstanding, prepaid, accrued

incomes and unearned incomes etc., are also made when the final accounts are prepared.

(4) **Dual Aspect Concept** : According to this concept, each transaction or event has two aspects or sides i.e., a debit aspect and a credit aspect. In other words, 'For every debit, there is a credit or vice-versa'. This concept is the core of Accountancy. The system of recording transactions based on this concept is called 'Double Entry System'. This concept says that at any time capital + liabilities must be equal to the total assets of the firm.

(5) **Cost Concept** : According to this concept, all the transactions are shown in accounting records at their acquisition monetary cost, not at present value, market value or replacement value. This is the reason that fixed assets are shown at acquisition cost or historical cost. Here, it must be remembered that cost concept never means that assets are always shown at the cost price year after year. The cost, at which the fixed assets were acquired, is reduced yearly by the process which is called 'annual depreciation'.

(6) **Matching Concept** : Every businessman wants to make maximum profit at minimum cost. Hence, he tries to find out revenue and cost during a particular accounting period i.e., one year and compares it with that of another year so as to know whether business is progressing or going down. Efforts made to make revenue are termed as cost and positive results of these efforts are termed as revenue. This concept is also known as 'Concept of and Accomplishment'. Excess of accomplishments over efforts is profit. Accounting records should be made in such a manner that cost may be compared with revenue during an accounting year. This is why an accountant records all expenses of a year whether they are paid in cash or are outstanding and he also records all revenues whether they are received in cash or are earned but not received in cash.

(7) **Accounting period Concept** : This concept is very important for the measurement of business results. Business as a going entity will continue indefinitely. As such no trader can wait for a long period of time to know the financial result of the business. It will be too late to wait for the results, so the life span of accounting should be split into shorter and convenient period to prepare the accounts and to calculate the financial results. Generally, the accounting period is one year.

(8) **Accrual Concept** : According to this concept, if an event has occurred or a transaction takes place, its consequences should be recorded irrespective of cash received or paid or not. Thus according to this concept the revenues earned whether received or not and expenses incurred whether paid or not should be brought into account.

Accounting Postulates

Postulates and concepts both are treated as the same. Whatever are accounting concepts, the same are accounting postulates.

Meaning : Postulates mean to assume without proof, to take for granted or positive consent, a position assumed self-evident. Postulates are assumptions but they are not arbitrary deliberate assumptions but generally recognised assumptions which reflect the judgement of facts or trend or events, assumptions which have been borne out in past by facts supported by legal institutions making them enforceable to some extent.

Fundamental Accounting Assumptions

The following are recognised by the **International Accounting Standard Committee** as fundamental accounting assumptions as per International Accounting Standard. They are reproduced below :

(a) **Going Concern** : The enterprise is normally viewed as a going concern, that it is continuing in operation for the foreseeable future. It is assumed that the enterprise has neither the intention nor the necessity of liquidation or of curtailing materially the scale of its operation.

(b) **Consistency** : It is assumed that the accounting policies are consistent from one period to another.

(c) **Accrual** : Revenues and Costs are accrued, that is, recognised as they are earned or incurred (and not as money is received or paid) and recorded in the financial statements of the periods to which they relate.

If fundamental accounting assumptions are not followed in the preparation and presentation of financial statements, the fact should be disclosed. If these are followed, no specific disclosure is necessary. These are called fundamental because these are to be followed and their disclosure in the financial statement is required. Otherwise, there is no conflict between accounting concepts and fundamental accounting assumptions. In fact, fundamental accounting assumptions are part of the basic accounting concepts.

Q11. What do you understand by Journal? What are its objects and importance?

Or

What is Journal? What are the rules of Journalising? Explain briefly.

Ans. Meaning of Journal : The word 'Journal' has been derived from the French word 'JOUR' meaning daily records. Every business transaction affects two persons or two accounts at one and the same time. In journal, we debit one account and credit another account with the same amount which represents the benefit given by one account and the same benefit received by another account. Thus journal is a book of daily record

in which both aspects of a transaction are recorded by following the principles of Double Entry System. In this book transactions are recorded date-wise and in chronological order.

Definition of Journal : According to Prof. Carter, The Journal as originally used, is a book of prime entry in which transactions are copied in order of date from a memorandum or waste book. The entries as they are copied are classified into debits and credits, so as to facilitate their being correctly posted, afterwards in the ledger.

Objects and Importance of Journal

Journal is a principal book of original record. It is the first step in the process of accounting cycle for merchandising business.

The objects of recording transactions in journal are as under :

- (1) **To keep a record of transactions in its original form :** The transactions are recorded in their original form in this book to prove their truthfulness and honesty.
- (2) **To Analyse the Transactions :** Each transaction is analysed in terms of the accounts affected. Which account is to be debited and which account is to be credited.
- (3) **Convenience of Posting in Ledger :** Recording business transactions in Journal facilitates the posting in ledger.
- (4) **To Get full information of the Transaction :** Narration regarding each transaction is mentioned in the journal entry which enables the businessman to get full information of the transaction as and when required.
- (5) **Sufficient Proof for Audit :** When the auditor wants to verify a particular transaction, Journal entry of such transaction proves very helpful.
- (6) **Evidence in Dispute :** If any dispute or difference of opinion arises in the business, the journal is an authentic evidence which can be produced in court of law for the settlement of business disputes.
- (7) **Knowledge of day-wise Business :** Journal enables the businessman to know the quantum of day-wise business.

Limitations of Journal : Journal suffers from the following limitations :

- (1) **Huge and Bulky Size :** A single journal for the entire business will be bulky and difficult to operate and handle.
- (2) **Balance of Accounts at a glance not Available :** The actual position of ledger balances such as purchases, sales, returns, bills etc., is not known on a particular date from journal.
- (3) **Difficulty in reconciling Cash Balance :** In case all transactions including cash transactions are recorded in the

journal and no cash book is maintained, it will be very difficult to reconcile daily cash balance.

Q.12. Enter the following transactions in the Journal of M/s P.D. Mishra & Sons :

- (1) Purchased an existing business with the following items : Stock-in-Trade Rs. 5,000; Furniture & Fixtures Rs. 1,000; Sundry Debtors Rs. 7,000; Bills Receivable Rs. 2,000; Sundry Creditors Rs. 7,500. The purchase price agreed upon was Rs. 7,500 and it was paid immediately.
- (2) Purchased goods for cash Rs. 15,000 and paid cartage Rs. 70.
- (3) Took a loan of Rs. 50,000 from Shri Chaturvedi, at 6% interest per annum.
- (4) Sold good to Shri Silekwar Rs. 10,000, received cash Rs. 7,000.
- (5) Goods worth Rs. 50,000 list price sold to Shukla & Co. at 5% Trade discount and 2% cash discount, they paid 40% amount immediately.
- (6) Paid to Shri K.M. Gupta Rs. 950 in full settlement of his account for Rs. 1,000.
- (7) Encashed a crossed cheque of Rs. 1,500 for Surrender, charging him commission Rs. 15.
- (8) Goods worth Rs. 10,000 were insured for Rs. 4,000. The Loss to goods by fire amounted to Rs. 5,000. The insurance company paid the amount proportionately.
- (9) Purchased goods worth Rs. 30,000 less 15% trade discount and 5% cash discount from Anupam for cash and supplied them to Reena at list price allowing 7% trade discount.
- (10) On the occasion of friend's son's marriage gave a gift Rs. 2,000 cash and goods worth Rs. 500.
- (11) Prem became insolvent. Rs. 3,000 were due from him but only 40% amount could be realised from him.
- (12) The thief stole Rs. 5,000 from the safe. He was caught and only 2,000 were recovered from him.
- (13) Goods amounting to Rs. 1,200 were damaged in transit, the transport Co., admitted a claim of Rs. 1,000.

Solution : **Journal of P.D. Mishra & Sons**

S.No./ Date	Particulars	L.F.	Amount (Debit)	Amount (Credit)
(1)	Stock-in-Trade A/c Furniture & Fixtures A/c Sundry Debtors A/c Bills Receivable A/c To Sundry Creditors To Cash	Dr. Dr. Dr. Dr.	5,000 1,000 7,000 2,000	7,500 7,500

20	First Year	(Being business purchased with assets & liabilities and cash paid as purchase consideration)	Dr.	Dr.
(2)	Purchase A/c Carriage A/c To Cash			
(3)	(Being goods purchased for cash and paid for cartage) Cash A/c To Chaturvedi's Loan (Being loan taken at 6% interest p.a.)			
(4)	Cash A/c Shri Sikanwar's A/c To Sales (Being Sale of Goods for cash & credit)			
(5)	Cash A/c Discount A/c Shukla & Co. To Sales (Being Goods sold at 2% cash discount and 40% cash received)			
(6)	K.M. Gupta's A/c To Cash To Discount (Being the amount paid to Shri K.M. Gupta in full settlement of his account)			
(7)	Bank A/c To Cash To Commission (Being the encashment of a cheque at a commission of Rs. 15)			
(8)	Cash A/c Loss by Fire A/c To Purchases (Being cash received from Insurance Co., for loss by fire in proportion to the amount of goods insured)			
(9) (i)	Purchases A/c To Cash To Discount Received (Being goods purchased for cash and discount allowed by the supplier)			
(ii)	Reena's A/c To Sales			

15,000	70	
50,000		15,070
7,000	3,000	50,000
18,620	380	10,000
28,500		47,500
1,000	950	950
1,500	50	15
4,000	1,000	5,000
25,500		24,225
27,900		1,275
		27,900

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(10)	(Being Goods with a list price of Rs. 30,000 sold to Reena at a trade discount of 7%) Drawings A/c To Cash	2,500
(11)	(Being cash and Goods given in gift on friend's son's marriage) Cash A/c Bad Debts A/c To Prem (Being Prem became insolvent and 40% amount realised) Loss by Theft A/c To Cash	1,200 1,800 3,000
(12)	(Being Cash stolen) Transport Co.'s A/c Loss-in-Transit A/c To Purchases (Being the claim for the loss in transit not admitted to the extent of Rs. 200)	3,000 1,000 200
(13)		1,200

Q.13. Give Journal Entries for the following transactions :

(i) **Assets and Liabilities of the business on 1st January, 2024:**

Assets : Cash Rs. 10,000 ; Bank Rs. 5,000; Furniture Rs. 8,000; Stock Rs. 12,000; Debtors Rs. 5,000; Building Rs. 2,00,000.

Liabilities : Bills Payable Rs. 10,000; Bank Loan Rs. 15,000; Creditors Rs. 15,000.

(ii) Goods purchased for cash Rs. 15,000 and paid Cartage Rs. 70.

(iii) Received a cheque from Narendra Rs. 7,000 and received Cash Rs. 3,000. The Cheque was sent to bank in immediately.

(iv) Sold goods worth Rs. 20,000 to Yogendra at 10% trade discount.

(v) Yogendra returned goods worth Rs. 1,000

(vi) Distributed goods worth Rs. 2,500 as free samples.

(vii) Salary paid in advance to Rajesh Rs. 4500.

(viii) Goods of Rs. 50,000 list price sold to Gupta Book Co., at 5% Trade discount and 2% Cash discount, they paid 40% amount immediately.

(ix) On the occasion of friend's son's marriage gave Rs. 2,000 Cash and goods worth Rs. 500.

(x) Prem became insolvent Rs. 3,000 were due from him, but only 40% amount could be realised from him.

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(xi) The thief stole Rs. 5,000 from the safe. He was caught and only Rs. 2,000 were recovered from him.

Journal Entries

Solution :

Date	Particulars	L.F.	Debit Rs.	Credit Rs.
(i)	Cash A/c Dr. Bank A/c Dr. Furniture A/c Dr. Stock A/c Dr. Debtors A/c Dr. Building A/c Dr. To Bills Payable A/c To Bank Loan A/c To Creditors A/c To Capital A/c (Being opening balances brought to new books)		10,000 5,000 8,000 12,000 5,000 2,00,000	
(ii)	Purchases A/c Dr. Carriage A/c Dr. To Cash A/c (Being Goods purchased for Cash and paid for Carriage)		15,000 70	15,070
(iii)	Bank A/c Dr. Cash A/c Dr. To Narendra (Being Cash and Cheque received from Narendra Cheque deposited into bank)		7,000 3,000	10,000
(iv)	Yogendra A/c Dr. To Sales A/c (Sold Goods on credit at 10% Trade Discount)		18,000	18,000
(v)	Sales Returns A/c Dr. To Yogendra (Being Goods returned at 10% Trade Discount)		900	900
(vi)	Advertisement & Publicity A/c Dr. To Purchases A/c (Being goods worth Rs. 2,500 distributed as free samples)		2,500	2,500
(vii)	Prepaid Salary A/c Dr. To Cash A/c (Being Salary paid in advance to Rajesh)		4,500	4,500
(viii)	Cash A/c Dr. Discount A/c Dr.		18,620 380	

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Gupta & Co. To Sales A/c (Being Goods sold at 5% Trade discount and 2% discount, 40% Cash received)	Dr.	28,500	47,500
(ix) Drawings A/c To Cash A/c To Purchases A/c (Being Goods and Cash were given as gift on friend's son's marriage)	Dr.	2,500	2,000 500
(x) Cash A/c Bad Debts A/c To Prem (Being Prem became insolvent and 40% amount realised)	Dr. Dr.	1,200 1,800	3,000
(xi) Loss on Theft A/c To Cash A/c (Being Cash Stolen)	Dr.	3,000	3,000

Q.14. Shri Madhav started his business with cash Rs. 25,000 and furniture of Rs. 5,000 on 1st April 2025.

- April 2 Paid cash into Bank Rs. 15,000.
 April 3 Purchased furniture from Manik and issued him a cheque Rs. 4,000
 April 4 Credit purchases from Suresh Rs. 10,000 less 4% trade discount.
 April 5 Returned goods to Manik Rs. 100.
 April 6 Cash Sales Rs. 3,000.
 April 7 Credit Sales to Arvind Rs. 2,000 less trade discount 2%.
 April 9 Arvind returned goods of Rs. 196.
 April 10 Distributed goods of Rs. 1,000 as free samples and Madhav used goods of Rs. 200 for personal use.
 April 12 Paid postage Rs. 20 and electricity bill of Rs. 400.
 April 15 Sent a Telegram to Suresh to supply goods of Rs. 5,000 immediately Rs. 30.
 April 16 Purchased furniture of Rs. 3,000 from Kulkarni and in part payment gave him goods of Rs. 2,000.
 April 17 Paid life insurance premium on the life of Madhav and of Mrs. Madhav Rs. 2,000.
 April 20 Paid Telephone bill, including telephone rent by cheque Rs. 1,200.

Pass the journal entries for the above transactions.

24 First Year		Journal		L.F.	Amount (Debit)	Amount (Credit)
S.No./ Date	Particulars					
2025 April 1	Cash A/c Furniture A/c To Capital (Madhav started business by bringing cash & furniture)	Dr. Dr.			25,000 5,000 —	— 30,000
April 2	Bank A/c To Cash (Paid cash into Bank)	Dr.			15,000 —	15,000
April 3	Furniture A/c To Bank (Purchased furniture by issuing a cheque in payment)	Dr.			4,000 —	4,000
April 4	Purchases A/c To Suresh (Credit purchases from Suresh)	Dr.			9,600 —	9,600
April 5	Manik's A/c To Return outwards (Returned goods to Manik)	Dr.			100 —	100
April 6	Cash A/c To Sales (Cash Sales)	Dr.			3,000 —	3,000
April 7	Arvind's A/c To Sales (Credit Sales to Arvind)	Dr.			1,960 —	1,960
April 9	Return Inwards A/c To Arvind (Arvind Return goods to us)	Dr.			196 —	196
April 10	Advertisement A/c Drawing A/c To Purchases (Distributed goods as free samples & Madhav took goods for personal use)	Dr. Dr.			1,000 200 —	1,200
April 12	Postage & Telegram A/c Electricity charges A/c To Cash (Paid for postage & Electricity bill)	Dr. Dr.			20 400 —	— 420
April 15	Postage & Telegram A/c To Cash (Sent a telegram to supplier, Suresh for supply of goods)	Dr.			30 —	30
April 16	Furniture A/c	Dr.			3,000	

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April 17	To Sales To Kulkarni (Purchased furniture from Kulkarni by giving goods of Rs. 2,000 in part payment to Kulkarni) Drawing A/c	- 2,000 -
April 20	To Cash (Paid life insurance premium on lives of Madhav & Mrs. Madhav) Telephone charges A/c To Bank (Paid telephone charges by cheque)	- 2,000 1,200 -

Q.15- What is a Ledger? Explain its usefulness to the trader.

Ans. What is the meaning of Ledger? Describe its significance and rules of posting in it.

Or
Write a note on Meaning, Importance and Advantages of Ledger.

Ans. Meaning of Ledger : A Ledger is an important and useful Book of Account maintained by a trader. A Ledger is a principal book of account. It is pertinent to note that all the book keeping entries are first entered in the proper subsidiary books and then transferred to the book of final entry, viz. Ledger. This book of account is indispensable if we have to maintain books of accounts on double entry principles. The subsidiary book or books and a Ledger together make a perfect set of books of accounts, necessary for the purpose of book-keeping.

A ledger contains all the personal and impersonal accounts covered by the journal entries or the entries in subsidiary books. Each account in the ledger has two sides- the debit side (left hand side) for debit entries, and the credit side (right hand side) for credit entries. Each account is headed with the name of that of which it contains particulars. Thus, Ledger is a collection of requisite information concerning a particular account and presenting them under one head is known as ledger posting.

Definition: 'A Ledger is a book of final entry where all the accounts of a trader are maintained in a classified form so as to give readily the necessary information required by him from time to time.'

Importance or usefulness or advantages of Ledger :

- (1) The necessary information required by a trader can readily be available at one place at a time.
- (2) It provides information regarding the assets of a trader i.e., the position and their present value.
- (3) It provides information regarding the liabilities of the business i.e., the nature and the amount of various liabilities.

- (4) It provides information regarding debtors and creditors i.e., how much and from whom he has to receive, and how much and to whom he has to pay.

(5) It is useful in preparing Trial Balance.

Q.16. What do you mean by ledger posting? Explain its importance in Accounting Journal.

Or

'Ledger is the principal book of business'. Explain.

Or

How will you classify the Ledger Accounts?

Ans. Ledger posting: Collection of requisite information concerning a particular account and presenting them under one head is known as ledger posting.

In the words of Carter, 'An Account is a ledger record in a summarised form of all the transactions that have taken place with the particular person or things specified.'

Ledger accounts are prepared on the following format:

Classification of Ledger Account : Ledger accounts are divided in two parts. The left hand side is debit side and the right hand side is the credit side. All business transactions are classified as assets, liabilities, revenue, expense and capital.

Date	Particulars	JF	Debit	Credit	Dr./Cr.	Balance (Rs.)
(1)	(2)	(3)	(4)	(5)	(6)	(7)

Utility or Advantages of Ledger Accounts : Ledger Accounts are the most important record of business accounting. Every business transaction whether it is recorded in journal or cash book or subsidiary books must be posted into Ledger Accounts. Its utility is summarised herewith :

(1) **Separate accounts :** There are separate ledger accounts for different parties and heads, so the information regarding every accept is collected at one place. For example, if we prepare Ram's A/c, information regarding Ram's purchases, sales, payments and bills drawn and accepted etc. will be brought to Ram's A/c from purchases book, sales book, cash book, bills payable book and bills receivable book etc.

(2) **Requisite information at a glance :** The correct position and status of every account can be ascertained at a glance by going through it. In case of personal accounts, we know that we have to

receive or pay to the particular party. Information regarding purchases, sales and returns are easily available from their ledger accounts.

(3) **Preparation of trial balance :** Ledger accounts facilitate the preparation of Trial balance, which is the test of examining arithmetical accuracy in the books of accounts. Trial balance is prepared with the balances of ledger accounts.

(4) **Facilitating the preparation of financial statement :** Ledger Accounts supply information for the preparation of Trading, Profit & Loss A/c and Balance Sheet. They also help in identifying adjustments, which are incorporated in Final Accounts.

Ledger Posting from Journal Entries

(a) **Ledger Posting of Accounts Debited in the Journal :** While preparing Ledger, accounts debited in the Journal, posting will be made at the debit side of the account. We shall be writing the name of the Account credited, preceded by 'To' as 'To Cash A/c'.

(b) **Ledger Posting of Accounts Credited in the Journal :** Accounts credited in the Journal, posting will be made at the credit side of the Account. We shall be writing the name of Accounts debited in the Journal preceded by 'By' as 'By Cash A/c'.

Balancing of Ledger Accounts : Ledger Accounts are categorised as Assets, Liabilities, Capital, expenses and Revenue. The total of first three accounts at the debit and credit does not tally generally and they are said to have balance. If the credit side exceeds, the difference is at the debit side and shown as 'To Balance c/d'. If the debit side exceeds, the difference is put at the credit side and shown as 'By Balance c/d'. These are closing balances of the period and become opening balance in the next year and shown as By or To Balance b/d.

The balances of Nominal Accounts i.e., expenses, losses, revenue, income are transferred to P/L Accounts. These accounts do not show any balance. Their difference between the debit and credit is transferred to profit and loss A/c and closed.

Ledger posting from Cash Book

(1) **Ledger Posting from the Debit Side of the Cash Book :** While preparing ledger of the accounts appearing at the debit side of Cash Book, write at the credit side of the account as 'By Cash or Bank A/c'.

(2) **Ledger Posting from the Credit Side of the Cash Book :** While preparing ledger of the accounts appearing at the credit side of the Cash Book, write at the debit side of the account as 'To Cash or Bank A/c'.

Ledger Posting from Purchases Book : Purchases Book records credit purchases of goods. It represents only debit side, so its balance is

Ledger Posting from Sales Book : Sales Book records credit sales on credit side of the account. While preparing sales A/c, its credit side as 'To Total as per Sales Book'.

Jedger Posting from Sales Return Book : Sales Return Book has posting is made at the credit side as follows :-

Sales Return Book.

Ledger Posting from Bills Receivable Book and Bills Payable

While preparing Bills Payable A/c, we shall be writing at the credit side, 'By Bills Receivable A/c' at debit side & at the debit side, 'By total as per Bills Payable Book. We shall be writing at the debit side, 'By total as per Bills Payable Book. We shall be writing at the debit side, 'By total as per Bills Payable Book. We shall be writing at the debit side, 'By total as per Bills Payable Book.

Expenses A/c:

11-11141- Accounts: These have no debit balance. These accounts are shown on the right side of the Balance Sheet.

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Q.17. Record the following transactions in the Ledger of Sunil.

Solution : Dr.

Solution : Dr.

Capital Account

Furniture Account

3000	Suebil's Account
------	------------------

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Purchase Account			
Dr.	Particulars	Date	Cr.
2025	To Sushil A/c	2025	
June 25	To Cash A/c	June 30	2,950
June 28	To Vinod		
			2,950
Sales Account			
Dr.	Particulars	Date	Cr.
2025	To Balance c/d	2025	
June 30		June 6	500
		June 7	1,000
		June 10	400
			1,900
Rajesh Account			
Dr.	Particulars	Date	Cr.
2025	To Sales A/c	2025	
June 3		June 15	700
		June 30	300
			1,000
Stationery Account			
Dr.	Particulars	Date	Cr.
2025	To Cash A/c	2025	
June 16		June 30	40
			40
Vinod's Account			
Dr.	Particulars	Date	Cr.
2025	To Cash A/c	2025	
June 30		June 28	1,050
			25
			1,050
Discount Account			
Dr.	Particulars	Date	Cr.
2025	To Balance c/d	2025	
June 30		June 30	25
			25

Q.18. Differentiate between Journal and Ledger.

Ans. Differentiate between Original Entry and Ledger.

Difference between Journal and Ledger

S. No.	Points of Difference	Journal	Ledger
1.	Primary record	Journal is the primary record of business transactions.	It is the principal book of business transaction, not primary record.

2.	Information	Financial Accounting
3.	Basis	Information regarding different Accounts are shown at one place. Ledger Accounts are prepared taking Journal entries and subsidiary books as basis. Trial Balance.

Books of Original Entry : Books of original entry also known as books of Primary entry consist of the following :

- (1) Journal
- (2) Cash Books (a) Simple (b) Bank Column and (c) Petty Cash Book
- (3) Other Subsidiary books.
 - (a) Purchases Book
 - (b) Sales Book
 - (c) Purchases Return Book
 - (d) Sales Return Book
 - (e) Bills Receivable Book and
 - (f) Bills payable Book

Difference between Books of Original Entry and Ledger : The above books of original entry and ledger accounts are different in the following aspects :

- (1) **Recording Stage :** All the accounting transactions are recorded in the books of original entry in the first stage, whereas ledger is the book of secondary entry, wherein entries from the books of original entries are posted.
- (2) **Knowledge of the status of ledger accounts :** Books of original entry, cannot furnish the actual position (status) of an account, at certain point of time, whereas ledger contains all relevant information regarding the account and readily presents the status of the account, whenever desired.
- (3) **Format :** The format of ledger is different from books of original entry. Ledger Accounts have two sides, i.e., debit and credit with identical columns. Journal has only one column for particulars. Subsidiary books, except cash book have either debit or credit side.
- (4) **Balancing :** Ledger Accounts are balanced but books of original entry, except cash book do not require balancing.
- (5) **Transfer :** From the books of original entry, posting is made in the ledger accounts, whereas trial balance is prepared with the balances of ledger accounts.
- (6) **Process of recording :** The process of recording the books of original entry is known as journalising, whereas in case of ledger accounts, it is called posting.

Q.19. What is Suspense Account? Give the characteristics of Suspense Account.
Or

Mention the characteristics and use of Suspense Account.

Ans. If the trial balance total does not tally the chances of finding out the errors are very limited under such conditions, suspense account is opened and all such entries are written in it.

Characteristics of Suspense Account

- (i) It is used for entering unallocated errors.
- (ii) When all errors are located this account is closed.
- (iii) No sooner the errors are located they are entered into the suspense account.
- (iv) It is opened when trial balance does not agree.

Use of Suspense Account

- (i) Whenever a trial balance is prepared, and if it does not agree, the difference is placed in Suspense A/c.
- (ii) The information which is not placed in proper accounts, for want of sufficient information, they are entered in Suspense A/c.

Q.20. What are Final Accounts? What is the object of preparing Final Accounts? Explain.

Or

What is meant by Balance Sheet, Trading and Profit & Loss Account? Why are they prepared?

Or

What are Final Accounts? What are its constituents? Name them and briefly explain the purpose of each of them.

Or

What is meant by Final Accounts? Why is Balance Sheet included in Final Accounts, when in fact it is a statement, not an account?

Ans. Meaning of Final Accounts : Final Accounts of the trader consists of two accounts viz., (1) Trading Account, and (2) Profit & Loss Account, and a statement is known as Balance Sheet. The group of these three is known as Final Accounts as it gives the final results of the business done during a trading period. Final Accounts are prepared at the end of the year on the basis of trial balance and additional information known as adjustments. The trading account tells us how much gross profit is earned or how much gross loss is incurred during the particular period. The profit and loss account discloses the net profit earned or net loss suffered in a trading year. The Balance Sheet shows the standing financial position of the business.

Object is of preparing Final Accounts : The following are the main objectives of final accounts :

- (i) To know the trading results i.e., profit or loss for a particular period;
- (ii) To know the standing financial position of the business; and

- (iii) To know how much tax is payable to the government on profits and assets, if taxable.

Method of Preparing Final Accounts : To prepare final accounts at the end of the trading year, the balances of accounts are known by closing the accounts. From these balance, a preliminary trial balance is prepared which discloses arithmetical errors. If in accounts there are errors, they are rectified and adjustments are taken into accounts and a final trial balance is prepared. With the help of this trial balance the work of preparing final account becomes easy. Goods accounts and accounts relating to direct expenses are transferred to Trading Account by passing a journal entry and gross profit or gross loss is ascertained. Debit balance of other real accounts and personal accounts are shown on the assets side and credit balances are shown on the liabilities side of the Balance Sheet.

(1) Trading Account : Trading Account is prepared on the basis of direct expenses and direct income. It is prepared with a view to show the result of buying and selling of the goods i.e., how much gross profit is earned or gross loss is incurred. The following items usually appear on the debit and credit sides of the trading account :

(1) On the Debit Side

- (a) Stock in hand at the commencement of the trading period.
- (b) Total purchases made during the trading period are shown at their net value i.e., after deducting them from the Returns outwards.
- (c) Direct Expenses i.e., such expenses which add directly the cost of the goods purchased e.g., carriage on purchases, freight, octroi, wages, manufacturing expenses etc.

(2) On the Credit Side

- (a) Total sales made during the year, minus returns inwards.
- (b) Stock in hand at the end of the trading period.

If the difference appears on the debit side of the trading account, it is known as Gross Profit and it is carried down to Profit & Loss Account. Similarly, if the difference appears on the credit side of the trading account, it is known as Gross Loss and it is transferred to Profit & Loss Account.

(2) Profit & Loss Account : Soon after Trading Account is completed, Profit & Loss Account is prepared. Profit & Loss Account shows the net result of the trader's activities. It is prepared on the basis of indirect expenses and indirect incomes. Gross Profit or Gross Loss is transferred from Trading Account to this account. The Profit & Loss Account is debited with all indirect expenses i.e., which are not taken to Trading Account. It is credited with incomes and gains of the trader. In this way, the Profit & Loss Account discloses the net result of the business i.e., the net profit or net loss for the period under review. The Profit & Loss Account is closed by transfer to the Capital Account.

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(3) Balance sheet gives an idea about one of the objects of maintaining books of accounts viz., to show a true and fair view of the state of the financial affairs of the trader as at the close of the accounting period on a given date. After transferring all revenue accounts i.e., accounts representing goods, expenses and income from the trial balance to the Trading and Profit & Loss. Account the balance left in the Trial Balance represent the assets and liabilities of the trader. These assets and liabilities are presented in a convenient form which is known as Balance Sheet.

Thus a Balance Sheet may be defined as a list of the assets and the liabilities of a business arranged in a classified manner so as to show the exact financial position of the business as at a given date.

According to **Biggs**, 'A Balance Sheet is a statement which shows in a summarised form the capital employed in the business and the various sources from which the capital has been obtained, how that capital is employed, i.e., the various assets and liabilities by which it is represented.' Thus the Balance is not an account but merely a statement showing the position of assets and liabilities of the business.

Preparation of Balance Sheet : A Balance Sheet is not an account but merely a statement of assets and liabilities. It is customary to show liabilities on the left hand side, and the assets on the right hand side. The abbreviations 'Dr.' or 'Cr.' and the prefix 'To' or 'By' are not used while preparing a Balance Sheet. The two sides are called the Assets (Right hand side) and the Liabilities (Left hand side).

Thus the Balance Sheet is not an account, but merely a statement showing the position of assets and liabilities of the business.

The various Assets and Liabilities of a trade are arranged in the Balance Sheet in a specified order. This order may be— (i) Order of Liquidity i.e., the assets are stated in the order in which they can be converted into cash and the liabilities in the order in which they are to be paid off. (ii) Order of Permanent— This order is exactly the reverse order to the above. Thus fixed and permanent assets and liabilities appear first and will be followed by floating assets and liabilities.

Q.21. The following Trial Balance is extracted from the books of a merchant on 31st December, 2024.

Particulars	Amount (Dr.)	Amount (Cr.)
Furniture & Fittings	640	—
Motor Car	6,250	—
Buildings	7,500	—
Capital Account	—	12,500
Bad Debts	125	—
Provision for Bad Debts	—	200
Sundry Debtors & Creditors	3,800	2,500

Stock on 1st January 2022	Financial Accounting	35
Purchases & Sales	3,460	—
Bank Overdraft	5,475	15,450
Sales and Purchase Returns	—	2,850
Advertising	200	125
Interest on Bank Overdraft	450	—
Commission	118	—
Cash	—	375
Tax and Insurance	650	—
General Expenses	1,250	—
Salaries	782	—
	3,300	—
	34,000	34,000

Taking into account the following adjustments prepare Trading and Profit & Loss Account and Balance Sheet as on 31st December, 2024 :

- Stock as on 31st December, 2023 was Rs. 3,250
- Depreciate Building @ 5%, furniture & fittings @ 10% and Motor Car @ 20%.
- Rs. 85 is due for interest on bank overdraft.
- Salaries Rs. 300 and Taxes Rs. 120 are outstanding.
- Insurance amounting to Rs. 100 is prepaid.
- One-third of the commission received is in respect of work to be done next year.
- Write of a further sum of Rs. 100 as bad debts and provision for bad debts to be made equal to 10% on Sundry Debtors.

Solution : Books of Merchant

Dr.		Cr.	
Trading and Profit & Loss Account for the year ended 31st December, 2024		Trading and Profit & Loss Account for the year ended 31st December, 2024	
Particulars	Rs.	Particulars	Rs.
To Opening Stock	3,460	By Sales	15,450
To Purchases	5,475	(-) Returns	200
(-) Returns	125	By Closing Stock	3,250
To Gross Profit c/d	9,690		
	18,500		18,500
To Salaries	3,300	By Gross Profit b/d	375
(+) Outstanding	300	By Commission	(-) Unearned
To General Expenses	1,250	Commission	125
To Taxes & Insurance	120		
(+) Taxes Outstanding	1,370		
	100		
(-) Prepaid Insurance	1,270		
To Advertising	450		
To Bad Debts	125		

36	First Year			
	(+) Further Bad Debts	100		
	(+) New Provision	225		
	(-) Old Provision	380		
	To Interest on Bank a/c	605	405	
	(+) Int. Outstanding	200		
	To Depreciation on -	118	203	
	Building	85		
	Furniture & Fittings	375		
	Motor Car	64		
	To Net Profit transferred to Capital A/c	1,250	1,689	
		1,541		
		9,940		9,940

Balance Sheet as at 31st December, 2024			
Liabilities	Rs.	Assets	Rs.
Creditors		Building	7,500
Bank Overdraft	2,850	(-) Depreciation	375
(+) Interest due	85	Furniture & Fittings	640
Outstanding Salaries		(-) Depreciation	64
Taxes Outstanding		Motor Car	6,250
Unearned Commission		(-) Depreciation	1,250
Capital	12,500	Debtors	3,800
(+) Net Profit	1,541	(-) Further Bad debts	100
	14,041		3,700
		(-) Provision for	
		Doubtful Debts	380
		Closing Stock	3,320
		Prepaid Insurance	3,250
		Cash in Hand	100
	20,021		650
			20,021

Q.22. From the following trial balance of Shri Singhal prepare trading and profit and loss account for the year ended 31st December, 2024 and a balance sheet as at that date after taking into consideration the adjustment given at the end of the trial balance :

Financial Accounting			37
Particulars	Amt (Rs.)	Amt (Rs.)	
Purchases & Sales	3,49,600	3,70,000	
Wages	10,450		
National Insurance		34,250	
Carriage Inwards	150		
Carriage Outwards	200		
Lighting	250		
Rates & Insurance (Including Premium of Rs. 150 p.a. paid upto 30th June, 2020)	200		
Stock at 31.12.2020			
Cash in Hand and at Bank	30,625		
Discount	875		
Plant & Machinery	50	300	
Debtors and Creditors	15,000		
Furniture	3,000	10,000	
Dividend Received	3,700		
Total	4,14,700	4,14,700	150

Adjustments :

- National Insurance also includes employees contribution of Rs. 75. Wages are shown 'Net' after deducting national insurance contribution borne by the employees.
- Owing to the nature of employment, some employees are housed in the building of the business. The rental value of such portion is assessed at Rs. 250 p.a. The benefit to the employees treated as wages and the rental as income for Shri Singhal.
- Depreciate Plant & Machinery at 15% p.a. and furniture at 10% p.a.
- Goods worth Rs. 2001 given by Shri Singhal to his son at cost.
- The manager is entitled to a commission of 20% of the net profit after charging such commission.

Calculations may be made to the nearest of a rupee.

Solution :

Books of Shri Singhal

Trading and Profit & Loss Account

For the year ended 31st December, 2024

Dr.

Cr.

Particulars	Rs.	Particulars	Rs.
To Purchases	3,49,600	By Sales	3,70,000
(-) Drawings	2,000		
To Wages	10,450		
(+) Employers & Employees Contribution to National Insurance	150		
(Rs. 75 + 75)			

38 First Year

(+) Rental Value	250	10,850
To Carriage Inwards	200	200
To Gross Profit c/d	11,350	11,350
	3,70,000	3,70,000
To Carriage Outwards	200	200
To Lighting	250	250
To Rates & Insurance	200	250
(-) Prepaid	75	125
To Discount Allowed	50	50
To Depreciation on- Plant & Machinery	2,250	2,620
Furniture	370	1,468
To Manager's Commission		7,337
To Net Profit transferred to Capital A/c		12,050
		12,050

Note: Calculation of Manager's Commission : Net Profit before

changing commission = Rs. 8,805

Manager's Commission = $\frac{8,805 \times 20}{120}$

= Rs. 1,468

Balance Sheet as at 31st December, 2024

Liabilities	Rs.	Assets	Rs.
Creditors	10,000	Plant & Mach.	15,000
Manager's Commission due	1,468	(-) Depreciation	2,250
Capital	34,250	Furniture	3,700
(-) Drawings	2,000	(-) Depreciation	370
	32,250	Debtors	3,330
(+) Net Profit	7,337	Closing Stock	3,000
	39,587	Prepaid Insurance	30,625
		Cash in Hand and at Bank	75
	51,055		875
			51,055

Q.23. Taking the following adjustments into consideration and with the help of the under mentioned Trial Balance, prepare Manufacturing Account and Trading and Profit & Loss Account for the year ending 31st December, 2024 and Balance Sheet as at that date :

(i) Depreciation : 10% on Plant and 5% on Furniture.

Financial Accounting 39

- (ii) Outstanding Expenses : Wages Rs. 600 and Salaries Rs. 250.
- (iii) Outstanding interest on loan Rs. 125.
- (iv) Make a reserve for Bad and Doubtful Debts of Rs. 400.
- (v) Make a provision for discount on debtors $2\frac{1}{2}\%$.
- (vi) Stock as at 31st December, 2022 is Rs. 16,500.

Trial Balance
(As on 31st December, 2024)

Particulars	Dr. Amount (Rs.)	Cr. Amount (Rs.)
Capital		40,000
Opening Stock	20,000	
Wages	10,000	
Coal	2,000	
Purchases	82,000	
Sales		1,18,000
Repairs	1,000	
Carriage Inward	500	
Carriage Outward	900	
Cash in Hand	200	
Buildings	6,500	
Plant	7,800	
Tools	1,500	
Manufacturing Light	2,400	
Legal Charges	600	
Office Salary (Less : P.F. Contribution)	6,600	
Office Rent	2,425	
Contribution towards P.F. (Employer's Share 50%)	800	
Sales Returns	1,200	
Drawings	4,000	
Income Tax	1,500	
Bank Loan		5,000
Interest		125
Debtors & Creditors	16,000	
Cash with Bank	1,500	
Furniture	1,500	
Purchases Returns		2,000
Office Expenses	600	
Manufacturing Expenses	1,400	
Insurance Premium	250	
Manufacturing Insurance Premium	700	
	1,74,000	1,74,000

Solution : Manufacturing Account, Trading & Profit and Loss Account

(For the year ended 31st December, 2024)

Dr.	Particulars	Rs.	Particulars	Rs.	Cr.
			By Cost of Production	1,01,600	
To Opening stock	20,000				
(+) Purchases	82,000				
(+) Carriage Inward	500				
	<u>82,500</u>				
(-) Purchases Return	2,000	80,500			
	<u>1,00,500</u>				
(-) Closing Stock	16,000				
To Wages	10,000	84,500			
(+) Outstanding Wages	600				
To Coal		10,600			
To Manufacturing Light		2,000			
To Manufacturing Exp.		2,400			
To Manufacturing Insurance Premium		1,400			
		<u>700</u>			
		1,01,600			1,01,600
To Cost of Production b/d		1,01,600	By Sales	1,18,000	
To Gross Profit c/d		15,200	(-) Sales Returns	1,200	
					1,16,800
			By Gross Profit b/d		15,200
To Repairs		1,000			
To Carriage outward		900			
To Office Rent		2,425			
To Legal Charges		600			
To Office Salaries	6,600				
(+) Employer's Contribution to P.F.	400	7,250			
(+) Outstanding Salaries	250				
To Interest	125				
(+) Outstanding Interest	125				
To Office Expenses		250			
To Insurance Premium		600			
To Depreciation on :		250			
Plant	780				
Furniture	75	855			
To Provision for Doubtful Debts		400			
To Provision for Discount on Debtors		390			
To Net Profit transferred to capital A/c		<u>280</u>			
		15,200			15,200

Balance Sheet as at 31st December, 2024

Financial Accounting

Liabilities	Rs.	Assets	Rs.
Creditors	9,000	Cash in Hand	200
Outstanding Wages	600	Cash at Bank	1,500
Outstanding Salaries	250	Debtors	16,000
Bank Loan	5,000	(-) Provision for D/D	400
(+) Interest Outstanding	125		<u>15,600</u>
Capital	40,000	(-) Provision for Discount on Debtors	390
(+) Net Profit	<u>280</u>	Closing Stock	15,210
	40,280	Tools	16,000
(-) Drawings	4,000	Furniture	1,500
	<u>36,280</u>	Less: Dep.	75
(-) Income Tax	1,500	Plant	7,800
	34,780	Less: Dep.	780
		Buildings	6,500
		Contribution to P.F.	400
			<u>49,755</u>
			49,755

UNIT-2

Long and Short Answer type Questions :

Q.1. Explain the concept of Depreciation as per Accounting Standard-6 (AS-6). Why is it important in accounting?

Ans. Depreciation is defined as the systematic allocation of the depreciable amount of an asset over its useful life. According to Accounting Standard-6 (AS-6), depreciation is not about reducing the value of the asset physically but about charging the portion of the cost that has been consumed during the accounting period. For example, a machine purchased for Rs.10,00,000 and used for 10 years must have its cost allocated annually to reflect its usage and wear-and-tear.

AS-6 provides guidelines for recognizing and accounting for depreciation. It requires that depreciation be charged consistently each year, based on the method selected, and be disclosed properly in the financial statements. The depreciable amount of an asset is calculated as **Cost of Asset – Residual Value**.

The importance of depreciation is multifold:

1. **True and fair view of profit**– Without charging depreciation, profits would be overstated, as the wear and tear of assets is a real expense.

2. **Correct valuation of assets**— Assets shown in the balance sheet must reflect their real worth; depreciation reduces their book value accordingly.
3. **Legal compliance**— Company law mandates depreciation before declaring dividends.
4. **Future replacement**— Depreciation helps in setting aside resources for replacing old assets at the end of their life.
5. **Equitable distribution of cost**— It ensures that each year's revenue bears a fair portion of the asset's cost, thereby matching income with expenses.

In summary, AS-6 provides a standardized approach to depreciation, ensuring **accuracy, comparability and fairness** in financial statements. It emphasizes that depreciation is not optional but a necessary accounting practice for reliability.

Q.2. Explain briefly Accounting Standard-6.

Or

What do you know about AS-6 ? Discuss briefly.

Ans. AS-6—Depreciation Accounting : The AS-6 was revised and become effective from 1st April, 1995. It is mandatory in nature. The depreciable amount of a depreciable asset should be allocated on a systematic basis to each accounting period during the useful life of the asset. The depreciation method selected should be applied consistently from time to time. A change from one method of providing depreciation to another should be made only if the adoption of the new method is required by statute or for compliance with an accounting standard or if it is considered that the change would result in a more appropriate preparation or presentation of the financial statements of the enterprise. When at times a change in the method of depreciation is made, depreciation should be recalculated in accordance with the new method from the date of the asset coming into use. The deficiency or surplus arising from retrospective recomputation of depreciation in accordance with the new method should be adjusted in the accounts in the year in which the method of depreciation is changed. In case the change in the method results in deficiency in depreciation in respect of past years, the deficiency should be charged in the statement of profit and loss. In cash the change in the method results in surplus, the surplus should be credited to the statement of profit and loss. Such a change should be treated as a change in accounting policy and its effect should be quantified and disclosed.

The useful life of a depreciable asset should be calculated after considering the factors which are as follows :

- (1) Legal or other limits on the use of the asset.
- (2) Expected physical wear and tear.
- (3) Obsolescence.

If any depreciable asset is disposed off, discarded, demolished or destroyed, the net surplus or deficiency, if material, should be disclosed separately. The following information should be disclosed in the financial statements :

- (1) The related accumulated depreciation.
- (2) The historical cost or other amount substituted for historical cost of each class of depreciable assets.
- (3) Total depreciation for the period for each class of assets. The following information should also be disclosed in the financial statements along with the disclosure of other accounting policies—
(i) Depreciation rates on the useful life of the assets, if they are different from the principal rates specified in the statute government the enterprise.
(ii) Depreciation methods used.

Q.3. Explain briefly the factors that determine the amount of Depreciation.

Or

Explain the meaning of 'Depreciation'. Enumerate the different methods of Depreciation. Explain any two methods.

Or

What is 'Depreciation'? Why is it necessary to provide for Depreciation? Explain the effect of Depreciation on Profit and Loss Account and Balance Sheet.

Or

What do you mean by 'Depreciation'? What are the objectives of providing Depreciation? Explain briefly.

Or

What are the reasons for creating Depreciation? Give the objects of providing Depreciation.

Ans. Meaning of Depreciation : It is a common experience that all assets which are used in business diminish in value. Thus depreciation is the gradual but permanent and continuous decline in the value of a fixed asset, during a given period, due to natural wear and tear on account of its constant use or any other cause. It is a loss for the business which must be charged to Profit and Loss account to ascertain the correct profit or loss of the business.

According to **Carter**, 'Depreciation is the gradual decrease in the value of asset from any cause.'

According to **L.C. Gopper**, 'Depreciation is the diminution in the financial value of an asset owing to wear and tear, effluxion of time, obsolescence or similar causes.'

Reasons for Existence of Depreciation

- (1) **Constant use of the Asset :** Every asset has a certain working life. If the asset is used constantly, the various parts will begin to

wear down and a time will come when that asset will become useless. As such the value of asset decreases on account of its constant use.

(2) Effluxion of Time or Passage of Time : There are certain assets of which the value diminishes with the lapse of time, even if an asset is not used. Copy-right, Patent rights, and leasehold property decrease in value due to effluxion of time.

(3) Exhaustion of Subject-matter : Some property are such, the value of which decrease by exhaustion of their subject-matter e.g., oil-wells, mines, etc.

(4) Obsolescence : A new invention or a permanent change in demand may necessitate the discarding of old assets. The fall in the value of assets on account of this cause is said to be obsolescence.

(5) Accidents : Any accident e.g., earthquake, heavy rainfall, fire or fall of electricity may put an end to the effective life of the asset. On account of this cause the value of asset diminishes.

Objects or Reasons of Providing Depreciation

The main objectives of providing depreciation may be stated as under:

(1) To Find Correct Profits : Depreciation is an invisible expense. Like other expenses e.g., salary, interest, rent etc., depreciation must also be charged to Profit and Loss account to ascertain the true profit.

(2) To show true Financial Position through Balance Sheet : It is necessary that assets must be shown at their true values in order to ascertain true financial position of the business. If depreciation is not provided then the asset will appear in the Balance Sheet at the overstated value, which will not reflect the true and fair view of the business.

(3) To find correct Cost of Production : Like other expenses, depreciation must also be considered while ascertaining the cost of production.

(4) To keep Owner's Capital Intact : If depreciation is not provided properly, the Profit and Loss account will reveal more profits than the real profit in the business. If such profits are distributed it will be like distribution of Capital. Such distribution is unjust. Hence to keep owner's Capital intact, proper depreciation must be provided.

(5) In order to Compute Tax Liability Correctly : It is necessary to charge depreciation.

(6) To Provide Funds for the Replacement : If no provision for Depreciation is made then funds will be required to be managed, after the expiry of the life of the asset, for its replacement. It is not

easy to arrange funds for the replacement from the Working Capital of the business. Hence, the charging of depreciation may provide funds for the replacement of the asset at the proper time.

Factors Determining amount of Depreciation

The following basic factors should be taken into consideration while determining the amount of depreciation :

(1) Cost of the Asset : The cost of the asset includes all expenses involved in carrying and installing the asset to put it in working condition i.e., freight, insurance, erection or installation charges etc.

(2) Estimated Working Life : The period during which the asset will be used in earning revenue. It may be measured in terms of years, months, hours output (units) or kilometres (for trucks). If expected life is more, the rate of depreciation will be less on or vice versa.

(3) Intensity of Use : More is the use of an asset, the more is the depreciation. State of maintenance is another factor which affects the working life of an asset. If proper repairs are undertaken and the asset is properly maintained, it reduces the annual amount of depreciation.

(4) Residual value or Scrap Value : It is the amount which the asset will fetch when discarded or useless.
Depreciable = Cost - Scrap value.

(5) Nature of the asset : While determining the amount of depreciation, the nature of the asset should also be considered. If the utility of the asset every year is the same, the depreciation should also be the same every year.

(6) Interest on invested Capital : The amount invested on purchase of asset, if had been invested elsewhere what interest would have been earned as income should also be considered.

Depreciation Accounting is a Process of Allocation :
Depreciation means the allocation of an asset over its useful life and charge the amount to Revenue account as an expense. Accounting is a system of accounting which aims to distribute the cost of an asset over the estimated useful life of the asset in a systematic and rational manner. Thus it is a process of allocation of expenditure to various accounting periods, not of valuation of the asset.

Q.4. Describe various methods of charging Depreciation on fixed assets and state their merits and demerits.

Or

Explain the following methods of writing-off Depreciation giving suitable examples : (i) Annuity Method, (ii) Insurance Policy Method, (iii) Revaluation Method.

Or

Explain briefly the different methods of providing Depreciation and mention the circumstances under which each method can be employed advantageously.

Or
Discuss the merits and demerits of various methods of calculating Depreciation.

Ans. The method of calculating the annual charge of Depreciation varies according to the nature and type of assets. There are a number of methods for providing depreciation, and these are as follows :

(1) Fixed Instalment or Straight Line or Original Cost Method:

Under this method a fixed proportion of original cost of the asset is written-off annually so that, by the time the asset is worn out, its value in the books is reduced to zero or residual value. Method of calculation of Depreciation :

$$\text{Annual Depreciation} = \frac{\text{Cost of Asset} - \text{Residual Value}}{\text{Estimated Life of the Asset}}$$

Advantages :

- (1) This method is simple to understand and operate.
- (2) Under this method, the asset can be written-off to zero value.
- (3) Total depreciation can easily be known from the balance sheet.
- (4) This method is useful for providing depreciation on furniture, small tools, short leases, patents and other like assets, which are of small value and have a short life, and do not require many repairs.

Disadvantages :

- (1) With the passage of time, efficiency of asset decreases but the amount of depreciation remains the same every year.
- (2) There is no provision for interest on the amount which is invested in the purchase of an asset.
- (3) If assets are purchased during the year, the calculations of comparative depreciation creates certain problems.

(II) Diminishing or Reducing Balance or Written Down value Method: Under this method, depreciation is charged at a fixed rate on the opening balance of the asset. The depreciation reduces every year. The rate of depreciation is determined by keeping in mind the estimated life and residual value of the asset. In the first year, depreciation is written-off on the original cost and in later years on balance of the asset. The following are the merits and demerit of this method :

Merits : The following are the merits of this method :

- (1) **Proper burden on Profit and Loss Account :** The total burden on Profit & Loss Account is fairly the same year after year. In earlier years when repairs are negligible, the depreciation is

more. As the asset grows older, depreciation decreases and repair expenses increases. So the combined effect of both these remains almost constant on the profit and loss account.

- (2) **Easy Method :** The method is simple. If any additions are made fresh calculations are not necessary.

- (3) **Asset never reduces to Zero :** This is the peculiarity of this method that the book value of the asset can never become zero.

- (4) **Recognised by Income Tax Authorities :** This method is recognised by Income Tax authorities for granting depreciation allowance to assesses.

Demerits : The following are the demerits of this method :

- (1) **No provision of interest on Capital Invested :** This method takes no account of interest on the amount of investment in the purchase of asset.

- (2) **High Rate of Depreciation :** Often the rate of depreciation is determined high.

- (3) **Difficult to Estimate the Cost :** Under this method it is very difficult to know the cost of the asset.

This method is now being increasingly used in practice. This method is suitable for such assets that have a long life where additions and extensions take place so often e.g., Plant and Machinery, Costly Furniture, Building etc.

(III) Annuity Method : Under this method, the spent on the purchase of an asset is treated as capital investment which is assumed to earn interest. Interest is calculated at a fixed rate on the opening balance of the asset and is added to the value of an asset every year assuming that if the businessman had invested somewhere else, he would have earned interest and the investments would have increased by the amount of interest. The amount of depreciation is ascertained from Annuity Tables.

Merits : (1) It is simple and scientific method. (2) This method takes interest on invested capital on the purchased asset. (3) There is proper burden on Profit and Loss Account. (4) Calculations of depreciations are not made again and again. (5) This method is suitable for those assets which require considerable investments and where additions and repairs are very few, e.g., long leases.

Demerits : (1) It is a complicated method and if additions are made to the asset, calculations have to be revised. (2) The net burden on Profit and Loss Account goes on increasing year after, because depreciation that is debited is constant, the interest being credited goes on increasing year after year. (3) Unsuitable for assets having less value.

This method is suitable for long period and costly leases and other assets to which additions are not usually made e.g., Property on lease, coal mines etc.

1

(iv) **Depreciation by replacement method.**—When costly assets are purchased and these are required to be replaced after a fixed period, this method is better and convenient to use. Under this method, a fixed amount is charged for depreciation to the Profit and Loss Account each year, and credited to a Depreciation Fund Account and an equivalent amount is invested in securities outside the business and allowed to accumulate at compound interest, so that at the end of the life span of the asset sufficient money can be raised by selling those securities to replace the asset.

Merits : (1) Provides a separate fund to replace the original asset and the working capital of the business is not disturbed. (2) It is a method (3) Earns compound interest on funds invested.

Demerits: (1) This method is more complicated. (2) Profit & Loss account is not evenly burdened during the life-time of the asset. (3) There is a risk of loss in selling the investments at the time of replacement due to change in their prices.

This method is of particular importance where the object is not merely a replacement but also to replace the asset.

(V) **Insurance Policy Method** : This method is alike Depreciation charge depreciation but also to replace the asset.

Merits : (1) This method is simple and convenient. (2) Better security provided against the risk of loss of an asset.

Demerits : (1) In case of loss the difficulty of the payment of the premium against the risk of loss of an asset.
(2) Insurance company allows a small rate of discount on compound basis.

Method : Under this method, the assets are revalued at the end of each financial year, and the difference between the book value and revaluation amount determines the amount of depreciation.

This method is used in case of those assets which fluctuate very much in value and are subject to depreciation.

e as corks, cranes etc.
5. A Company purchased a second hand machinery on 1st July, 2021 for Rs. 37,000 and immediately spent Rs. 2,000 on its repairs and Rs. 1,000 on its erection. On 1st July, 2022 it used another machine for Rs. 10,000 and on 1st July, 2023 it sold off the first machine purchased in 2021 at Rs. 28,000. On 1st July, 2024 it purchased a machinery for Rs. 25,000. On 1st July, 2025

July, 2024 the second machinery purchased for Rs. 10,000 was also sold off for Rs. 2,000.

Depreciation was provided on machinery @ 10% on the original cost annually on 31st December in 2022, however, the company changed the method of providing depreciation and adopted the written down value method, the rate of depreciation being 15%.

Give the Machinery Account for four years commencing from 1st January 2021.

Ans. Dr.		Machinery A/c		Cr.
Date	Particulars	Rs.	Date	Particulars
2021	To Cash A/c (a)		2021	By Depreciation A/c
Jan. 1	Cost 37,000		Dec. 31	By Balance c/d
	Repairs 2,000			
	Erection Exp. 1,000	40,000		
		<u>40,000</u>		<u>40,000</u>
2022	To Balance b/d	36,000	2022	By Depreciation A/c
Jan. 1	To Cash A/c (b)	10,000	Dec. 31	On Rs. 36,000 @ 15% for full year 5,400
July 1				(b) On Rs. 10,000 @ 15% for 6 months 750
			Dec. 31	By Balance c/d 30,600
				(b) 9,250
		<u>46,000</u>		<u>39,850</u>
2023	To Balance c/d		2023	By Cash A/c (a)
Jan. 1	(a) 30,600		July 1	By Depreciation A/c:
	(b) 9,250	39,850	Dec. 31	(a) On Rs. 36,000 @ 15% for 6 months 2,295
				(b) On Rs. 9,250 @ 15% for full year 1,387
July 1	To Cash A/c (c)	25,000		(c) On Rs. 25,000 @ 15% for 6 Months 1,875
			Dec. 31	By P&L A/c (Loss On Sale) (a) 7,863
				By Balance c/d (b) 23,125
				(c) 30,988
		<u>64,850</u>		<u>64,850</u>

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2024 Jan. 1	To Balance b/d (b)	7,863	2,000
	(c)	23,125	
		30,988	
2024 July 1	By Cash A/c (b) By Depreciation A/c (b) On Rs. 7863 @ 15% for 6 months (c) On Rs. 23,125 @ 15% for full year		590
			3,469
2024 July 31	By P & L A/c (Loss on Sale) (b)		4,059
	By Balance c/d		5,273
2025 Jan. 1	To Balance b/d	30,988	19,656
		19,656	30,988

Q.6. The Machinery account of a factory showed a balance of Rs. 1,90,000 on 1st January 2024. Its accounts were made up on 31st December each year and depreciation is written off at 10% p.a. under the diminishing balance method.

On 1st June, 2024, new machinery was acquired at a cost of Rs. 28,000 and installation charges incurred in erecting the machine works out to Rs. 892, and on the same date, 1st June, 2024 a machine which had cost Rs. 6,000 on 1st January, 2019 was sold for Rs. 750, another machine which had cost Rs. 600 on 1st January 2020 was scrapped on the same date and it realised nothing.

Write up Plant & Machinery Account for the year 2024, allowing the same rate of depreciation as in the past. Calculate depreciation to the nearest multiple of a rupee.

Solution :

Plant & Machinery Account			
Dr.	Particulars	Rs.	Cr.
2024 Jan. 1	To Balance b/d	1,90,000	750
June 1	To Bank a/c (Rs. 28,000+892)	28,892	
	By Bank A/c (Sale) By Depreciation (For 5 months on Machine Sold)		148
	By P & L A/c (Loss on Sale)		2,645
	By P & L A/c (Loss on scrapping machine)		377
	By Depreciation (for 5 months on machine scrapped)		16

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	Dec. 31	2,18,892	20,204
			1,94,752
			2,18,892

Working : (1) Loss on Sale of Machine on June 1, 2024

Cost on 1.1.2019	Rs. 6,000
Less : Depreciation for 2019	600
Book Value on 1.1.2020	5,400
Less : Depreciation for 2020	540
Book value on 1.1.2021	4,860
Less : Depreciation for 2021	486
Book value on 1.1.2022	4,374
Less : Depreciation for 2022	437
Book value on 1.1.2023	3,937
Less : Depreciation for 2023	394
Book value on 1.1.2024	3,543
Less : Depreciation for 5 months @ 10% p.a.	148
Book value on 1.6.2024	3,395
Less : Realised value	750
Loss on sale Rs.	2,645

(2) Loss on Machine Scrapped :

Cost on 1.1.2020	Rs. 600
Less : Depreciation for 2020	60
Book value on 1.1.2021	540
Less : Depreciation for 2021	54
Book value on 1.1.2022	486
Less : Depreciation for 2022	49
Book value on 1.1.2023	437
Less : Depreciation for 2023	44
Book value on 1.1.2024	393
Less : Depreciation for 5 months	16
Loss on Scrapped Machine Rs.	377

Q.7. On 1st January, 2021, a fixed asset was purchased for Rs. 50,000. The life of the asset is estimated as five years. In order to purchase new assets on the expiry of the old one, a Depreciation Fund Account was opened and the requisite sum was invested in securities yielding 5% interest. According to Sinking Fund Table annual depreciation amounts to Rs. 9,050. Investments are sold for Rs. 39,156 on 31st December, 2025. Prepare necessary accounts in ledger.

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Solution :

Depreciation A/c			
Dr.	Particulars	Rs.	Cr.
31.12.21	To Depreciation Fund A/c	9,050	
31.12.22	To Depreciation Fund A/c	9,050	
31.12.23	To Depreciation Fund A/c	9,050	
31.12.24	To Depreciation Fund A/c	9,050	
31.12.25	To Depreciation Fund A/c	9,050	
			9,050

Depreciation Fund A/c			
Dr.	Particulars	Rs.	Cr.
31.12.21	To Balance c/d	9,050.00	
31.12.22	To Balance c/d	18,552.50	
			9,050.00
31.12.23	To Balance c/d	18,552.50	
			9,050.00
31.12.24	To Balance c/d	28,530.12	
			9,050.00
31.12.25	To Balance c/d	39,006.63	
			9,050.00
			149.37
			50,156.33

Depreciation Fund Investment A/c			
Dr.	Particulars	Rs.	Cr.
31.12.21	To Bank A/c	9,050	
1.1.22	To Balance b/d	9,050.00	
31.12.22	To Bank A/c	9,502.50	

Financial Accounting			
Dr.	Particulars	Rs.	Cr.
1.1.23	To Balance b/d	18,552.50	
31.12.23	To Bank A/c	18,552.50	
			9,977.62
1.1.24	To Balance b/d	28,530.12	
31.12.24	To Bank A/c	28,530.12	
			10,476.51
1.1.25	To Balance b/d	39,006.63	
31.12.25	To Depreciation Fund A/c	39,006.63	
			149.37
			39,156.00

Fixed Asset A/c			
Dr.	Particulars	Rs.	Cr.
1.1.21	To Bank A/c	50,000	
1.1.22	To Balance b/d	50,000	
1.1.23	To Balance b/d	50,000	
1.1.24	To Balance b/d	50,000	
1.1.25	To Balance b/d	50,000	
			By Depreciation Fund A/c
			50,000

Q.8. M/s Pandey & Co. purchased a machine for Rs. 1,00,000 to be replaced after 4 years. An insurance policy is taken for Rs. 1,00,000 to ensure availability of funds at the time of replacement, the annual premium being Rs. 22,500. At the end of 4 years a new machine is purchased for Rs. 1,10,000 and the old machine written off. Record the transactions in the ledger.

Solution :

Depreciation Fund Account			
Dr.	Particulars	Rs.	Cr.
Year I (End)	To Balance c/d	22,500	
Year II (End)	To Balance c/d	22,500	
Year III (End)	To Balance c/d	45,000	
Year IV (End)	To Balance c/d	67,500	
			By Depreciation a/c
			22,500
			45,000
			67,500
			1,00,000
			By Balance b/d
			By Depreciation A/c
			By Policy A/c
			By Fund (Transfer of Profit)
			10,000
			1,00,000

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Depreciation Fund Policy Account				
Dr.	Particulars	Rs.	Date	Cr.
Year I (Beginning)	To Bank A/c	22,500	Year I (End)	By Balance c/d
Year II (Beginning)	To Balance b/d	22,500	Year II (End)	By Balance c/d
Year III (Beginning)	To Bank A/c	22,500	Year III (End)	By Balance c/d
Year IV (Beginning)	To Balance b/d	45,000	Year IV (End)	By Bank A/c
Year IV (End)	To Bank A/c	45,000		
	To Dep. Fund A/c	67,500		
	(Transfer of Profit)	67,500		
		10,000		
		1,00,000		
		1,00,000		

(Old) Machinery Account				
Dr.	Particulars	Rs.	Date	Cr.
Year I (Beginning)	To Bank A/c	1,00,000	Year I (End)	By Balance c/d
Year II (Beginning)	To Balance b/d	1,00,000	Year II (End)	By Balance c/d
Year III (Beginning)	To Balance b/d	1,00,000	Year III (End)	By Balance c/d
Year IV (Beginning)	To Balance b/d	1,00,000	Year IV (End)	By Dep. Fund A/c
Year IV (End)				

New Machinery Account				
Dr.	Particulars	Rs.	Date	Cr.
Year IV (End)	To Bank A/c	1,10,000		

Q.9. A Businessman acquired a lease costing Rs. One lakh for a term of 4 years on 1st January, 2021. You find from the Annuity Table that in order to write-off the lease on annuity method at 5% interest per annum, the amount to be written-off annually as depreciation amounts to Rs. 28,201.20. Prepare the lease account for all the four years.

Depreciation Fund Policy Account				
Ans. Dr.	Particulars	Rs.	Date	Cr.
2021 Jan. 1	To Bank A/c	1,00,000.00	2021 Dec. 31	By Depreciation A/c
Dec. 31	To Interest A/c	5,000.00	2021 Dec. 31	By Balance c/d
		1,05,000.00		
2022 Jan. 1	To Balance b/d	76,798.80	2022 Dec. 31	By Depreciation A/c
Dec. 31	To Interest A/c	3,839.94	2022 Dec. 31	By Balance c/d
		80,638.74		
2023 Jan. 1	To Balance b/d	52,437.54	2023 Dec. 31	By Depreciation

Financial Accounting [55]				
Dec. 31	To Interest A/c	2,021.88	Dec. 31	By Balance c/d
2024 Jan. 1	To Balance b/d	55,059.42	2024 Dec. 31	By Depreciation A/c
Dec. 31	To Interest A/c	26,858.22		
		1,242.98		
		28,201.20		
				28,201.20

Q-10. What is the meaning of Royalty? What is the difference between Royalty and Rent?

Ans. Royalty : Any Individual, Firm, Company or any other Institution pays a particulars amount as per agreement for acquiring a special Right for using other's property. This amount which is paid as a consideration for the use of special Rights is termed as Royalty.

Main Definitions of Royalty :

- (1) According to William Pickles, 'Royalty is the remuneration payable to person in respect of the use of an asset, whether hired or purchased from such person, calculated by reference to and varying with quantities produced or sold as a result of such asset.'
- (2) 'The amount payable according to mutual agreement on the basis of prescribed terms and conditions for consideration of use of any special Right during a definite period is treated as royalty. This is mostly payable on publishing a book, manufacture, Patented Article or working a mine.'
- (3) Consideration for the use of special right is called Royalty.

Difference between Rent and Royalty

Rent	Royalty
(1) Rent is the consideration payable for the use of some tangible asset ; tangible asset here means Building and Machinery, etc.	(1) Royalty is the consideration payable for the use of special right in a tangible or intangible assets.
(2) Rent is mostly payable according to time as per day, per week, per month or per year.	(2) Payment of royalty depends on yield or production etc.

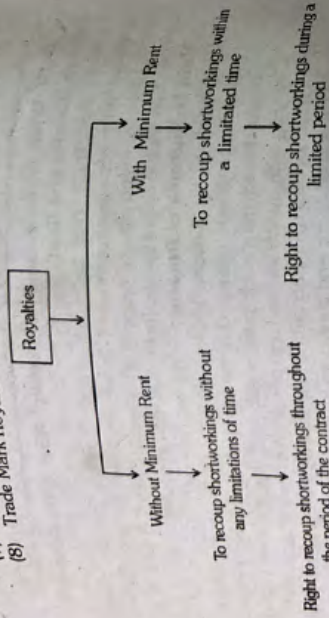
In the some cases rent is taken in place of royalty which are as follows:

- (1) For taking out or producing various articles from forests
- (2) For use of sand from river bed.
- (3) For taking out fish etc. from the water.

Types of Royalties : There are many types of royalties but following types of royalties are very popular :

- (1) Mining Royalties
- (2) Brick making Royalties
- (3) Oil wells Royalties
- (4) Patent Royalties

- (5) Copyright Royalties
(6) Royalties in connection with machines, secret process and technical knowledge, etc.
(7) Royalties to foreign companies for sale of produce
(8) Trade Mark Royalties.



Q.11. Explain the terms :

- (a) Dead Rent or Fixed Rent or Flat Rent
(b) Redeemable Minimum Rent
(c) Short Working

Ans. (a) Minimum Rent or Dead Rent or Fixed Rent or Flat Rent : Minimum rent is the amount below which landlord never accepts in any year from the person who has to pay the royalty in case of mines. If this amount is prescribed in the agreement of Royalty then the person who has to receive a royalty will under no circumstances will receive less amount than the amount of minimum rent mentioned in the Agreement. If in any year amount of royalty is less than the amount of minimum rent, it is the amount of minimum rent which will be payable by the person who has to pay the royalty; but if the amount of royalty is more than the amount of minimum rent, royalty will be paid.

(b) Redeemable Minimum Rent : When minimum rent is more than royalty, minimum rent is payable if no contrary provision is given in the Agreement; but if it is mentioned in the Agreement that when royalty will be more than minimum rent, the excess of minimum rent over royalty paid in the earlier years will be written off out of the excess of royalty over minimum rent in the coming year or years, such minimum rent is called Redeemable Minimum Rent.

(c) Shortworkings : Excess of minimum rent over royalty is called Shortworkings.

Minimum Rent – Royalty = Shortworking or M.R. – R. = S.W.

Conditions about Shortworkings : In case of Royalty Account mostly following points are mentioned : (i) Rate of Royalty (ii) amount of Minimum Rent, (iii) if in any year royalty will be less than minimum rent, the amount of minimum rent will be paid, (iv) when royalty will be more than minimum rent, amount of the Shortworkings of the earlier periods may be recouped out of the excess of royalty over minimum rent. Such amount of shortworkings which may be recouped is known as Redeemable Shortworkings.

Q.12. Give the Journal entries that have to be passed in the books of lessee when shortworkings can be recouped.

Ans. Accounting Record in the Books of Lessee :

(A) When Royalty is less than Minimum Rent :

(i) When Royalty is payable
Royalties A/cDr.
Shortworking A/c

To Landlord A/c

(Being royalties earned and shortworkings to be payable to the landlord)

(ii) When payment is made
Landlord A/cDr.
To Bank A/c

(Being amount paid to landlord)

(iii) For Closing Royalty Account at the end of the year
P & L A/cDr.
To Royalties A/c

(Being the amount of royalties transferred to P & L A/c)

In place of above first Journal entry i.e., (i) following two entries may be made :

(a) Minimum Rent or Dead Rent A/cDr.
To Landlord A/c

(Being minimum rent payable to landlord)

(b) Royalties A/cDr.
Shortworkings A/cDr.

To Minimum Rent or Dead rent A/c

(Being the balance of Minimum Rent A/c or Dead Rent A/c transferred to Royalties and Shortworking A/cs)

It must be carefully noted that minimum rent or dead rent account is opened only in those years when royalty is less than minimum rent and specific instructions are given in the question for its preparation. Minimum Rent Account is not opened when royalty is equal to minimum rent or more than minimum rent.

(B) When Royalty is more than Minimum Rent :

(i) When Royalty is payable

chartworking Account

Illustration-2. Mohan took a mine on lease for 20 years. Rate of Royalty is Re. 1 per ton. Minimum Rent is Rs. 8,000 per year. S.W. of that year will not be recouped in which yield will be less than 4,000 tons and the year in which royalty will be more than minimum rent, only 50% of process will be used for recoupment of shortworkings.

Solution :

In the Books of Lessee

Analytical Table

(1) Excess of Royalty over Minimum Rent is Rs. 1,000. As only 50% of the excess will be used for recoupment, hence $\text{Rs. } \frac{1,00 \times 50}{100} = \text{Rs. } 500$ will be recouped.

(2) This year yield is only 3,500 tone which is less than 4,000 tons, hence it is not allowed to be recouped and is therefore transferred to P & L Account.

Landlord Account

Shortworking Account

Shortworking Account

Royalties Account

Royalties Account

I Yr.	To Landlord A/c	Rs.		I Yr.	By P & L A/c	Rs.
		3,500				
II Yr.	To Landlord A/c	7,500		II Yr.	By P & L A/c	7,000
III Yr.	To Landlord A/c	7,500		III Yr.	By P & L A/c	7,500
IV Yr.	To Landlord A/c	9,000		IV Yr.	By P & L A/c	9,000

1. The head office maintains accounts of debtors and branch stock, and calculates branch profit or loss.

2. **Stock and Debtors System:**

- More detailed than the debtor system.
- Provides better control over both stock and debtors separately.

3. **Final Accounts System:**

- Used by independent branches that prepare their own final accounts.
- These are then incorporated into the head office books.

4. **Wholesale Branch System:**

- Goods are invoiced to branches at cost plus a margin.
 - Helps measure branch efficiency and prevents manipulation.
- In conclusion, the type of branch determines the accounting system adopted. Small dependent branches are controlled directly by the head office, while large independent branches maintain full books. This classification ensures that branch operations are monitored and integrated smoothly into overall business accounts.

Q.3 What is meant by Branch Accounts? Explain in brief the different types of Branches.

What are Branch Accounts and What are their types? What are the rules of recording Branch Transactions?

Give journal entries to incorporate the Trial Balance of independent branch in the books of Head Office.

Or

Distinguish between dependent and Independent Branches.

Or

What do you know by Branch Account? How accounts are maintained in the books? Mention the various types of Branches.

Or

How many types of Branches are there? What journal entries are made in the books of Head Office to incorporate Branch Trial Balance.

Ans. The manufacturer, who is producing goods on a large scale, would like to sell their products in different parts of the country and for this purpose he has to open several branches in different cities. The branches can be opened in different localities in the same city and also in different parts of the country or in another country. The importance of branches has increased considerably in recent times. In order to obtain the maximum advantage, it is essential that proper accounts should be maintained.

Types of Branches : The types of branches are the following :

(1) **Dependent Branches :** Dependent branches are such branches where head office exercise considerable control in varied forms. Normally,

such a branch is not permitted to purchase goods from outside. All supplies come from head office. All branch expenses are directly paid by head office in the matter of sales branch is advised to deal in cash only. All cash is remitted to head office or deposited in head office account with a local bank, daily. Almost all accounting work of such a branch is done at the head office. The branch is concerned with the preparation of cash and stock statements. These branches can be divided into following categories :

- (i) A branch which receives goods from the head office and sells them for cash— Head office sends goods at cost price. Branches make only cash sales. All the receipts are remitted to head office. The head office meets all the expenses of such a branch.
- (ii) A branch which receives goods from the head office and sells them both for cash and credit— The goods are sent to such a branch at cost price. Branch makes both cash and credit sales. The head office meets all the expenses.
- (iii) A branch which receives goods from the head office at invoice price and sells them both for cash and credit— When goods supplied by the head office at invoice price i.e., cost price plus a certain percentage of profit, the branch manager cannot ascertain the margin of profit earned. Thus a competitive business cannot be carried independently.

(2) **Independent Branches :** A branch which receives goods from the head office and is also permitted to make purchases itself and to incur the necessary expenditure is known as a independent branch. Such branches act independently of the head office and usually maintain their own books of accounts. The cash receipts are remitted to the head office at some fixed period. At the end of the accounting period the branch trial balance is incorporated in head office books in order to give a complete picture of the business.

(3) **Foreign Branches :** Where a branch is situated in a country foreign to the head office is known as a foreign branch. A foreign branch enjoys almost complete autonomy and functions like an inland independent branch. A foreign branch maintains complete set of double entry records and draws out trial balance and prepares its final accounts. As usual, a copy of the trial balance is sent to the head office for being incorporated there in. The accounts of a foreign branch are kept in the currency of its location as against the home currency. The head office converts the foreign branch trial balance into home currency for being incorporated with its own.

Incorporation of Branch Trial Balance in the books of Head office— Independent branches prepare their Trial Balance at the end of the accounting period and sends to head office to incorporate the same in its

[illegible]

UNIT-8

Long and Short Answer type Questions :

Q.1. What are Branch Accounts? Explain their objectives and importance.

Ans. A branch is a subdivision of a business that is located away from the head office, often in another city, state, or even country. Branch Accounts are the records maintained for such branches to capture their financial activities separately from the head office. Since large organizations often operate through multiple branches, keeping proper accounts for each branch becomes essential.

The objectives of Branch Accounts are:

1. **To know branch performance:** By preparing branch accounts, the head office can determine which branches are profitable and which are incurring losses.
2. **To exercise control:** Branch accounts help detect fraud, mismanagement, or inefficiency at the branch level by comparing reported data with head office records.
3. **To ascertain financial position:** They show the assets and liabilities at each branch, which is important for decision-making.
4. **To ensure accountability:** Branch managers are made responsible for sales, collections, and expenses, improving transparency.
5. **To facilitate expansion:** When a company plans to expand, branch results provide insights into which markets are strong.

The Importance of Branch Accounts is seen in real-life businesses like banks, retail chains, courier services, and insurance companies, which operate through multiple branches. For example, HDFC Bank has branches across India, and each branch's financial results are consolidated to prepare the bank's overall accounts. Without branch accounting, the bank would never know which branches are performing effectively.

Branch accounts also help in **tax compliance**, especially when branches operate in different states with varying tax rules. For international branches, they aid in currency conversion and consolidation into the head office accounts.

In conclusion, Branch Accounts are not only a technical necessity but also a managerial tool. They allow for **performance analysis, better decision-making, fraud detection, and accountability**. For large businesses spread across regions, branch accounts ensure smooth functioning and reliable reporting, making them one of the most important aspects of financial accounting.

Q.2 Explain the different types of Branches and the accounting systems used for them.

Branches vary depending on the level of independence they enjoy in conducting their operations. Broadly, there are three types of branches:

1. Dependent Branches:

- These branches operate under strict control of the head office.
- They do not maintain full accounts; instead, they send sales and cash details to the head office.
- Goods are usually supplied by the head office, either at cost price or with a markup.
- Suitable for small retail outlets. For example, Bata footwear shops in small towns.

2. Independent Branches:

- These branches enjoy autonomy in purchases, sales, and expense management.
- They maintain their own books, prepare trial balances, and then send reports to the head office for consolidation.
- This system is generally adopted for large branches or foreign branches. Example: Infosys offices in the US and UK.

3. Foreign Branches:

- Located outside the home country and keep records in local currency.
- At year-end, accounts must be converted into the reporting currency of the head office using prescribed exchange rates.

Accounting Systems for Branches:

1. Debtors System:

- Used for small dependent branches.

[62] First Year

No Right to recoup Shortworkings

Sometimes it is agreed that right of recoupment of shortworking will not be available to lessee. In such a case, following entries will be made in the books of lessee.

When Royalty is less than Minimum Rent

- (i) Royalties A/c ...Dr.
S.W. Irrecoverable A/c ...Dr.
To Landlord A/c ...
(ii) Landlord A/c ...Dr.
To Bank A/c ...Dr.
(iii) P & L A/c ...Dr.
To Royalties A/c ...
To S.W. Irrecoverable A/c ...

Alternative Method No. 1

- (i) Royalties A/c ...Dr.
P & L A/c ...Dr.
To Landlord A/c ...
(ii) Landlord A/c ...Dr.
To Bank A/c ...
(iii) P & L A/c ...Dr.
To Royalties A/c ...

Alternative Method No. 2

- (i) Royalties A/c² or Minimum Rent A/c ...Dr.
To Landlord A/c ...
(ii) Landlord A/c ...Dr.
To Bank A/c ...
(iii) P & L A/c ...Dr.
To Royalties² A/c or Minimum Rent A/c ...

- (1) Here in this Profit and Loss Account, that amount of S.W. will be recorded which is not recoverable.
(2) Here is Royalties Account, the amount of the minimum rent will be debited and not the amount of royalties.

Illustration-3. A took a mine under a lease. Royalty is Re. 1 per ton and minimum rent is Rs. 12,000 per annum. Each year's shortworking is recoverable during the subsequent two years. If any year the normal rent was not attained due to strike, the minimum rent was to be regarded as having been reduced proportionately having regard to the length of the stoppage. The output was as follows :

2020	Tons
2021	10,000
	9,000

[Financial Accounting] [63]

2022	13,000
2023	8,000
2024	12,000

During the year 2024, there was a strike for five months. Prepare landlord account and shortworkings account in the books of A. Each year A's books are closed on 31st December.

Solution :

Analytical Table

Years	Output	Royalty	Minimum Rent	Shortworkings	Recoupment of S.W.	Intercouped Shortworkings transferred to P & L A/c
2020	Tons 10,000	Rs. 10,000	Rs. 12,000	Rs. 2,000	Rs. -	-
2021	9,000	9,000	12,000	3,000	-	-
2022	13,000	13,000	12,000	-	1,000	1,000
2023	8,000	8,000	7,000 ¹	-	1,000	2,000
2024	12,000	12,000	12,000	-	-	-

$$(1) \text{ Minimum rent} = \frac{12,000 \times 6}{12} = \text{Rs. 5,000};$$

$$\text{Rs. } 12,000 - 5,000 = \text{Rs. } 7,000$$

In the Books of A Landlord Account

2020 Dec. 31	To Bank A/c	Rs. 12,000	2020 Dec. 31	By Royalty A/c	Rs. 10,000
				By S.W. A/c	2,000
2021 Dec. 31	To Bank A/c	Rs. 12,000			
			2021 Dec. 31	By Royalty A/c	9,000
				By S.W. A/c	3,000
2022 Dec. 31	To S.W. A/c	Rs. 12,000			
	To Bank A/c		2022 Dec. 31	By Royalty A/c	13,000
2023 Dec. 31	To S.W. A/c	Rs. 13,000			
	To Bank A/c		2023 Dec. 31	By Royalty A/c	8,000
2024 Dec. 31	To Bank A/c	Rs. 12,000			
			2024 Dec. 31	By Royalty A/c	12,000

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Profit & Loss Account for the year ended 31st March, 2024

	H.O. Rs.	Branch Rs.	H.O. Rs.	Branch Rs.
To Branch Stock			16,92,000	95,000
Reserve A/c				
99,000 × 80	44,000			
180	16,48,000	95,000		
To Net Profit	16,92,000	95,000	16,92,000	95,000

Q.7. Head office sends goods to its branch at selling price less 15%. The Branch Manager gets commission equal to 1/3 of the profit earned on Invoice price.

The Trial Balance of the year ending on 31st March, 2024 is

as follows :

	Head Office		Branch Office	
	Dr. (Rs.)	Cr. (Rs.)	Dr. (Rs.)	Cr. (Rs.)
Capital				
Debtors				
Creditors	89,700	94,200	7,550	6,150
Stock at the beginning :				
Head Office	1,24,150			
Branch Office	23,230			
Stock at Branch	32,150			
Purchases in the beginning		36,270		
at Invoice Price				
Goods Sent during the year		1,02,500		
(Invoice)			14,680	
Salary	35,280		2,290	
Sundry Expenses	16,170		5,800	
Branch Adjustment A/c			3,260	
Cash	24,800		2,000	
Furniture	15,000			
Sales		4,10,160		1,68,200
	6,67,730	6,67,730	1,74,350	1,74,350

Cost of the goods sent to Chennai is Rs. 81,900. Stock at Chennai was of Rs. 45,270 and at Madras Rs. 14,160 and Invoice price was Rs. 17,660. This difference was due to Cash-in-transit. You are required to prepare Branch Trading and Profit and Loss Account and Trading and Profit and Loss Account and Balance Sheet business as a whole.

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Ans. Branch Trading & Profit & Loss A/c for the year ended 31st March, 2024 (Invoice Price)

	Rs.	Rs.	Rs.
To Opening Stock	36,270	By Sales	1,68,200
To Goods Received	1,02,500	By Closing Stock	17,660
To Gross Profit	47,090		
	1,85,860		1,85,860
To Salaries	14,680	By Gross Profit	47,090
To Sundry Expenses	2,290		
To Managers Commission			
1/3 of 30,120	10,040		
(47,090-14,680-2,290)	20,080		
To Net Profit	47,090		
	47,090		47,090

Trading and Profit & Loss Account

	H.O.	Branch	H.O.	Branch
To Opening Stock	1,24,150	32,150	4,10,160	1,68,200
To Purchases	3,07,250	-		
To Goods Received		81,900	81,900	-
To Gross Profits	1,05,930	68,310	45,270	14,160
	5,37,330	1,82,360		
To Salaries			5,37,330	1,82,360
To Sundry Expenses	35,280	14,680		
To Commission	16,170	2,290	1,05,930	68,310
To Net Profit		10,040		
	54,480	41,300		
	1,05,930	68,310	1,05,930	68,310

Balance Sheet as at 31st March, 2024

Liabilities	Rs.	Assets	Rs.
Capital	94,200	Cash :	
+ Profit H.O.	54,480	H.O.	24,800
B.O.	41,300	B.O.	3,260
	1,89,980	Cash-in-Transit	28,060
Sundry Creditors :			29,030
H.O.	24,600		
B.O.	6,150		
Manager's Commission	30,750		
(Outstanding)	10,040	Debtors :	
		H.O.	89,700
		B.O.	7,550
		Stock at Cost :	97,250
		H.O.	45,270
		B.O.	14,160
			59,430

Head Office Account when it remits cash to head office but because the Head Office has not received the amount, the head office will not credit the head office branch account. Hence to reconcile them, the adjusting entry will be made in the Branch books:

Cash-in-Transit A/c • Dr.
To Head Office A/c

In the beginning of the next year, the entry will be reversed.

Similarly, if the head office remits cash to the branch but not received by the branch before the closing of the books, the entry in the books of the head office will be—

Cash-in-Transit A/c Dr.
To Branch A/c

(d) **Depreciation on Branch Fixed Assets** : Generally the head office maintains the fixed assets as Building, Machinery, Furniture & Fixtures. Because the branch uses the asset, it is treated as an expense of the branch, the entry in the Branch books will be :

Depreciation A/c Dr.
To Head office A/c

In the books of Head office the entry will be made :

Branch A/c Dr.
To Branch Assets A/c

Q.5. Explain the method of converting figures of Trial Balance of a foreign branch into the home currency of Head Office.

Or

How are figures in the foreign Branch Trial Balance converted in the Head office Books for the purpose of their incorporation in the books of Head Office.

Ans. The following rules are to be taken into consideration while converting the figures in the foreign branch Trial Balance in the books of the head office :

- (1) If the fluctuations in the rate of exchange are neither violent nor frequent the trial balance is to be converted at a fixed rate.
- (2) Where the rate of exchange is subject to wide, violent and frequent fluctuations the following rules are to be adopted :

- (i) **Opening and Closing Stock** : Opening stock should be converted at the opening rate, and closing stock at the closing rate.
- (ii) **Fixed Assets** : Fixed assets of the branch should be converted at the rate prevailing on the day when they are acquired or on the date of contract. For one asset one rate should be used and used every time.
- (iii) **Fixed Liabilities** : At the rate prevailing on the date on which the liability when incurred or the payment was made.

(iv) **Floating Assets and Floating Liabilities** : These should be converted at the rate prevailing on the last day of the year.

(v) **Revenue Items** : e.g. Purchases, Sales, Salaries, wages, commission, discount etc., should be converted at the average rate.

(vi) **Bad Debts and Reserve for Bad Debts** should be converted at the closing rate.

(vii) **Depreciation** should be converted at the same rate as that applicable to the relative asset.

(viii) **Remittances to and from Head Office** : At the actual rate at which they are made.

(ix) **Head Office Account** : At the amount equivalent appearing in the Branch Account in the head office books.

The Trial Balance will now disagree. The difference should be put on the shorter side in an account called 'Difference in Exchange Account or 'Exchange Suspense Account' which is later on transferred to Profit & Loss Account.

Q.6. A Ltd. has a retail branch at Indore, goods are sold to customers at cost plus 10%. The wholesale price is cost plus 80%. Goods are invoiced to Indore at wholesale price. From the following particulars find out the profit made at Head Office and Branch for the year ended on 31st March, 2024.

	Head office Rs.	Indore Branch Rs.
Stock (1st April, 2023)	2,25,000	
Purchases	21,50,000	
Goods sent to Branch (at invoice price)	9,54,000	
Sales	28,53,000	9,50,000
Stock on 31st March, 2024	2,60,000	99,000

Sales at Head Office are made only on wholesales basis and than at Branch only to Customers. Stock at Branch is valued at Invoice Price.

Solution :

Trading Account for the year ended 31st March, 2024

	H.O. Rs.	Branch Rs.	H.O. Rs.	Branch Rs.
To Opening Stock	2,25,000		By Sales	28,53,000
To Purchases	21,50,000		By Good Sent to Branch	9,54,000
To Goods Received from H.O.		9,54,000	By Closing Stock	2,60,000
To P & L Ac	16,92,000	95,000		99,000
	40,67,000	10,49,000		40,67,000
				10,49,000

(3) To Help in framing business policy : Departmental accounts are of very great assistance in framing business policy.

(4) To Help in increasing profits : Head of each department tries to increase its profits every year. The manager of that department is treated most efficient, whose profit is found out maximum. On account of the tendency of comparison of profits of various departments, manager of each department does his best for the department. He help in increasing the profit to the business unit as a whole.

(5) To determine the real position of the business : On the basis of departmental accounts, the owner of the business can find out the real position of the business at any time and on the basis of this information, he can take necessary steps to increase his business.

Q.11. How are departmental accounts prepared?
Or

What is the impact of inter departmental transactions on Trading and profit and loss Accounting?

Ans. Departmental Accounting :

(1) Each department keeps for its purchase, sale, stock, and expenses separate accounts.

(2) If departments are few, only one purchase book is kept and in this book one column for each department is made and in this column purchase of the department concerned is recorded. Total of purchase of all departments is recorded in total column. In the same way sales of all departments are kept in column form of sales books. In this book also column for each departments are kept. Separate columns for each department are kept in Sales Returns Book and Purchases Return Book.

Specimen of Departmental Purchases Book

Date	Particulars	Inward Invoice No.	L.F.	Total	Dept. (A)	Dept. (B)	Dept. (C)	Dept. (D)
					Rs.	Rs.	Rs.	Rs.

Specimen of Departmental Sales book

Date	Particulars	Outward Invoice No.	L.F.	Total	Dept. (A)	Dept. (B)	Dept. (C)	Dept. (D)
					Rs.	Rs.	Rs.	Rs.

(3) **Records of Expenses** : Expenses of the department concerned are recorded in the concerned department. The expenses which relate to all the departments are allocated on the same basis in various departments and are then recorded in the departmental accounts. Correct profit or loss of a department can be found out only when all the expenses of the concerned department have been recorded in its accounts.

Allocation of Expenses : There are many rules regarding allocation of expenses. Out of these rules some important rules are discussed below :

(1) **Allocation according to sales** : Sales commission, advertisement expenses, salary of salesman and sales expenses are allocated in the ratio of sales of various departments.

(2) **Allocation according to place** : The expenses, whose benefit is derived by each department according to its area are allocated in the ratio of floor space occupied by each department. Examples are rates and taxes and municipal rent.

(3) **Electricity Charges** : Electricity charges are dividend in the ratio of number of points used in each department, but voltage used in each department is also considered for this purpose.

(4) **Insurance of goods** : Division of this expense is made on the basis of the stock of each department.

(5) **Electric Power** : If electric power is used for operating machines, consumption of power by various machines is estimated and on the basis of this consumption allocation of electric power charges is made. If each department has a separate meter, electric charges are allocated on the basis of meter reading of various departments.

(6) **Depreciation** : Depreciation is allocated on the basis of the values of the plant of each department.

(7) **Salary of Factory Manager** : Salary of factory manager is divided in the ratio of time devoted by this manager in each department.

(8) **Workmen's Compensation Insurance** : This insurance is allocated in the ratio of wages of each department.

(9) **Insurance of Premises** : This insurance is apportioned in the ratio of premises occupied by each department.

(10) **Repairs of Machinery** : Repairs of machinery can be allocated in the ratio of values of machinery used in each department.

(11) **Premiums for loss of Profits** : Premiums paid for loss of profits policy can be allocated on the basis of profit of each department of the immediately previous period.

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2,680 on 31st Dec. 2024 and Furniture appeared in the Head office books at pound 350. It is assumed that the rate of exchange on 31-12-2023 was Rs. 14 and on 31-12-2024 Rs. 13, The rate for the year was Rs. 12. Prepare in the Head office the Profit and Loss Account and Balance-Sheet of the Branch.

Ans.

Converted Trial Balance		Dr.		Cr.	
Particulars		Rate (Rs.)	Rate (Pound)	Rate (Rs.)	Rate (Pound)
Stock on 1-1-2024		14	900		
Purchases and Sales		12	6,250		9,375
Debtors and Creditors		13	3,000		2,000
Bills Receivable and Payable		13	800		700
Wages and Salaries		12	400		
Rent & Tax		12	300		
Sundry Charges		12	125		
Furniture			350		2,680
Cash at Bank		13	2,230		
London Account			400		
Exchange Suspense					
Stock on 31-12-2024 Rs. 32,500					
@ Rs. 13 = Pound 2,500					
		14,755			14,755

Branch Trading and Profit & Loss Account

For the year ending 31st December 2024

Dr.	Cr.	
To Stock (1-1-2024)	By Sales	9,375
To Purchases	By Closing Stock (On 31-12-2024)	2,500
To Gross Profit c/d		
	11,875	11,875
To Wages & Salaries	By Gross Profit b/d	4,725
To Rent & Tax		
To Sundry Charges		
To Net Profit		4,725
	4,725	4,725

Balance Sheet of Branch (As at 31-12-2024)

Liabilities	Pound	Assets	Pound
Sundry Creditors	2,000	Cash at Bank	2,230
Bills Payable	700	Stock	2,500
London Account:		Bills Receivable	800
Balance	2,680	Sundry Debtors	3,000
(+) Net Profit	3,900	Fixtures	350
		Exchange Suspense A/c	400
			9,280

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Q-10. What is the meaning of Departmental accounts? Describe its advantages.

Ans. Departmental Accounts : In some companies like insurance, keeping of departments is essential by law. If a company is doing both marine and fire insurance business, it has to keep separate accounts relating to fire and marine. When a business is divided in many departments, then the accounts which are kept for these departments are called departmental accounts.

Difference between Branches and Departments : Following are the differences between branches and departments :

Basis Accounts	Branch Account	Departmental Account
	Branch accounting records are at different place hence their accounting records are kept at the place of the branches, though they are also kept at head office	Departmental accounting record is kept at one place because they remain under one roof
Place	Branches of a concern are established at different places in the same town or at different towns.	All the departments of a business remain generally under one roof.
Objects	Branches are opened to increase sales and to come in contact with the customers.	The departments are made to increase the efficiency of the business and to carry on work more smoothly.
Inland and Foreign	Branches may be either inland or foreign	Departments are always inland.

Advantages of Departmental Accounts :

(1) To determine profits : By departmental Accounts not only the profits of the departments are known but also the profit of the whole concern can be ascertained.

(2) To Help in increasing efficiency : When a businessman does not keep departmental accounts and he does not earn as much profit as he expects from it, then he regards whole business as bad and he starts thinking to do some other business. If the profit of that business is determined by preparing departmental accounts, then it can be found out that whole business is not bad but only some departments are inefficient. Under such circumstances, businessman will pay his maximum attention to increase the efficiency of inferior departments and thus he will be able to increase his profits.

Furniture :	
H.O.	15,000
B.O.	2,000
	<u>17,000</u>
	2,30,770

Q.8. Rama & Co., has its branch at Indore. Goods are supplied to Branch after adding 25% to cost. From the following particulars of the Branch prepare Branch Stock Account, Branch Expenses Account, Branch Stock Reserve Account and Branch Adjustment Account to show the net profit of the Branch :

Cash	Rs. 34,800
Credit Sales	Rs. 7,200
Cash received from Debtors	Rs. 10,000
Goods sent to Branch	Rs. 38,000

Expenses paid by Head Office- Rent & Taxes Rs. 1,800; Wages Rs. 1,520; Sundry Expenses Rs. 200; Discount allowed to customers Rs. 400; Goods returned by Customers Rs. 200; Goods spoiled Rs. 100; Opening stock Rs. 6,000; Opening Debtors Rs. 4,000.

Ans.

Branch Stock Account

Rs.		Rs.
	To Balance b/d	6,000
	To Goods Supplied to Branch A/c	38,000
	To Branch Debtors A/c (Sales Returns)	200
		<u>44,200</u>
	By Cash A/c (Cash Sales)	34,800
	By Branch Debtors A/c (Credit Sales)	7,200
	By Branch Adjustment A/c (Goods Spoiled)	100
	By Balance c/d	2,100
		<u>44,200</u>

Goods Supplied to Branch Account

	Rs.	Rs.	
To Branch Adjustment A/c (Loading)	7,600	By Branch Stock A/c	38,000
To Purchases A/c	30,400		
	38,000		

Branch Expenses Account

Branch Expenses Account			
	Rs.	By Branch Adjustment A/c	Rs.
To Cash A/c	1,800		3,920
To Rent, Taxes & Wages	1,520		
To Sundry Expenses	200		
To Discount Allowed	400		
	3,920		3,920

Branch Debtors Account

	Rs.		Rs.
To Balance b/d	4,000	By Branch Stock A/c (Sales Returns)	200
To Branch Stock A/c (Credit Sales)	7,200	By Branch Expenses A/c	400
		By Cash A/c	10,000
	<u>11,200</u>	By Balance c/d	600
			<u>11,200</u>

Branch Stock Reserve A/c

	Rs.		Rs.
To Branch Adjustment A/c	1,200	By Balance b/d	1,200
To Balance c/d	420	By Branch Adjustment A/c	420
	<u>1,620</u>		<u>1,620</u>

1. Loading in Closing Stock = Rs. $\frac{2,100 \times 25}{100 + 25} = \frac{2,100 \times 25}{125} = \text{Rs. } 420$

2. Loading in Opening Stock = Rs. $\frac{6,000 \times 25}{100 + 25} = \frac{6,000 \times 25}{125} = \text{Rs. } 1,200$

Branch Adjustment A/c

	Rs.		Rs.
To Branch Stock Reserve A/c	420	By Branch Stock Reserve A/c	1,200
To Branch Stock A/c	100	By Goods supplied to Branch A/c	7,600
To General Profit	4,360		
	<u>8,800</u>		<u>8,800</u>

Q.9. On 31st December 2024 the following balance in the books of the Calcutta Branch of an English firm having its Head Office in London :

	Rs.	Rs.
Stock on 1-1-2024	12,600	
Purchases and Sales	75,000	1,12,500
Sundry Debtors & Creditors	39,000	26,000
Bills Receivable & Payable	10,400	9,100
Wages & Salaries	4,800	
Rent & Tax	3,600	
Sundry charges	1,500	
Furniture	4,910	
Cash at Bank	28,990	33,200
London Account	<u>1,80,800</u>	<u>1,80,800</u>

Stock on 31st December, 2024 was Rs. 32,500. Branch Account in the London books showed a debit balance of pound

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To Depreciation A/c	370	222	148
To Stationery & Printing A/c	130	78	52
To Advertising A/c	225	135	90
To Net Profit c/d to P & L Appropriation A/c	323	636	712
	4,459	3,100	2,518
			10,077

	(2)			Total
	A	B	C	
By Sales A/c	Rs. 11,174	Rs. 5,613	Rs. 4,851	Rs. 21,638
By Dept. Sales A/c	1,386	1,345	348	3,079
By Closing Stock A/c	1,936	471	316	2,723
	Rs. 14,496	7,429	5,515	27,440
By Gross Profit b/d	4,459	3,100	2,518	10,077
Statement of Percentage of Gross and Net Profit to Outside Sales				
	A	B	C	Total
Gross Profit	39.90%	55.23%	51.91%	46.57%
Net Profit	2.89%	11.23%	14.68%	7.72%

UNIT-4

Long and Short Answer type Questions :

Q.1. What are the features of accounting for Non-Profit Organisations (NPOs)? Explain why their accounting treatment differs from business enterprises.

Ans. Non-Profit Organisations (NPOs) are entities that exist not to earn profits but to provide services in the fields of education, healthcare, sports, social welfare, and religion. Examples include schools, hospitals, charitable trusts, and clubs. Their accounting differs significantly from business enterprises because their main objective is not profit-making but service.

Features of NPO Accounting:

- Service orientation:** NPOs aim to serve society. For example, an NGO may provide free education or medical facilities.
- Sources of income:** Instead of sales revenue, their income comes from subscriptions, donations, grants, entrance fees, and legacies.
- Expenditure focus:** Their spending is largely on welfare activities, maintenance of assets, and administrative expenses.
- Separate books:** Instead of a Profit and Loss Account, they prepare an **Income and Expenditure Account** to find out surplus or deficit.

- Balance Sheet preparation:** Assets and liabilities are recorded like in business entities, but the capital account is replaced by a **Capital/General Fund**.

- Receipts and Payments Account:** They often prepare a cash book summary in the form of this account to show total cash inflows and outflows, irrespective of revenue or capital nature.

Why their accounting is different:

- In business enterprises, the goal is to measure profit and return on investment. In NPOs, the goal is to ensure transparency in how funds are used.
- Income in NPOs is uncertain and voluntary (e.g., donations), unlike regular business income from sales.
- Many receipts, like life membership fees or legacies, require special accounting treatment since they are not recurring incomes.
- Donors and members expect accountability. For instance, if an NGO receives a donation for building a library, that fund must be used only for that purpose.

Conclusion: Accounting for NPOs focuses on **accountability, transparency, and service orientation** rather than profit measurement. It ensures that the funds received are properly utilized and that the organization maintains trust with its stakeholders.

Q.2. Differentiate between Receipts and Payments Account and Income and Expenditure Account of Non-Profit Organisations.

Ans. Non-Profit Organisations prepare two important accounts: the **Receipts and Payments Account (R&P)** and the **Income and Expenditure Account (I&E)**. Though they appear similar to a cash book and a profit and loss account respectively, their nature and purpose are different.

Receipts and Payments Account:

- It is a **summary of the cash book**.
- Records all cash receipts and cash payments during an accounting period, whether of revenue or capital nature.
- It does not distinguish between current and previous year's items.
- For example, if a club receives Rs. 50,000 as donation, Rs. 20,000 as subscription, and spends Rs. 15,000 on furniture, all will appear in R&P account.

It shows the **closing cash/bank balance**, not surplus or deficit.

Income and Expenditure Account:

- Similar to a **Profit and Loss Account** but prepared by NPOs.
- It records only **revenue items** related to the current year on an accrual basis (whether cash received or not).
- Capital items like purchase of assets are excluded.

The following information is given :

	Departments		
	A	B	C
Stock on 1.12.2020	Rs. 9,000	Rs. 8,400	Rs. 12,000
Salary	5,490	8,520	12,220
Purchases	27,000	21,600	90,000
Sales	42,000	36,000	54,000

Indirect Expenses for whole business of all three Departments are Rs. 10,800, out of this 1/6 of the whole are to be divided in all the three departments in proportion to 1 : 1 : 3 respectively and the Balance of Indirect Expenses is to be charged in proportion to department sales. Prepare Trading and Profit & Loss Account for the department A, B, C.

Solution : Departmental Trading and Profit & Loss Account
(for the month of December, 2020)

	A	B	C		A	B	C
	Rs.	Rs.	Rs.		Rs.	Rs.	Rs.
To Stock	9,000	8,400	12,000	By Sales	42,000	36,000	1,02,000
To Purchases	27,000	21,600	90,000	By Stock	10,800 ⁴	4,800 ⁴	20,400 ⁴
To G.P. c/d	16,800 ¹	10,800 ²	20,400 ³				
	Rs. 52,800	40,800	1,22,400		Rs. 52,800	40,800	1,22,400
To Salary	5,490	8,520	12,220	By GP	16,800	10,800	20,400
				b/d			
To Ind. Exp.	3,180 ⁵	2,160 ⁵	5,460 ⁵				
To Net Profit	8,130	120	2,720				
	Rs. 16,800	10,800	20,400		Rs. 16,800	10,800	20,400

$$(1) \frac{42,000 \times 40}{100} = \text{Rs. } 16,800,$$

$$(2) \frac{36,000 \times 30}{100} = \text{Rs. } 10,800$$

$$(3) \frac{1,02,000 \times 20}{100} = \text{Rs. } 20,400$$

(4) There are balancing figures.

$$(5) \text{Indirect expenses } \frac{10,800 \times 1}{6} = \text{Rs. } 1,800, 1 + 1 + 3 = 5,$$

$$\frac{1,800 \times 3}{5} = \text{Rs. } 1,080 \text{ A; } \frac{1,800 \times 1}{5} = \text{Rs. } 360 \text{ B; } \frac{1,800 \times 1}{5} = \text{Rs. } 360 \text{ C;}$$

Rs. 10,800 - Rs. 1,800 = Rs. 9,000. it is divided in the sales ratio, i.e., 42

$$: 36 : 102 \text{ or } 7 : 6 : 12, \frac{9,000 \times 7}{30} = \text{Rs. } 2,100 \text{ A, } \frac{9,000 \times 6}{30} = \text{Rs. } 1,800 \text{ B}$$

$$; \frac{9,000 \times 17}{30} = \text{Rs. } 5,100 \text{ C; Dept. A} = 1,080 + 2,100 = \text{Rs. } 3,180, \text{ Dept.}$$

$$\text{B} = \text{Rs. } 360 + 1,800 = \text{Rs. } 2,160 \text{ Dept C} = \text{Rs. } 360 + 5,100 = \text{Rs. } 5,460.$$

Illustration : A business is carried on in three separate departments. Expenses not directly chargeable to any department are apportioned one half to A, three tenths to B and one fifth to C. Form the following particulars, prepare Trading and Profit and Loss Account of the three departments (in Columnar form) showing the gross and net profit, and the percentage thereof and of the totals, to outside turnover, exclusive of inter departmental transactions.

Stock in hand, 1st January : A Department Rs. 1,782; B Rs. 560; C Rs. 125; Stock in hand, 31st December : A Department Rs. 1,936; B Rs. 471; C Rs. 316; Outside Sales for the year : A Department Rs. 11,174; B Rs. 5,613, C Rs. 4,851, Inter departmental sales : A to B Rs. 904; A to C Rs. 482 B to A Rs. 1,126; B to C Rs. 219 C to A Rs. 348; Wages A Department Rs. 2,740; B Rs. 1,328; C Rs. 915; Outside Purchase : A Department Rs. 4,041; B Rs. 1,537; C Rs. 1,256; Salaries : A Department Rs. 945; B Rs. 572; C Rs. 416.

Management Salaries Rs. 1,200; Rent and taxes Rs. 1,460, Insurance Rs. 210, Vans, etc. expenses Rs. 870; Postage and Telegrams Rs. 110; Bad debts; A Rs. 276; B Rs. 143, C Rs. 224; Sundry expenses Rs. 530; Depreciation written off Rs. 740; Stationery and Printing Rs. 260; Advertising Rs. 450.

Solution :

Departmental Trading and Profit and Loss Account
(For the year ending)

	(1)				Total
	A	B	C		
	Rs.	Rs.	Rs.	Rs.	Rs.
To Stock A/c	1,782	560	125		2,467
To Purchases A/c	4,041	1,537	1,256		6,834
To Department Pur. A/c	1,474	904	701		3,079
To Wages A/c	2,740	1,328	915		4,983
To Gross Profit c/d	4,459	3,100	2,518		10,007
	Rs. 14,496	7,429	5,515		27,440
To Salaries A/c	945	572	416		1,933
To Management salaries A/c	600	360	240		1,200
To Rent & Taxes A/c	730	428	292		1,460
To Insurance A/c	105	63	42		210
To Vans, etc. Expenses A/c	435	261	174		870
To Postage & Telegrams A/c	55	33	22		110
To Bad Debts A/c	276	143	224		643
To Sundry Expenses A/c	265	159	106		530

Allocation of some expenses is impossible. These expenses are recorded in general profit and loss account. Examples are, Income Tax, salary of general manager, and interest on loan etc.

Inter-Departmental Transactions

Goods are sent from one department to another, whenever doing of this is deemed essential. In this case the account of receiving department is debited and the account of the transferring department is credited. Head of each department has to be very careful at the time of taking stock of this department at the end of each period because he has to keep in view how much goods have gone out from his department and how much goods have been transferred to his department from other departments.

Departmental Trading and Profit and Loss Account

The rules for preparation of departmental trading and profit and loss account are the same as are for preparing these accounts in ordinary business. Here columnar trading and profit and loss account is prepared. One column is for each department and one column is for total. Departmental profit can be found out from the columns of the departments and total profit of the business is found out from total column.

Illustration : Following is the profit and Loss Account of Hindustan Electronics for the year ending 31st March, 2021 :

	Amount Rs.	Amount Rs.
Purchases : Transistors (X) Tape Recorders (Y) Instruments for repairs etc. (Z)	Sales : Transistors (X) Tape Recorders (Y) Service of Repairs etc. Stock at 31st March, 2021 : 10,800 11,000 40,200	1,60,000 1,25,000 80,000 48,000 10,800 11,000 40,200
Salaries and Wages Rent Sundry Expenses Profit	Transistors (X) Tape Recorders (Y) Instruments for repairs etc. (Z)	1,75,000 1,40,000 35,000 60,100 20,300 44,600
	Rs. 4,75,000	Rs. 4,75,000

Other particulars are as under : (a) Transistors and Tape Recorders have been sold in showroom and repairs etc. made in the factory. (b) Apportionment of salaries and wages is : Showroom 3/4, Factory 1/4. Salaries and Wages of showroom are to be divided in 1 : 2 ratio in X and Y Departments (c) Rent of factory is Rs. 500 p.m. Rent of showroom is apportioned equally in X and Y departments. (d) Sundry expenses are apportioned in the sales ratio of the departments. Prepare Departmental Trading and Profit and Loss Account.

Solution : Departmental Trading and Profit and Loss Account (For the year ended 31st March, 2021) (1)

	Transistors (X)	Tape Recorders (Y)	Servicing & Repairs Jobs (Z)	Total
To Purchase A/c	Rs. 1,60,000	Rs. 1,25,000	Rs. 80,000	Rs. 3,65,000
To Gross Profit c/d	Rs. 75,100	35,300	—	1,10,000
To Gross Loss b/d	Rs. 2,35,100	1,60,300	80,000	4,75,000
To Salaries & Wages A/c	12,000	—	400	—
To Rent A/c	2,400 ¹	24,000	12,000	48,000
To Sundry Expenses A/c	5,500 ²	2,400 ¹	6,000	10,800
To Net Profit	55,200	4,400 ²	1,100 ²	11,000
	Rs. 75,100	35,300	19,500	1,10,000

	Transistors (X)	Tape Recorders (Y)	Servicing & Repairs Jobs (Z)	Total
By Sales A/c	Rs. 1,75,000	Rs. 1,40,000	Rs. 35,000	Rs. 3,50,000
By Stock A/c	60,100	20,300	44,600	1,25,000
By Gross Loss c/d	Rs. 2,35,100	1,60,300	80,000	4,75,000
By G.P. b/d	75,100	35,300	—	1,10,000
By Net Loss	Rs. 75,100	35,300	19,500	1,10,000

Rs. 500 × 12 = 6,000

(1) Rent Rs. 10,800 – 6,000 = 4,800 ; $\frac{4,800}{2}$ = Rs. 2,400

(2) Sundry Expenses Rs. 11,000, Proportion of Sales, 1,75,000

1,40,000 : 35,000 or 5 : 1 ; $\frac{11,000 \times 5}{10}$ = Rs. 5,500,

$\frac{11,000 \times 4}{10}$ = Rs. 4,400, $\frac{11,000 \times 1}{10}$ = Rs. 1,100

Illustration : Raman, the proprietor of a departmental store (containing three department named A, B and C) decided to calculate separate profit for his departments for the Month of December 2020. Stock on 31st December could not be valued for certain unavoidable reasons but his rates of gross profits on Sales for the A, B, and C departments are 40%, 40% and 30% respectively.

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It may be noted that the receipts side of the Receipts and Payment Account gives a list of revenue receipts (for past, current and future or next year) as well as capital receipts. Similarly, the payments side of the Receipts and Payments Accounts lists the revenue payments (for past, current and future or next year) as well as capital payments.

Limitations of Receipts and Payments Account : The Receipts and Payments A/c shows cash position only. It has got the following limitations :

- (1) It does not show the income or expenditure of the current year.
- (2) It is not prepared on accrual basis. According to this basis, income due but not received (accrued) is also not treated as income.
- (3) It does not tell us the surplus (excess of income over expenditure) or the deficit (excess of expenditure over income).
- (4) It does not take into consideration non cash item such as outstanding expenses, prepaid expenses, accrued income and unearned income i.e., adjustments are not taken into consideration.
- (5) It begins with the opening balance of cash in hand and cash at bank or overdraft and closed at the end of the year with closing balance of cash in hand and cash at bank.
- (6) It includes all receipts and payments of revenue as well as capital nature.
- (7) Balance sheet, also known as position statement cannot be prepared on its basis.

The above limitations of the Receipts and Payments account show that it has got very limited scope. It may be used by small institutions having very limited number of transactions of cash nature. In this way, this account will not meet the purpose of institutions of bigger size having certain credit transactions. We cannot recommend these institutions to prepare all set of books and also trading and profit and loss account. The system will be burdensome and uneconomical to them. In order to overcome these problems, clubs maintain a separate account, which is known as 'Income and Expenditure Account.'

DIFFERENCE BETWEEN RECEIPT AND PAYMENT ACCOUNT AND CASH ACCOUNT

Basis for Difference	Receipt and Payment A/c	Cash A/c
(1) Period	It is prepared at the end of accounting period.	Cash account is maintained daily.
(2) Date	Transactions are not recorded in the order of date. There is not date column.	Transactions are recorded in order of dates. There is date column.

(3) Institutions	It is prepared by non trading institutions.	Financial Accounting
(4) Sides	Left hand side is receipt and the right hand side is payment.	91
(5) Folio	It does not have any folio column.	It is prepared by all trading institutions. Left hand side is debit and the right hand side is credit.
(6) Number of Pages	Few pages are sufficient to prepare it.	It has folio column.

Steps in the Preparation of Receipts and Payments Account :

- (1) Take the opening balance of cash and bank and write them on the debit side of this account. In case of bank overdraft at the beginning of the year, write the same on the credit side of this account.
- (2) Show the total receipts on the debit side of this account without considering their nature (whether revenue or capital) and year/periods (whether past, current or future/next year).
- (3) Show the total payment on the credit side of this account without taking into consideration their nature (whether revenue or capital) and year/periods (whether past, current or future/next year).
- (4) Neither receivable income nor payable expenses are to be shown in this account because they do not involve inflow or outflow of cash.
- (5) Ascertain the difference between the total of debit side and the total of credit side of this account and write the same on the credit side as the closing balance of cash in hand and cash at bank. In case of excess of credit side over debit side i.e., the total of credit side is more than the total of debit side, show the difference on the debit side of this account as bank overdraft and close the account.

Illustration-1. From the information given below draft receipts and payments account of Friends Club, Delhi for the year ended December 31, 2025 :

Cash on 1.1.2011 Rs. 440, Subscriptions Rs. 3,760, Donations Rs. 800, Entrance Fee Rs. 430, Rent realized from club hall Rs. 525, Electric charges Rs. 344, Taxes Rs. 50, Salaries and wages Rs. 2,150, honorarium to secretary Rs. 250, Interest received on Investments Rs. 295, Printing and stationery Rs. 35, Petty cash payment Rs. 90, Insurance Premium paid Rs. 31.

(2) Income and Expenditure Account and

(3) Balance Sheet.

Q.4. What do you understand by Receipts and Payments Accounts? Discuss its special features and limitations.

Or

Differentiate between Receipt and Payment Account and Cash Account.

Ans. RECEIPTS AND PAYMENTS ACCOUNT : Receipts and payments account is merely a summary of cash and bank transactions. It may be said to be synonymous to the cash book. It records only cash transactions. It has got two sides. The left hand side shows receipts and the right hand side shows payments. Actual cash received is posted at the debit side and actual cash paid is recorded at the credit side. This account starts with the opening balance of cash and ends as showing the closing balance of cash.

Special Features of Receipts and Payments Account :

- (1) Receipts and payments account is a 'real account'. while making posting in the account rule of debit and credit regarding real accounts are used.
- (2) Whenever amount is received, cash account is debited. This is why, all cash receipts are recorded at the debit side.
- (3) Cash account is credited for all payments, so all cash payments are shown at the payment side.
- (4) Receipts and payments account is closed as showing the closing cash balance of the year, which is shown as the first item at the debit side.
- (5) Receipts and payments account is closed as showing the closing balance of the period which is available as the last item at the credit side.
- (6) Receipts and payments account records all cash receipts, whether it is capital receipts or revenue receipts. Amount received from subscription and also amount received from sale of building are shown at the receipt side. No distinction is made between capital receipts and revenue receipts.
- (7) All cash expenditure whether capital or revenue are shown at the payment side. Both cash payment for salaries and furniture are shown in this account. This account does not differentiate between capital and revenue expenditure.
- (8) All cash receipts, whether belonging to the current year or previous year or next year are recorded as receipts.
- (9) All cash payments whether concerning current year or previous year or next year are recorded at the payment side.
- (10) This account does not show net income or net loss.
- (11) No adjustments are made in it.
- (12) We cannot prepare Balance Sheet on the basis of this account.

Format of Receipts and Payment Account For the period ending.....

Receipts Actual cash receipts irrespective of period (Present, Past and Future) (Both Revenue and capital)	Amt. Rs.	Payment Actual cash payments irrespective of Period (Present, Past and Future) (Both Revenue and Capital)	Amt. Rs.
To Balance b/d :		Revenue Payments	
Cash in hand		By Printing and stationery	
Cash at bank		By News papers, magazines	
Revenue receipts (Actual cash receipts)		Periodicals	
To Subscriptions		By Postage	
To General donations		By Repairs and Renewal	
To General grant		By Advertisement	
To Income from lectures		By Charity	
To Proceeds from entertainment		By Audit fee	
To Interest or Dividends on general investment		By Maintenance	
To Sales of Newspapers or grass and scraps		By Salaries, fee	
To Rent Received		By Entertainment expenses	
To Miscellaneous receipts		By Rent paid	
Capital Receipts		By Insurance	
(Actual cash receipts)		By Honourarium	
To Endowment fund receipts		By Municipal taxes	
To Legacies		By Bar expenses	
To Entrance fee		By Bar purchases	
To Life membership fee		By Gardening	
To Subscriptions for specified Purposes		By Prices paid	
To Donation and grant for specified purposes		By Conveyance charges	
To Receipts on account of special funds i.e., prize funds, match fund, Tournament fund etc.		Capital Payment	
To Sales of fixed assets i.e., furniture, sports equipment's investments etc.		By Books	
To Interest on special funds		By Building Purchased	
		By Sports Equipment's	
		By Cost of Land	
		By Investment	
		By Govt. Loan	
		By Furniture	
		By Drawings	
		By Balance c/d (closing balance)	
		By Cash in hand	
		By Cash at bank	

- Its main purpose is to find the **surplus (excess of income over expenditure)** or **deficit**.
- Example: Subscription due but not received during the year is still recorded as income in I&E account.

Key Differences:

1. **Nature:** R&P is a real account (cash-based), I&E is a nominal account (revenue-based).
2. **Basis:** R&P follows cash basis; I&E follows accrual basis.
3. **Capital vs. Revenue:** R&P records both; I&E records only revenue items.
4. **Purpose:** R&P shows cash position; I&E shows surplus/deficit.
5. **Balancing figure:** R&P gives cash balance; I&E gives surplus or deficit.

While the Receipts and Payments Account is a summary of cash transactions, the Income and Expenditure Account reflects the true financial performance of the NPO. Both are complementary and necessary for presenting a clear picture of an NPO's financial activities.

Q.3. What is meant by Non-Profit Organisation? Discuss its features and accounting records for Not for Profit Organisation.

Ans. Meaning of Non-profit Organization : Voluntary organizations formed to promote certain cultural recreational, religious, political, educational, medical and professional activities are known as non-profit or not-for-profit organizations.

These institutions are formed with service motive. Certain examples of these institutions are as under :

- (1) Madras Sports Club
- (2) Free Aid Medical Society
- (3) National Club
- (4) Association of Chartered Accountants
- (5) Cricket Club
- (6) Mohammedan Sporting Club
- (7) Modern Educational Society
- (8) Cricket Club of India
- (9) Delhi Nursing Society
- (10) Government School Teachers Association
- (11) Delhi University Students Union.

Features/Characteristics of Non-Profit Organizations :

- (1) Non-profit organizations are formed to provide services to a specific group or public in general.
- (2) These are organized by Charitable trusts/societies and subscriber to such organization are called members.
- (3) Subscription, donations and income from investment are the main sources of these organizations.

- (4) The surplus generated from income and expenditure account is not distributed. It is simply added in the capital fund.
- (5) These organizations do follow the complete process of accounting.
- (6) These organizations prepare Income and Expenditure account instead of Trading and Profit and Loss account.
- (7) The accounting information provided by such organizations is meant for the present and potential contributors meet the statutory requirement.

Accounting Records of Non-profit Organizations : Normally these type of organizations are not concerned with trading or business activities. The main purpose of these organizations is to provide services. Subscription from members, donations, income from investment, financial assistance from government are the main sources of their income. These transactions are normally made in cash or through the bank. It is necessary for these institutions to keep proper accounting records and proper control over the utilization of funds.

Therefore, they usually keep a cash book to record all receipts and payments. They also maintain a ledger which contains the accounts of all income, expenses, assets and liabilities. These accounts help in making of financial statements. In addition, such organizations maintain a stock register to keep complete records of all fixed assets and the consumables. A capital fund account is prepared instead of capital account due to surplus generated or deficit suffered by organizations. These organizations are not required to follow the complete process of accounting records because their work is to provide services not to maintain a large set of books as maintained by trading institutions.

FINANCIAL STATEMENTS OR FINANCIAL ACCOUNTS OF**NON-PROFIT ORGANIZATIONS**

Since these organizations are not required to maintain a large set of books of accounts but they have to prepare financial statements at the end of every accounting year. Although these organizations are non profit seeking institutions and they are not required to prepare Trading and Profit and Loss Account, but it is necessary for these organizations to know whether the income during the year was sufficient to meet expenses or not. Not only that, they have to provide the necessary financial information to their members, donors and contributors and also to the Registrar of Societies. For this purpose, such organizations have to prepare financial statements at the end of accounting year and the general principles of accounting are fully followed. The financial statements of not for profit organizations consists of the following:

- (1) Receipts and Payments Account

- (2) Show all the capitalized income (capital receipts) such as donation for building, legacies and life membership fees etc., at the liabilities side of the Balance Sheet.
- (3) Show all the fixed assets (except sold or discarded or destroyed during the year) with additions after charging depreciation (if any) with expenditure side of income and expenditure account. This comparison will tell us the amounts of outstanding expenses, prepaid expenses, purchase of assets during the year, depreciation on fixed assets, stock of consumable like stationery in hand, closing balance of cash and bank and so on.
- (5) Compare the receipts side of the Receipts and Payments Accounts with income side of Income and Expenditure Account. It will tell us, subscription due but not yet received income received in advance, sale of assets, items to be capitalized (i.e. these will directly be shown in the Balance Sheet.)

Liabilities	Amount Rs.	Assets	Amount Rs.
Capital Fund		Fixed Assets	
Add : Surplus if Excess of income over expenditure		Last Balance	
Less : Deficit if Excess of expenditure over income		Add : Purchase of assets	
Life membership fee		Less : Book value of assets sold	
Capitalized value of :		Less : Depreciation	
Donation/grant		Stock of consumable material :	
subscription for specified purpose		Last balance	
Legacy		Add : Purchases	
Endowment fund		Less : Value consumed	
Entrance fees		Accrued/outstanding income	
Special funds		Last Balance	
(Suppose Tournament/match fund)		Less : received during the year	
Last balance, if any		Prepaid expenses (if any)	
Add : Received during the year		Cash at bank :	
Add : Income earned on fund investment		Current A/c	
Less : Expenses paid out of fund		Fixed Deposit	
Bank overdraft		Saving Bank Account	
Income received in advance		Cash in hand	

Q.7. Preparation of Income and Expenditure A/c from Receipts and Payment A/c
Illustration-1. Prepare an income and expenditure account relating to 2025 from the figures given below :

Dr.	Receipts	Amount Rs.	Payments	Amount Rs.	Cr.
	To Opening Balance	1,800	By Salaries	4,800	
	To Subscription	19,000	By Rent	500	
	To Sales of Investment	2,000	By Stationery	200	
	To Sale of old furniture (Book value Rs. 400)	300	By Defense Bonds	13,000	
	To Donations	100	By Furniture purchased	2,000	
		23,200	By Balance c/d	2,400	
				23,200	

Solution : Income and Expenditure Account
For the year ending December 31, 2025

Dr.	Receipts	Amount Rs.	Income	Amount Rs.	Cr.
	To Salaries	4,800	By Subscriptions	19,000	
	To Rent	500	By Donation	100	
	To Stationery	200			
	To Loss on Sale of Furniture	100			
	To Surplus-Excess of Income over Expenditure	13,500			
		19,100			19,100

Explanation :

- (1) It should be noted from the above income and expenditure account that expenditure and income of revenue nature only have been recorded in it.
- (2) Capital expenditure i.e., purchase of defence bonds, furniture and bicycle have not been shown in it.
- (3) Capital receipts from the sale of investments and furniture have to be shown in it.
- (4) Loss on sale of furniture has been show at the expenditure side.
- (5) Donation has been treated as a revenue receipt i.e., income because of its nominal value. Receiving donations of small amounts is the regular feature of a club.

for the purpose of specific activities sought to be achieved out of the fund. For example, in the case of a sports club, the capital will be treated as a fund which can be used only for the activities related to promotion of sports and related assets & liabilities generated out of club activities. That is why capital in this type of accounting is called capital fund.

Features : Following are the features of fund accounting :

- (1) The system of accounting is used by non profit organizations.
- (2) Fund is treated as separate entity and accounted for accordingly.
- (3) Specific funds have to be used according to predetermined purpose and income & expenditure arising out of the activities will be charged to these funds.
- (4) Budget approval and appropriation is the basis of income generation and spending.
- (5) There are general funds also which can be used for general organizational purposes.

Concepts related to fund accounting system : The basic equation under fund accounting systems is represented by :

$$\text{Assets} + \text{Expenditure} + \text{Inter fund claim} + \text{Encumbrances} = \text{Liabilities} + \text{Appropriations} + \text{Revenues} + \text{Interfund Obligations} + \text{Fund Balance.}$$

Assets : It indicates the long term resources which are used to carry the organizations objectives. Furniture, Building etc. are a few examples.

Expenditure : it is amount paid for meeting day to day transaction need of the organization.

Inter Fund Claims : These are claims generated by transfer to other funds. These are internal fund transfers which have no overall impact on organization but they should be accounted for as claims to keep track of these transfers.

Interfund Obligations : These are obligations incurred by transfer from other funds or general reserve.

Encumbrances : these are obligations/liabilities committed during accounting year by agreement of purchase or contract. For example, an agreement to meet 10% of total expenditure on education of poor children out of the funds available by the non-profit organization. These are in the form of expenditures which arises out of contract obligations.

Appropriations : These are internal authorizations to spend money on a given expenditure head. It is defined as one that sets out the amount earmarked or authorized to be spent on a particular activity or functions.

Revenues : These are current incomes receives by way of cash inflows through gifts, fees, grants, interest, dividend, rent etc.

Basic for difference	Fund Accounting	Non-fund Accounting
(1) Basic Funds	It is cash basis. Funds are used for specific purposes except for general fund. Owners have no economic interest.	It is accrual basis. Funds can be used for any profit earning purpose. Owners have economic interest in the form of profit.
(3) Economic interest	Accountability is towards law, regulations, legislature, Parliament, Contributors and donors of funds.	Accountability is towards all stockholders viz. owners, creditors, Govt., regulators etc.
(4) Accountability	Receipt & Payment Account, Income & Expenditure Account and Balance Sheet.	Trading profit & Loss A/c and Balance Sheet.
(5) Financial statements	Usually expenditure is more than income known as deficit.	The result of matching of revenues and expenses may either be profit or loss.
(6) Usual earnings	The expenditure is based upon budget proposals. Proper authorization is needed.	Commercial principles of accounting are followed and budget system is optional.
(7) Budget	Each fund is fiscal and financial accounting entity.	Business enterprise is the accounting entity for recording and reporting business transactions.
(8) Entity of accounting		

Q.6. Briefly discuss the steps in the Preparation of a Balance Sheet of Non-Profit Organisation.

Ans. Steps in The Preparation of Balance Sheet : The following are the steps to prepare a Balance Sheet of Non-Profit Organizations :

- (1) Take the Capital Fund (also known as General fund) as per the opening balance sheet and add the surplus generated from the Income and Expenditure Account. In case of deficit, it will be deducted from capital fund.

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Friends Club, Delhi

Receipts and Payments Account

For the year ended 31st Dec. 2025

Solution :

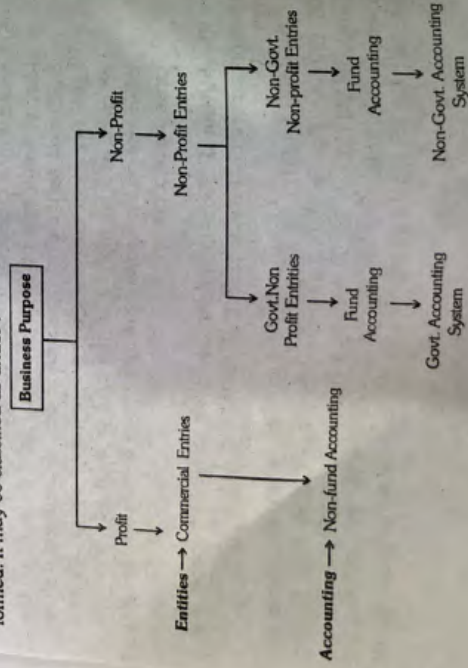
Dr.	Receipts	Amount	Payments	Amount	Cr.
To Balance b/d on 1.1.2025		440	By Electric Charges		344
To Cash in hand		3,760	By Taxes		50
To Subscriptions		800	By Salaries and Wages		2,150
To Entrance Fees		430	By Honorarium to Secretary		250
To Rent		525	By Printing and Stationery		35
To Interest on Investment		295	By Petty cash Payments		90
			By Insurance Premium		31
			By Balance on 31.12.08		
			Cash in hand (Balancing Figure)		3,300
		6,250			6,250

Q.5. What is meant by Concept of Fund and Non-Fund Accounting? Or

Distinguish between Commercial and Non-Profit Entity.

Ans. Concept of Fund and Non-Fund Accounting :

Fund and Non-Fund Accounting : The method of Accounting used by organizations depends upon the purpose, for which they are formed. It may be classified as under :



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Entities: Commercial Entities : These are the business organizations whose main objective is to earn profit by selling goods or providing services. For example, Manufacturing, Mining, Farming/Fishing, Trading, Agency Services, Financial, Banking, Insurance, Professional Service etc.

Non-Profit Entities : Organizations formed to promote certain cultural, recreational, religious, political, educational, medical and professional activities are known as non-profit organizations. These are of two kinds :

- (1) **Govt. Non-Profit Entities :** It includes central, state, local, universities, institutions, colleges, schools etc.
- (2) **Non Govt. Non-Profit Organizations :** It includes Trusts, hospitals, clubs, religious institutions, private educational institutions etc.

Distinction between Commercial Entity and Non-Profit Entity

Basis of Difference	Commercial Entity	Non-Profit Entity
(1) Motive	Primary motive is to earn profit.	Primary motive is to promote social causes like education, sports, etc.
(2) Proprietorship	Individuals or group of individuals who have taken risk of carrying business are the owners.	Subscribers to the institutions are members and owners of the organization.
(3) Profit sharing	Profit belongs to owners.	Profit if any, belongs to members of the institutions.
(4) Financial statements	Trading, Profit & Loss Account and Balance Sheet is prepared.	Receipt & Payment, Income & Expenditure Account and Balance is prepared.

Accounting :

Non-Fund Accounting (Applicable to Commercial entities) :

The accounting is based on matching revenue and cost principle. Profit & Loss account is prepared to calculate profit or loss earned during a period. A part from this Balance Sheet is prepared to reflect financial position of the company. Double Entry book system on accrual system of accounting is following under this method.

Fund Accounting (Applicable to Non-Profit Organization) :

Meaning : A system of accounting where fund is taken as an independent fiscal and accounting entity with a self balancing set of accounts. These accounts are used to record cash, assets, liabilities etc.

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Alternatively :

Subscription as per Income and Expenditure Account
 Subscription outstanding of previous year 2,000
 Add : Subscription paid in advance during current year 400
2,400
 Less : Subscription paid in advance during previous year 700
22,400

Less : Subscription outstanding for current year 700
 Less : Subscription paid in advance during previous year 500
200
 Less : Subscription still unpaid (2,000-1,800)
(-1,400)
21,000

Amount of subscription received during the year
Incidental Trading Activity : Sometimes, a non-profit organization runs Chemist shop, Bar, Canteen etc. to provide some facilities to its member or public in general to meet its expenses. In such a situation, these organizations need to prepare trading account to find out profit/loss of this trading activity. The profit from this trading activity is used to meet the main objective for which the organization was formed and this profit is transferred to Income and Expenditure Account. It can better be understood through following illustration :

(B) Preparation of Receipt and Payment Account from Income Expenditure A/c and Additional Information.

We are required to prepare Receipts and Payments account from Income and Expenditure account and additional information's. Receipts and Payments account records all cash receipts and cash payments of both capital and revenue nature. Whatever is received in cash and paid in cash is posted to this account irrespective of the fact that it relates to the previous year or current year or next year. Items of receipts can be identified by the following procedure.

Procedure for identifying receipts

Subscriptions as per the Income and Expenditure Account of current year
 Add : Outstanding subscription of the previous year 100
 Add : Subscription received in advance during the current year 300
4,900
 Less : Outstanding subscription of the current year 150
 Less : Subscription received in advance at the end of the previous year 200
350

Cash receipt of subscription during the current year to be shown at the debit side of Receipts and Payment account

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Procedure for identifying payment

Salaries as per Income and Expenditure account of the current year
 Add : Outstanding salaries of the previous year 100
 Add : Salaries paid in advance (prepaid) during the current year 50
150
 Less : Salaries outstanding at the end of the C.Y. 150
 Less : Salaries prepaid during the previous year 300
(-450)
1,200

Salaries to be shown at the payment side
Q.8. Shriram Cricket Club gives you the following information :

Income and Expenditure Account for the year ended 31st December, 2025

Dr.	Expenditure	Amount Rs.	Income	Amount Rs.	Cr.
	To Remuneration to Coaches	18,000	By Donation and subscription	1,02,000	
	To Salaries and Wages	24,000	By Bar Room : Receipts	24,000	
	To Rent	12,000	Expenses (-)	20,000	
	To Repair	11,000	By Bank Interest	4,000	
	To Miscellaneous Expenses	7,000	By Hire of Club Hall	2,000	
	To Honorarium to Secretary	18,000		12,000	
	To Depreciation on equipment	5,000			
	To Surplus	25,000			
		<u>1,20,000</u>		<u>1,20,000</u>	

Balance Sheet

(as on 31st December, 2025)

Liabilities	Amount	Assets	Amount
Capital Fund as on 31.12.20		Equipment	20,000
Entrance Fees	48,000	Subscriptions Receivable	8,000
Surplus	10,000	Cash in Hand	4,000
	<u>25,000</u>	Cash at Bank	10,000
Subscriptions received in ad.	83,000		
Outstanding Liabilities :	3,000		
Miscellaneous Expenses	1,000		
Salary and Wages	3,000		
Honorarium to Secretary	2,000		
	<u>92,000</u>		<u>92,000</u>

account' of the 'Delhi Nursing Society' for the year ended 30th June, 2025 into an 'Income and Expenditure Account'.

Receipts		Payments	
Amount Rs.		Amount Rs.	
Balance at Bank (1.7.2024)	2,010	Salaries of Nurses	656
Subscriptions	1,115	Board, Laundry and Domestic help	380
Fees from non members	270	Rent, Rates and Taxes	200
Municipal Grant	1,000	Cost of Car	2,000
Donations for Building Fund	1,560	Expenses of Car	840
Interest	38	Drugs and Incidental Exp.	670
	5,993	Balance c/d	1,247
			5,993

A donation for Rs. 100 received for building fund was wrongly included in subscription account. A bill of medicines purchased during the year amounting to Rs. 128 was outstanding.

Solution : Income and Expenditure A/c of Delhi Nursing Society
For the year ending June 30, 2025

Dr.		Cr.	
Expenditure	Amount Rs.	Income	Amount Rs.
To Salaries of Nurses	656	By Subscription	1,115
To Board, Laundry and Domestic help	380	Less : Donation for Building Fund	100
To Rent, Rate and Taxes	200	By Fee from Non members	1,015
To Car Expenses	840	By Municipal Grant	270
To Drugs and Incidental Expenses	670	By Interest	1,000
Add: Outstanding Bills of medicines	128	By Deficit-Excess of Expenditure over Income	38
	798		551
	2,874		2,874

Notes :

- Donation for building fund is a capital receipt which should be recorded at the liabilities side. It is wrongly included in the subscription, so it will be deducted from subscription.
- Payment for drugs and incidental expenses is a revenue expenditure for a hospital, so it will be shown as expenditure and outstanding bill for it will also be added.

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- Municipal grant is for general purpose, so it has been treated as income.
- Cost of car is capital expenditure. Car is an asset, so it will be shown at the assets side. Car expenses are recurring in nature, so treated as expenditure.

Illustration-3. From the following information of a Club, Prepare Income and Expenditure account for the year ending 31st March, 2026 and a Balance Sheet as on that date :

Cash Book

	Rs.		Rs.
To Member's Subscription	5,000	By Upkeep of Pavilion	2,000
To Member's Admission Fees	300	By Expenses regarding tournament	700
To Sale of old balls, bats etc.	50	By Rates and Insurance	200
To Hire of ground	300	By Telephone	50
To Subscription for tournament	1,000	By Printing and Stationery	100
To Drawn from Bank	4,000	By General charges	50
To Donations	10,000	By Secretary's honorarium	170
		By Grass Seeds	20
		By Bats, Balls etc.	710
		By Lodgings in Bank	16,650
	20,650		20,650

Assets on 1-4-2025:

Cash at Bank Rs. 3,000
Stock of balls and bats etc. 1,500
Printing and Stationery (Stock) 200
Subscription due 500

Liabilities : Donations and surplus on account of tournament should be kept in reserve for a permanent pavilion. Subscription due on 31st March, 2025 was Rs. 750. Write off 50 percent of bats, balls account and 25 percent of printing and stationery account.

Solution : Income and Expenditure Account of the Club
for the year ended 31st March, 2026

Dr.		Cr.	
Expenditure	Amount Rs.	Income	Amount Rs.
To Upkeep of Pavilion	2,000	By Subscription	5,000
To Rates and Insurance	200	Less : For 2010	500
To Telephones	50		
To General charges	50		4,500
To Secretary's honorarium	170	Add: Outstanding	750
To Grass seeds	20		5,250
To Depreciation on bats		By Admission Fees	300

Q.12. Mention the various expenses of Sale and Purchase of Investment.

Ans. Expenses of Sale and Purchase of Investment : Expenses of Sale and purchase are usually Brokerage, Commission and Stamp Fee, etc. Such expenses are always added in the purchase price whether these purchase are cum int. or ex-int.

These expenses are always deducted from the sale price whether these sales are cum-int. or ex-int.

If these expenses are given in the shape of percentage, then they are calculated on the face value of investment purchased or sold as the case may be.

Value of Investment at a Glance

Cum-int. Purchase	Purchase Price + Purchase Exps. – Interest for the period from last declaration date upto date of purchase.
Ex-int. Purchase	Purchase Price + Purchase Exps. – Interest is neither added nor deducted, but is paid separately for the period from the last declaration date upto the date of purchase.
Cum-int. Sale	Sale Price – Sales Exps. – Interest for the period from last declaration date upto date of sale.
Ex-int. Sale	Sale Price – Sales Exps. Interest is neither added nor deducted. Interest is taken separately from the last declaration date upto the date of sale.

Illustration : On 1st Dec. 2025, A purchased 200, 6% Debenture of Rs. 100 each @ Rs. 104 ex-int. per debenture. He paid 1/2% brokerage in this connection. Interest is payable on 30th June and 31st December each year. Pass necessary journal entries in the books of A. A closes his books on 31st December each year.

Solution : In the Books of a (Buyer)

2025 Dec. 1	6% Debentures A/c Interest A/c	Dr.	Rs. 20,900 ¹ 500 ²	Rs. 21,400 ³
	To Bank A/c	Dr.		
	(Being purchase of 6% Deb. @ Rs. 104 per Deb.)			
Dec. 31	Bank A/c	Dr.	600 ⁴	600
	To Interest A/c	Dr.		
	(Being receipt of six months interest)			
Dec. 31	Interest A/c	Dr.	100 ⁵	100
	To P & L A/c	Dr.		
	(Being transfer of interest)			

$$(1) 200 \times 104 = \text{Rs. } 20,800; \frac{20,000 \times 1}{100 \times 2}$$

$$= \text{Rs. } 100; 20,800 + 100 = 20,900$$

$$(2) \frac{20,000 \times 6 \times 5}{100 \times 12} = \text{Rs. } 500$$

$$(3) 20,900 + 500 = \text{Rs. } 21,400$$

$$(4) \frac{20,000 \times 6 \times 6}{100 \times 12} = \text{Rs. } 600$$

$$(5) \text{Rs. } 600 - \text{Rs. } 500 = \text{Rs. } 100$$

Illustration : On 1st Nov. 2025, B sold 80, 9% Debentures of Rs. 100 each to A @ Rs. 120 ex-int per debenture. He paid 1/2% brokerage on this sale. Interest is payable on 30th June and 31st December each year. Pass necessary journal entries in the books of B. Close his books on 31st December each year.

Solution : In the Books of B (Seller)

2025 Feb. 1	Cash A/c To 9% Debentures A/c To Interest A/c (Being purchase of 9% Debentures ex-int @ Rs. 120 per Debenture)	Dr.	Rs. 9,800 ¹ 9,560 ¹ 240 ²
Dec. 31	Interest A/c To P & L A/c (Being transfer of Interest)	Dr.	240

$$(1) 80 \times 120 = \text{Rs. } 9,600; \frac{8,000 \times 1}{100 \times 2} = \text{Rs. } 40; \text{Rs. } 9,600 - 40 = \text{Rs. } 9,560$$

$$(2) \frac{8,000 \times 9 \times 4}{100 \times 12} = \text{Rs. } 240$$

$$(3) \text{Rs. } 9,560 + 240 = \text{Rs. } 9,800.$$

Q.13. Describe the various methods of keeping Investment Account.

Ans. Methods of Keeping Investment Account : Investment Account are kept in two ways i.e.

- (1) To prepare Investment Account and Interest Account separately, and

- (2) To prepare Columnar Investment Account.

Investment Account : When investment are floating, then its balance is transferred to Profit and Loss Account. If all the investments are not sold, then closing balance of investment is valued at cost price or market price whichever is lower. After writing off this balance, whatever balance is still left in Investment Account, it is transferred to Profit and Loss Account. If investments are fixed, then its balance is carried forward.

Closing of Interest Account : Balance of Interest Account is transferred to Profit and Loss Account.

Closing of Accrued Interest Account : Accrued interest is the interest for the period from that date of declaration of interest (which is closer to closing date of the year) upto the closing date of the year.

Or

Investment : The am

ing money, are either donations or assistance.

Times of Securities :

Types of Securities :

(ii) Central Govt. Securities

(ii) State Govt. Securities

- (iii) Securities of local authorities
- (iv) Non Govt. Securities or Securities of Private Sector, Private Institutions or Persons.

Times of Investments : There are mainly two types of Investments :

estments is not to make profit by selling them.

Sale and Purchase price of Investments

(2) **A4 Discount Price:** When investments are made at less

At Premium Price : When investments are purchased at above

Document 1

Each interest is paid at the end of each year. There are few investments or

In some cases, after some time of the date of death

Accounting record in case of

Accounting record in case of cum interest purchase :
 (i) Amount of total purchase

(ii) Amount of total purchase price can be calculated as below :

Investment A/c ...

Interest A/c

Interest A/c
To Bank A/c

(iii) On the next

Bank A/c

...	...	...	...	...
Bank A/C	...	...	...	...
To Interest A/c	...	...	...	...

(iii) Balance of Interest A/c is transferred to Profit and Loss Account.

Accounting record in case of cum-interest sale.

(ii) Amount of total sale price can be calculated as below :

De-1. A/c

Bank A/C

To Investment A/c

To Interest A/c

(ii) Interest A/c

To Profit and Loss A/c

No information : When

Investment 1 edge: If a person makes investments in various types

Investment Ledger: If a person makes investments of securities and the number of investments are very large, a separate ledger is kept for such investments. This ledger is called investment ledger.

Balance Sheet
as on December 31, 2024

Liabilities	Amount	Assets	Amount
Capital	48,000	Equipment	25,000
Subscription Received in advance	4,000	Subscription receivable	6,000
Outstanding miscellaneous expenses	1,500	Cash at Bank	2,500
Outstanding Salaries	2,000	Fixed Deposit	20,000
Outstanding honourarium	3,000	Cash in Hand	5,000
	58,500		58,500

Q.9. From the following particulars which relate to a Commercial and Literary Society, prepare an Income and Expenditure account and Receipts and Payments account as on 31st December, 2025.

Balance Sheet
as on December 31, 2024

Liabilities	Amount Rs.	Assets	Amount Rs.
Outstanding Creditors	425	Cash at Bank	3,000
Capital Fund	15,575	Govt. Securities	10,000
		Accrued Interest	125
		Outstanding Subscription	400
		Library Books	1,000
		Furniture and Fittings	1,475
	16,000		16,000

The transactions for the year 2020 :

Receipts : Subscription Rs. 2,500; Proceeds received from entertainment and lectures Rs. 1,000; Interest on securities Rs. 475; Entrance fees received Rs. 500; Sale proceeds of old furniture Rs. 75.

Payments : Rent Rs. 600; Printing Rs.150; Advertising Rs. 200; Petty expenses Rs. 55; Government Securities Rs.2,500; Furniture Rs. 400; Library books Rs. 300; Cost of entertainment Rs. 750.

The following were outstanding as on 31st December 2011: Printing Rs. 75; Rent Rs. 100; Interest on securities Rs. 150 and Subscription Rs. 325.

Solution : Receipts and Payments Account
For the year ending 31st December, 2025

Dr.	Receipts	Amount Rs.	Payments	Amount Rs.	Cr.
	To Balance on 1.1.2025	3,000	By Rent	600	
	To Subscription	2,500	By Printing	150	
	To Interest on Securities	1,000	By Advertisement	200	
	To Entrance Fees	475	By Petty Expenses	55	
	To Sale of old Furniture	500	By Govt. Securities	2,500	
		75	By Payments to creditors	425	
			By Payment for furniture	400	
			By Library Books	300	
			By Entertainment	750	
			By Balance c/d	2,170	
		7,550		7,550	

Income and Expenditure Account
for the ending 31st December, 2025

Dr.	Expenditure	Amount Rs.	Income	Amount Rs.	Cr.
	To Rent	600	By Subscription	2,500	
	Add : Outstanding	100	Less: Last year's Outstanding	400	
	To Printing	150		2,100	
	Add : Outstanding	75	Add : Current year's Outstanding	325	
	To Advertisement			2,425	
	To Petty Expenses		By Entertainment	1,000	
	To Cost of entertainment		By Interest on securities	475	
	To Surplus-Excess of income over Expenditure				
			1,995	Less: Last year's outst.	125
				350	
				Add: Current year's outstanding	150
					500
					3,925

The process of creating a company in Tally is simple but crucial. Any error here (like wrong financial year) can cause reporting problems later. Hence, careful setup ensures accuracy in all computerized accounts.

Q.2. What is meant by Configuration and Feature settings in Tally? Why are they important?

Ans. In Tally, **Configuration** and **Features** are two key settings that control how the software behaves and what options are available during data entry and reporting.

(1) Configuration:

1. It defines the basic framework of Tally and affects how information is displayed.

Examples:

1. Date format (DD/MM/YYYY).
2. Number of decimal places in currency.
3. Company logo printing on invoices.
4. Statutory compliances like GST, TDS, or VAT.
5. Configuration settings are universal and usually applied across all companies in Tally.

(2) Features (F11):

1. These allow users to enable or disable specific functionalities within a company.

Examples:

- Inventory features (enable stock items and stock groups).
- Accounting features (enable cost centers, interest calculation).
- Statutory features (enable GST).
- Features can be tailored according to the company's needs.

Importance:

1. **Customization:** A manufacturing firm may enable inventory features, while a consultancy may keep them disabled.
2. **Compliance:** Enabling statutory features ensures automated GST/VAT calculations.
3. **Efficiency:** Only relevant features are enabled, making Tally easier to use.

Example: If XYZ Electronics deals in stock items like televisions and refrigerators, it must enable inventory features. But if ABC Consultancy provides services, it doesn't need stock features, only accounting features.

Configuration and Feature settings in Tally help tailor the software to specific business requirements. They ensure flexibility, compliance and user-friendliness, making computerized accounting efficient and reliable.

Q.3. Explain the procedure for creating accounting ledgers and groups in Tally. Give examples.

Ans. In Tally, accounting revolves around **ledgers** and **groups**. Without creating them, no transaction can be recorded.

Groups in Tally:

1. Tally has 28 predefined groups (e.g., Capital Account, Sundry Debtors, Sundry Creditors, Bank Accounts).
2. Groups classify accounts systematically.
3. Users can also create sub-groups for better organization.

Ledgers in Tally:

1. Ledgers are the actual accounts where transactions are recorded.
2. Every transaction in Tally must be entered through two ledgers (as per double-entry system).

Steps to Create Ledgers:

1. Go to Gateway of Tally → Accounts Info → Ledgers → Create.
2. Enter ledger name (e.g., Axis Bank A/c).
3. Assign it to the correct group (e.g., Bank Accounts).
4. Enter opening balance if any.

Examples:

- For purchases of raw material, create a ledger Purchases A/c under Purchase Group.
- For customer Ravi, create Ravi A/c under Sundry Debtors.
- For electricity bills, create Electricity Charges under Indirect Expenses.

Importance:

- Ledgers ensure systematic classification of transactions.
- Groups allow summarization for trial balance, Profit & Loss A/c, and Balance Sheet.

Creating correct ledgers and groups is the backbone of computerized accounting in Tally. It ensures every transaction is classified properly, making reporting accurate and meaningful.

Q.4. How are stock items and stock groups created in Tally?

Why are they important for inventory management?

Apart from accounting, Tally also supports inventory management by creating **stock items** and **stock groups**.

Stock Items:

- Represent individual products dealt with by the business.
- Example: "Samsung TV 42-inch" or "Nike Shoes Size 9."
- Each stock item must be created with details like unit of measurement (kg, pcs, litres).

Steps to Create Stock Items:

1. Gateway of Tally → Inventory Info → Stock Items → Create.
2. Enter name of stock item.
3. Assign it to a stock group.
4. Define unit of measure and opening quantity.

Stock Groups:

- Help classify stock items into categories for better organization.

114 Dividend is received on 1st Sept., 2025. Pass the necessary journal entries in the books of A Ltd.

Solution : Journal Entries in the Books of A Ltd. (Purchase)

2025 Aug. 15	Shares in Z Ltd. A/c Dividend A/c	Rs.	Dr.	...	...	Rs.
	To Bank A/c Being purchase of 40 shares @ Rs. 1,000 c/d dividend Rs. 20 per share declared)	39,200 ¹ 800 ²	...	...	...	40,000 ¹
Sept. 1	Bank A/c To Dividend A/c (Being receipt of dividend on 40 shares @ Rs. 20 per share)	800 ²	...	...	...	800 ²

$$(1) 1,000 \times 40 = \text{Rs. } 40,000$$

$$(2) \text{Dividend} \frac{100 \times 20}{100} = \text{Rs. } 20 \text{ on share, on } 40 \text{ shares :Rs. } 20 \times 40 = \text{Rs. } 800;$$

$$(3) 40,000 - 800 = \text{Rs. } 39,200/-$$

Illustration : A sold to B 60 shares of the face Value of Rs. 2,000 each of Z Ltd. @ Rs. 3,000 per share cum-div. Z Ltd. declared dividend @ Rs. 200 per share sometime before this sale. Pass necessary journal entry in the books of A.

Solution :

Journal Entry

Bank A/c	...	Dr.	Rs.
To Share in Z Ltd A/c	...	...	1,80,000 ¹
To Dividend A/c	...	...	12,000 ²
(Cum. div. Sale of shares)			

$$(1) 60 \times 3,000 = \text{Rs. } 1,80,000$$

$$(2) \text{Dividend} = 60 \times \text{Rs. } 200 = \text{Rs. } 12,000$$

$$(3) \text{Rs. } 1,80,000 - 12,000 = \text{Rs. } 1,68,000/-$$

Illustration : On 14th Aug., 2025, Investment Co. Ltd. Purchased 100 equity share of Rs. 100 each of B Ltd. at Rs. 150 per share. Before this purchase dividend on these shares is declared @ 8 per share. This dividend is received on 28th Aug., 2025. Out of these shares, 50 shares were sold on 15th Oct., 2025 @ Rs. 148 per share. The year of Investment Co. ends on 31st December each year. Prepare shares Account and Dividend Account in the books of Investment Co. Ltd.

Solution :

Share Account

2025 Aug. 14	To Bank A/c To P & L A/c	Rs.	2025 Oct. 15 Dec. 31	By Bank A/c By Balance c/d	Rs.
		14,200 ¹ 300 ⁴			7,400 ² 7,100 ³
		14,500			14,500

Dividend Account

2025 Aug. 14	To Bank A/c	Rs.	2025 Aug. 28	By Bank A/c	Rs.
-----------------	-------------	-----	-----------------	-------------	-----

$$(1) 150 \times 100 = \text{Rs. } 15,000 ; 100 \times 8 = \text{Rs. } 800 ; = \text{Rs. } 15,000 -$$

$$\text{Rs. } 800 = \text{Rs. } 14,200;$$

$$(2) 148 \times 50 = \text{Rs. } 7,400$$

$$(3) \frac{14,200 \times 50}{100} = \text{Rs. } 7,100$$

(4) This amount is balancing figure.

UNIT-5

Long and Short Answer type Questions :

Q-1. Explain the process of creating a company in Tally. What details are required at this stage?

Ans. Creating a company in Tally is the very first step in computerized accounting. Tally ERP 9 or Tally Prime allows users to create and manage multiple companies, each with its own set of financial records.

Steps in Creating a Company:

- 1. Open Tally:** On starting Tally, the Gateway of Tally screen appears.
- 2. Select "Create Company":** From the Company Info menu, choose the "Create Company" option.
- 3. Enter General Information:** Fill in details such as company name, mailing name, and address.
- 4. Statutory Details:** Provide information like GST number, PAN, and state if applicable.
- 5. Financial Year:** Define the beginning of the financial year and the date from which books are to be maintained.
- 6. Currency Information:** Base currency symbol (e.g., ? for Indian Rupee) is selected.
- 7. Security Controls:** Optionally, enable security features like user name and password.

Why is this step important?

1. It acts as the foundation on which all further accounting is built.
2. Correct input of statutory and financial year details ensures compliance with tax laws.
3. Security settings protect sensitive company data.

Example: Suppose a firm called ABC Textiles Pvt. Ltd. wants to start using Tally. While creating the company, it would enter its GST number, head office address in Delhi, and financial year beginning from 1st April. These details will later appear on invoices and reports.

11.2 First Year

Balance of this account is carried forward. This interest has been earned but has not been received.

Illustration : On 30th April, 2025 Sudhir purchased 50, 5% Govt. Bonds of Rs. 100 each at Rs. 105 per bond cum int. He sold 25 bonds @ Rs. 106 per bond cum int. On 1st Sept. 2025, Interest is payable on 31st July and 31st Jan. Each year. Books are closed on 31st December each year. Pass necessary journal entries and prepare necessary accounts in the books of Sudhir.

Solution :

Journal			
	Dr.		
2025 Apr. 30	5% Govt. Bonds A/c Interest A/c	...	...
	To Bank A/c	...	...
	Being purchase of 5% Govt. Bonds @ 105 cum int.		
July 31	Bank A/c	...	...
	To Interest A/c	...	...
	(Being receipt of interest for half year)		
Sept. 1	Bank A/c	...	...
	To 5% Govt. Bonds A/c	...	...
	(Being sale of 20, 5% Govt. Bond @ Rs. 105 each)		
Dec. 31	5% Govt. Bond A/c	...	...
	To P & L A/c	...	...
	(Being profit on sale of 25, 5% Govt. Bonds transferred to P & L A/c on the assumption that these are fitting assets)		
Dec. 31	Accrued Interest A/c	...	...
	To Interest A/c	...	...
	(Being record of interest for 5 months on Rs. 2,500, 5% Govt. Bonds)		
Dec. 31	Interest A/c	...	...
	To P & L A/c	...	...
	(Being transfer of Balance of Interest A/c to P & L A/c)		

$$(1) 50 \times 105 = \text{Rs. } 5,250 ; \text{Rs. } 5,250 - \text{Rs. } 62.50 \text{ as calculated below} = \text{Rs. } 5,187.50$$

$$(2) 50 \times 100 = 5,000 \frac{5,000 \times 5 \times 3}{100 \times 12} = \text{Rs. } 62.50$$

$$(3) 5,000 \times \frac{5 \times 1}{100 \times 2} = \text{Rs. } 125$$

$$(4) \text{Rs. } 25 \times 106 = \text{Rs. } 2,650$$

$$(5) \text{Rs. } 2,650 - \text{Rs. } 10.42 = \text{Rs. } 2,639.58$$

$$(6) 31\text{st July to 1st Sept. period is one month, } 25 \times 100 \times \frac{5}{100} \times \frac{1}{12} =$$

$$\text{Rs. } 10.42 \text{ Approx.}$$

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$$(7) \text{cost of 25 Bonds} = \frac{5,187.50 \times 25}{50} = 2,593.75 ; \text{Rs. } 2,593.75 - \text{Rs. } 2,639.58 = \text{Rs. } 45.83$$

$$(8) 25 \times 100 = \text{Rs. } 2,500 ; 2,500 \times \frac{5 \times 5}{100 \times 12} = \text{Rs. } 52.08$$

$$(9) \text{Rs. } (125 + 10.42 + 52.08) - \text{Rs. } 62.50 = \text{Rs. } 125$$

5% Govt. Bonds Account (Interest payable on 31st Jan. and 31st July)					
		Rs.	2025	Rs.	
2025	To Bank A/c	5,187.50	Sept. 1	By Bank A/c	2,639.58
April 31	To P & L A/c	45.83	Dec. 31	By Balance c/d	2,593.75
Dec. 31		5,233.33			Rs. 5,233.33

$$(1) \text{ This is balancing figure. } (2) \frac{5,187.50 \times 25}{50} = \text{Rs. } 2,593.75$$

Interest Account

		Rs.		2025		Rs.	
2025	To Bank A/c	62.50	July 31	By Bank A/c	125.00		
April 30	To P & L A/c	125.00	Sept. 1	By Bank A/c	10.42		
Dec. 31			Dec. 31	By Accrued Int. A/c	187.50		
						Rs.	187.50

Accrued Interest Account

	Rs.	2025	Rs.		
2025 Dec. 31	To Interest A/c	52.08	Dec. 31	By Balance c/d	52.08

Q. 14. Discuss the investment on which dividends are earned.

Ans. The investments on which Dividends are Earned are as follows :

(1) **Cum-div. Purchase and Sale :** Dividend is the income which a shareholder receives on the shares of a company. This dividend is based on the profit of whole year of the company.

If shareholder sells his shares cum dividend after the date of declaration of dividend and before the date of receipt of dividend, then buyer gets the right of getting dividend on these shares. Therefore, seller takes the amount of dividend also in addition to the price of shares from the purchaser. Real price of shares can be found out by deducting the amount of dividend from the market price of shares.

(2) **Ex-div. Purchase and Sale :** Under this case whatever amount is received by the seller for investment, same is treated as price of investment. No amount of dividend is added to or deducted from it. When seller makes ex-dividend sale of his shares he informs the company that he has retained the right of taking dividend.

Illustration : On 14th Aug., 2025, A Ltd. purchased from B Ltd. 40 shares of Rs. 100 each of Z Ltd. @ Rs. 1,000 per share, cum-div. Z Ltd. decelerated dividend @ 20% for the year 2024-25 only sometimes before

Benefits of Automated P&L and Balance Sheet in Tally:

1. **Time-saving:** No need for manual preparation; reports are instant.
2. **Accuracy:** Since they are based on double-entry system, the chances of mismatch are minimal.
3. **Real-time reporting:** Businesses can view their financial status at any point during the year.
4. **Decision-making:** Profit and loss data help in cost control, while the balance sheet helps assess financial position.
5. **Statutory compliance:** These reports are necessary for tax filings, loan applications, and audits.

Example: If sales during the year are Rs. 10,00,000 and expenses are Rs. 7,50,000, Tally will instantly show a profit of Rs. 2,50,000 in the P&L A/c. The Balance Sheet will show assets like cash, stock, and debtors against liabilities like creditors and loans.

Profit & Loss Accounts and Balance Sheets are the ultimate outputs of accounting. In Tally, their automated generation ensures speed, reliability, and decision-making support. They reflect the overall performance and financial health of the business.

Q.9. What is Computerized Accounting?

Ans. Accounting is the method in which financial information is gathered, processed, and summarized into financial statements and reports. The purpose of accounting is to provide information used in decision-making. Accounting may be viewed as a system (a process) that converts data into useful information.

Information processes include:

- Recording
- Maintaining
- Reporting

Every business has numerous processes. Some are simple, others complex and cumbersome. However, as the business grows, acquires new customers, enters new markets, and keeps pace with constant changes in statutory regulations... the company will need to maintain highly accurate and up-to-date accounting, inventory, and statutory records. This is where a computerized accounting helps simplify, integrate, and streamline all the business processes, cost-effectively and easily.

Q.10. What are the advantages of Computerized Accounting?**Ans. Advantages of Computerized Accounting:**

1. **Better Quality Work:** The accounts prepared with the use of computers are usually uniform, neat, accurate, and more legible than manual job.

2. **Lower Operating Costs:** Computer is a labour and time saving device. Hence, the volume of job handled with the help of computers results in economy and lower operating costs.
3. **Improved Efficiency:** Computer brings speed and accuracy in preparing the records and accounts and thus, increases the efficiency of employees.
4. **Facilitates Better Control:** From the management point of view, greater control is possible and more information may be available with the use of computer in accounting. It ensures efficient performance in accounting work.
5. **Greater Accuracy:** Computerized accounting ensures accuracy in accounting records and statements. It prevents clerical errors and omissions.
6. **Relieve Monotony:** Computerized accounting reduces the monotony of doing repetitive accounting jobs, which are tiresome and time consuming.
7. **Facilitates Standardization:** Computerized accounting facilitates standardization of accounting routines and procedures. Therefore, standardization in accounting is ensured.
8. **Minimizing Mathematical Errors:** While doing mathematics with computers, errors are virtually eliminated unless the data is entered improperly in the first instance.

Q.11. What are the disadvantages of Computerized Accounting?**Ans. Disadvantages of Computerized Accounting:**

1. **Reduction of Manpower:** The introduction of computers in accounting work reduces the number of employees in an organization. Thus, it leads to greater amount of unemployment.
2. **High Cost:** A small firm cannot install a computer accounting system because of its high installation and maintenance cost. To be more economical there should be large volume of work. If the system is not used to its full capacity, then it would be highly uneconomical.
3. **Require Special Skills:** Computer system calls for highly specialized operators. The availability of such skilled personnel is very scarce and very costly.
4. **Other Problems:** Frequent repair and power failure may affect the accounting work very much. Computers are prone to viruses. Often time's people will assume the computer is doing things correctly and problems will go unchecked for long period of time.

2. Cash Receipts:

customer payments, loan received).

3. **Cash Payments:** Shows all cash outflows (supplier payments, salaries, expenses).

4. **Daily Cash Position:** Since cash is sensitive, monitoring daily balances helps prevent misuse or fraud.

5. **Cash Flow Analysis:** Helps management understand whether cash is being used effectively or whether additional financing is required.

Example: A retail store may receive daily sales in cash and make payments for electricity or supplier bills. By generating a Cash Book in Tally, the owner can instantly view how much cash was collected versus how much was spent, along with the closing cash balance.

Importance:

- Helps maintain financial discipline.
- Essential for audit and statutory compliance.
- Provides a **real-time picture of liquidity** for decision-making.

The Cash Book in Tally acts as a mirror of all cash activities in the business. It helps management track inflows and outflows systematically, prevents cash shortages, and ensures accountability.

Q.7. Explain how Trial Balance and Ledger Accounts are generated in Tally. Why are they significant?

Ans. A **Trial Balance** is a statement that lists the closing balances of all ledgers, debit and credit, to check the arithmetical accuracy of accounts. **Ledger Accounts**, on the other hand, are detailed accounts created for each ledger under appropriate groups. In Tally, both can be generated easily once vouchers are entered.

Generating Ledger Accounts:

1. Create ledgers under appropriate groups (e.g., Sundry Debtors, Bank Accounts).
2. Enter transactions using vouchers.
3. To view, go to Gateway of Tally → Display → Account Books → Ledger.
4. Select the ledger name to see all debit and credit entries and the closing balance.

Generating Trial Balance:

1. After entering all transactions, go to Gateway of Tally → Display → Trial Balance.
2. Tally automatically displays all ledgers grouped under debit and credit balances.

Significance of Ledger Accounts:

- Provide detailed transaction history for each account.

- Essential for tracking balances of debtors, creditors, expenses, and incomes.
- Act as the foundation for preparing trial balance and final accounts.

Significance of Trial Balance:

1. **Accuracy Check:** Ensures that total debits equal total credits, reducing chances of error.

2. **Summary of Accounts:** Acts as a summary of all ledgers, simplifying analysis.

3. **Basis for Final Accounts:** Trial Balance is used to prepare Profit & Loss A/c and Balance Sheet.

4. **Error Detection:** Helps detect posting errors, omission of entries, or misclassification.

Example: If *Ravi Traders* ledger shows a balance of Rs. 50,000 (debtor), this will appear in Trial Balance under debit. Similarly, *MNO Suppliers* with Rs. 40,000 payable appears under credit. If totals match, accounts are considered arithmetically correct.

Ledger Accounts provide details, while Trial Balance ensures overall accuracy and acts as a bridge between daily accounting and preparation of final accounts. In Tally, their automatic generation saves time and increases reliability.

Q.8. How are Profit & Loss Accounts and Balance Sheets generated in Tally? What benefits do they provide?

Ans. The **Profit & Loss Account (P&L A/c)** and **Balance Sheet** are final accounts prepared at the end of an accounting period. In manual accounting, they require adjustments and preparation, but in Tally, they are generated automatically from vouchers and ledgers.

Generating Profit & Loss Account in Tally:

1. Enter all revenue transactions (sales, purchases, incomes, expenses) through vouchers.
2. Go to Gateway of Tally → Display → Profit & Loss Account.
3. Tally displays all indirect incomes and indirect expenses.
4. Opening and closing stock adjustments can also be made.
5. Net result will be either **Profit** or **Loss**.

Generating Balance Sheet in Tally:

1. All assets, liabilities, and capital transactions must be recorded properly.
2. Go to Gateway of Tally → Display → Balance Sheet.
3. Tally automatically displays liabilities (capital, creditors, loans) on one side and assets (cash, debtors, fixed assets, stock) on the other.
4. The Balance Sheet always tallies, ensuring accuracy.

- Example: "Televisions" group can have Samsung TV, LG TV, Sony TV as items.
- Groups allow consolidated reporting.

Importance:

1. **Efficient Inventory Control:** Helps track quantities, re-order levels, and stock movement.
2. **Categorization:** Makes it easier to analyze stock turnover by category.
3. **Accurate Valuation:** Closing stock is automatically valued, which affects Profit & Loss A/c.
4. **Decision-making:** Helps management identify best-selling products.

Example: A shoe retailer may create groups like *Men's Footwear*, *Women's Footwear*, *Kids' Footwear*. Each group contains multiple stock items like "Nike Men's Sneakers" or "Bata Women's Sandals."

Creating stock items and groups in Tally ensures that inventory records are detailed, categorized, and accurate. This enhances **inventory control, financial accuracy, and decision-making**, making it essential for computerized accounting systems.

Q.5. What are voucher entries in Tally? Explain the different types of vouchers with examples.

Ans. In computerized accounting using Tally, **vouchers** are the basic source documents through which transactions are entered. Just like in manual accounting, every transaction must be supported by a voucher. In Tally, vouchers are categorized into different types to suit different kinds of transactions.

Voucher Entry Process:

1. Go to Gateway of Tally → Accounting Vouchers.
2. Select the type of voucher (e.g., Payment, Receipt).
3. Enter details like date, ledger names, amount, and narration.

Types of Vouchers in Tally:

1. **Payment Voucher (F5):**
 - Used to record payments made in cash or through bank.
 - Example: Paying Rs. 10,000 to supplier by cheque is entered in Payment Voucher.
2. **Receipt Voucher (F6):**
 - Used when money is received.
 - Example: A customer pays Rs. 5,000 in cash; this is recorded using Receipt Voucher.
3. **Contra Voucher (F4):**
 - Used for transfers within cash and bank accounts.
 - Example: Depositing Rs. 20,000 cash into bank.

Journal Voucher (F7):

- Used for non-cash transactions like depreciation, provision, or adjustments.

Example: Charging depreciation of Rs. 2,000 on machinery.

Sales Voucher (F8):

- Records sales of goods or services.

Example: Selling goods worth Rs. 50,000 to Ravi Traders.

Purchase Voucher (F9):

- Records purchase of goods.

Example: Buying raw materials of Rs. 30,000 from MNO Suppliers.

Debit Note and Credit Note (Alt+F5 / Alt+F6):

- Used for purchase returns and sales returns.

Inventory Vouchers:

- Used for stock transfers, physical stock adjustments, and delivery/receipt notes.

Importance:

- Vouchers ensure **systematic and accurate entry** of transactions.
- They follow the **double-entry system**, ensuring accounting integrity.

- They act as **documentary proof** in computerized accounting.

Voucher entries are the backbone of accounting in Tally. By classifying transactions into types of vouchers, Tally ensures clarity, accuracy, and transparency in recording, which helps in generating reliable financial reports.

Q.6. How is a Cash Book generated in Tally? What information does it provide to management?

Ans. The **Cash Book** is one of the most important financial statements, showing all cash receipts and cash payments during a period. In Tally, once vouchers are entered, the Cash Book can be generated automatically without separate manual effort.

Steps to Generate Cash Book in Tally:

1. Enter all cash-related transactions using **Payment (F5), Receipt (F6), or Contra (F4)** vouchers.
2. Go to Gateway of Tally → Display → Account Books → Cash/ Bank Book.
3. Select the required period (e.g., 1st April to 31st March).
4. Tally displays all cash transactions with opening and closing balances.

Information Provided by Cash Book:

1. **Opening and Closing Cash Balances:** Helps management know available liquidity.

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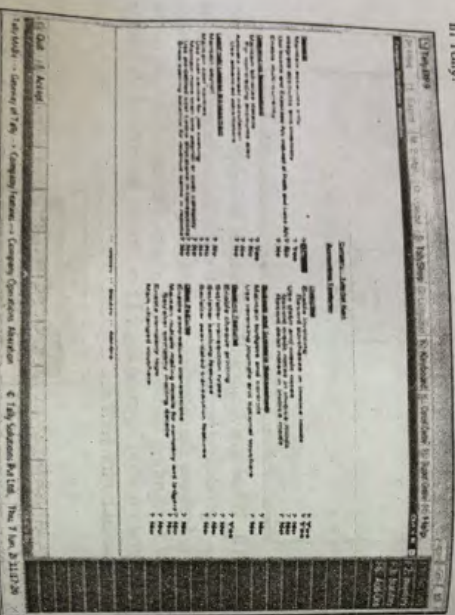
Accounting features is further divided into 6 sections:

1. General
2. Outstanding Management
3. Cost / Profit Centre Management
4. Invoicing
5. Budgets / Scenarios Management
6. Other Features

To open Accounting Features : To open accounting features in Tally ERP 9, use any one of the following method.

1. **Path:** Tally Main > Gateway of Tally > F11: Features > Accounting Features
2. **Function key:** F1: Accounts (Press function key F1 from your keyboard)

The following screen displays after executing the accounting features in Tally:



General :

1. **Maintain Accounts Only:** Choose this option, if we are maintaining inventory transactions.
2. **Integrate accounts and inventory:** Choose Yes option to include stock or inventory balances from inventory records.
3. **Use income and expense A/c instead of profit & loss A/c:** Choose this option to display the income and expenses accounts as menu instead of profit & loss account.

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4. **Enable Multi Currency:** Choose this option to work company with multi-currencies.

Outstanding Management :

- ⇒ Maintain bill-wise details:
- ⇒ For non-trading accounts also:
- ⇒ Activate interest calculation:
- ⇒ Use advanced parameters:

Cost / Profit centre management :

- Maintain Payroll:
- Maintain cost centres:
- User cost centre of job costing:
- More than one payroll/cost category:
- Use predefined cost centres allocation in transactions:
- Show opening balance for revenue items in reports:

Invoicing :

- ⇒ Enable Invoicing
- ⇒ Record purchases in invoice mode
- ⇒ Use debit and credit notes
- ⇒ Record credit notes in invoice mode
- ⇒ Record debit notes in invoice mode

Budgets and Scenarios Management :

- Maintain budgets and control
- Use reversing journals and optional vouchers

Banking :

- Enable cheque printing
- Set/alter transaction type
- Set/alter banking features
- Set/alter post-dated transaction features

Other Features :

- Enabled zero valued transactions
- Maintain multiple mailing details for company and ledgers
- Enable company logo
- Mark changed vouchers

After enabling all the required accounting features for company, press enter or ctrl + A to save the configured details in Tally ERP 9.

Q.16. What is the Inventory Features in Tally consists of?

Ans. Inventory features in Tally consists configurations/functions related to inventory transactions and reports. Inventory features is further sub-divided into 7 functions, such as:

1. General
2. Storage and Classification
3. Order processing

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Phone No.: Enter telephone number
Mobile No.: Enter mobile number

Fax No.: Fax number if exists.

E-mail: Enter your official communication mail id

Website: Enter website address if exists, for example 'www.tallygame.com'

Book and financial year details.

Financial year begins from: Type financial year in which we want create a company. Suppose we may start company on September 01, 2025. We must enter the financial year from as 01.09.2025.

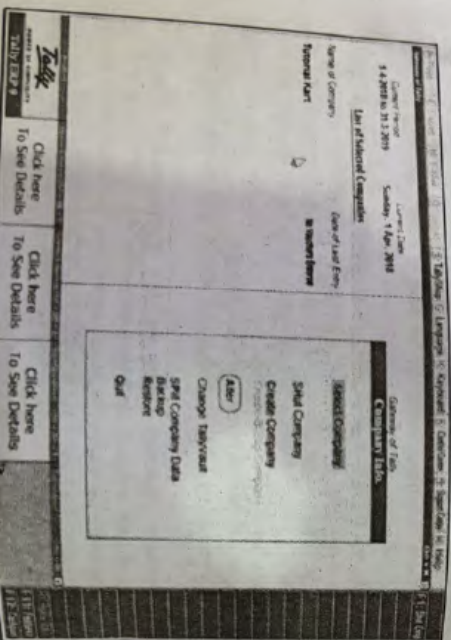
Book beginning from: Most of the company have a book beginning date same as financial year starting date. But may differ for companies:

- That are starting in the middle of the financial year.
- Companies which are migrating from Manual Accounting to Tally ERP9 in the middle of the financial year.

Q.13. How to alter a Company in Tally?

Ans. After creation of company in Tally, the given company information can be alter/modify/change as per requirements.

Step 1: To Alter company in Tally: Gateway of Tally >> Press Alt+F3 > Alter



Step 2: Under list of companies, choose the company name (Tutorial Kart) and click on name of company to alter.

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Step 3: On company alteration screen, add and modify the required details and use Ctrl + A options to save the details. Here we have added detail details of phone number.

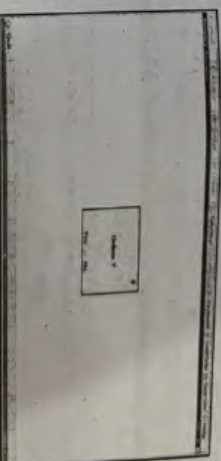
Q.14. How to delete a Company in Tally?

Ans. If we delete company in Tally, it removes the complete information of company from Hard drive, all the files and directories that are associated with company will be deleted permanently and it cannot be reversed.

To delete company in Tally ERP 9: Gateway of Tally > Alt+F3 > Alter > Alt+D.

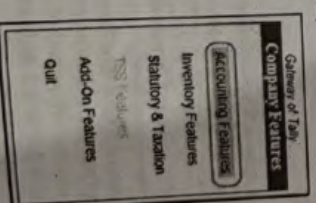
Step 1: After using Alt+F3 keys, the company information screen displays on the screen. Here the delete option will be not available. Click on alter option.

Now selection company and click Alt+D and click on YES option to delete the company in Tally ERP 9.



Q.15. What are Accounting Features in Tally?

Ans. Accounting features in Tally is one of the important categories of company features that consists of several configurations and functionalities used for accounting transactions and reports. Accounting features can be opened by pressing function key F11 or click on the option F11: Features (available at button toolbar)



Q.12: How a Company is created in Tally?

Ans. If using tally program, first time, first of all, we have to create a company in tally program. To create the company in tally, we have to follow the following procedure.

1. When it is installed then double click on Tally.

Select "create company" After selection of "create company" the following screen will appear :

Now, to create new company you have to fill up all the details as required by tally program as under :

NAME: Write the name of company for whom the accounts are to be maintained. For example company's name is M/s XYZ LIMITED, we shall write M/s XYZ LIMITED

MAILING ADDRESS: Name of company shall appear automatically. If you want to mention other name you can. In above example we are not changing the name. You have to write the address also. Say, the address is 15, Nehru Place, New Delhi - 110019

STATUTORY COMPLIANCE FOR INDIA (It cannot be changed)
STATE: When we fill up this detail then a list of all Indian States will appear. Select anyone. For this example we have selected Delhi being the state of the company.

TELEPHONE NUMBER: Give the telephone number of the company. Say - 11111111

CURRENCY SYMBOL: Already given as (Rs.). We need not to change the same.

MAINTAIN: There are three options given: 1. Accounts only. 2. Accounts with inventory. If we want to do accounts only then select accounts only and if we want to maintain stock, raising the bills, then select option "Accounts with Inventory" and if we want to maintain inventory only then select Inventory only. In this we are selecting "Accounts Only".

FINANCIAL YEAR FROM: Suppose, we want to maintain the accounts for the financial year 2025-26 then we shall write "01.04.2025"

BOOKS BEGINNING FROM: Here also, we will mention then you can write as 01.10.2025. But, in this case we cannot make any entry before 01.10.2025 for financial year 2025-22.

DISALLOWING OPENING IN EDUCATIONAL MODE: We should write "Yes" because we want to maintain the accounts not for study purpose. But we have selected "No" because we are just learning.

TALLY VAULT PASSWORD (IF ANY): Leave it blank. If we give any password under tally vault, we cannot see our company in list of companies whenever we open the tally. It is advisable not to give any password under this column.

USE SECURITY CONTROL: In this column say "Yes". Because we must have some password for our company so that the person who knows the password, that person only can open the company.

NAME OF ADMINISTRATOR: Write anything but remember, if we have written anything in capital letters, then at the time of opening company you have to write the administration name in capital letter only otherwise we would not be able to open the tally. Here we are writing XYZ as administrator's name in capital letters. We have to follow the procedure as given in administrator's name. Here also, we are writing XYZ as password in capital letters.

REPEAT PASSWORD: We should again write the password as written in Password Column. So, write - XYZ in capital letters. We cannot see what have been written. It is just to test us whether we can remember the password or no. So, be very careful regarding the password. If we forget the password then we don't have any option to open our company. In that case we need to contact to Tally people only.

USE TALLY AUDIT FEATURES: Write "No". Basically, this feature is required by auditors or senior persons. So, for the time being for learners, it is advisable to select "No" against this column.

Finally it asks, Yes or No. If we select "Yes", then the company shall be created as per the details given by us. It is advisable that before selection of "Yes", once again, we must go through all the details given by us in the form. Suppose, instantly, we want to change anything, and then select "No". We can change anything now.

Finally, we have to select "Yes". After selecting "Yes", your company is created. It will take few seconds to create the company.

We are in company info menu. Now, How to create company in Tally Epp 9? To do this Select Create company from the menu using up and down arrow key and Hit Enter Key.

Company Creation screen will be displayed.

In this company creation screen, we should enter all the details of the company.

Directory: Directory means the data storage location. This is the place where tally store all data you entered in tally Epp9. By default the data storage will be inside the installation folder. We can change it at your desired location by typing it manually. For example D:/Tally data

Name: Type the name of the company in this field, for Example.

ABCLTD
Address: This is the place where we can enter the address of the company.

Country: Select the country from the list in which your business exist.

State: Select the state in which you want to comply statute.

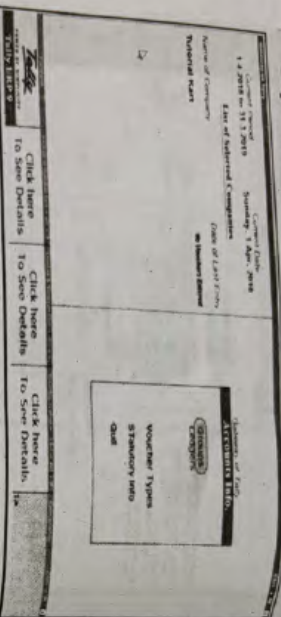
Pincode: Pincode of the location where your company office exists.

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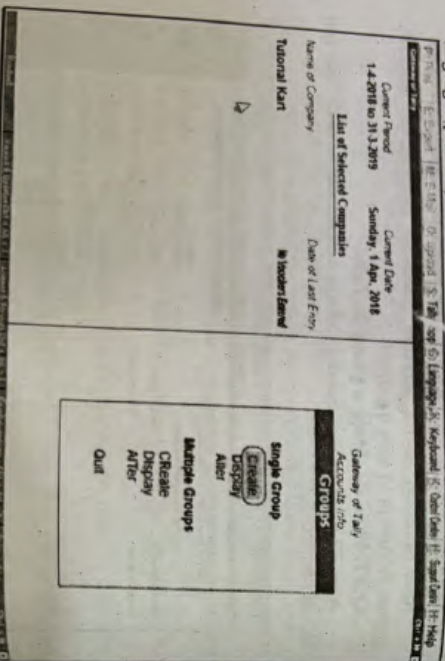
- Main Groups:** South India Debtors Group and North India Debtors Group under Sundry Debtors
 - Sub-Groups:** Bangalore debtors, Vijayawada debtors and Hyderabad Debtors under South India Debtors
- ABC limited & Tech solutions grouped under North India Debtors.

Step 1: Go to Gateway of Tally and click on accounts info

Step 2: Under Accounts info, choose the option Groups.

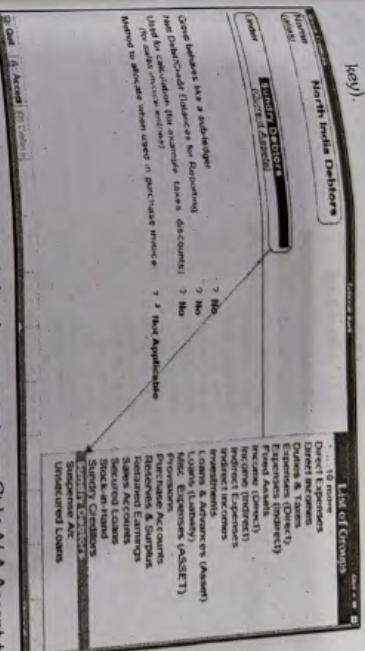


Step 3: Under Single Group menu, choose the option create to create single group in Tally ERP 9



Step 4: On Group creation screen, update the following details.

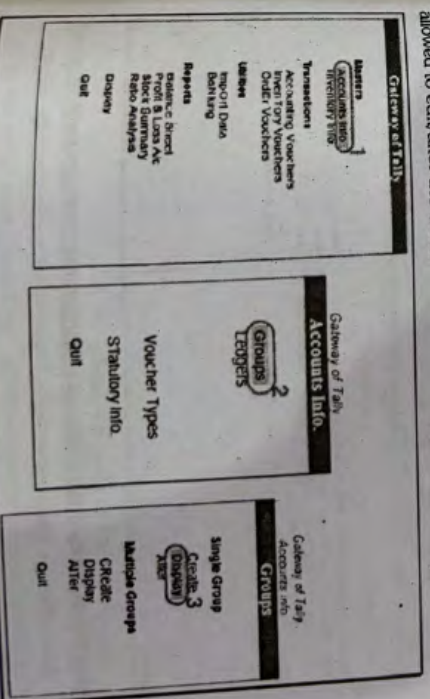
- Name:** Enter the name of group and press enter to continue
- Under:** Choose the group name from list of groups as Sundry debtors (You can move to group name pressing upper or lower key).



After entering the required details, press enter or Ctl + A/Accept to save the details.

Q.18. How Groups are created in Tally?

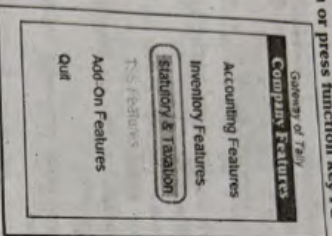
Ans. After groups are created in Tally ERP 9, we can display all the created groups with details. However, in display mode, users are not allowed to edit/alter the data.



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132 First-ear To enable Statutory & Taxation Features: You can use Sliding and Taxation features in Tally by enabling and disabling options in the company alteration screen. Follow the path and open statutory and taxation.

Gateway of Tally -> F11: Features -> Company Features -> Statutory Taxation or press function key F3



From the screen company operation alteration - Company: Tutorial Kart update the following details.

⇒ **Enable Goods and Services Tax (GST):** Enable GST option to use GST tax for company

- **Set/alter GST details:** Enable this option to change the GST details.

⇒ **Enable Value Added Tax (Vat):** Country India is now following GST tax, so disable this option as company is following GST tax.

Set/Alter VAT details: Choose this options as No

⇒ **Enable Excise:** Enable this option to use the Excise
Set/alter excise details: Enable this option to change the excise

details

⇒ **Enable Service Tax:** Enable this option to use the service tax by company

- **Self/alter service tax details:** Enable this option only to alter the service tax details

⇒ **Enable Tax deduction at Source:** Enable this option to use TDS

- Set/alter TDS details

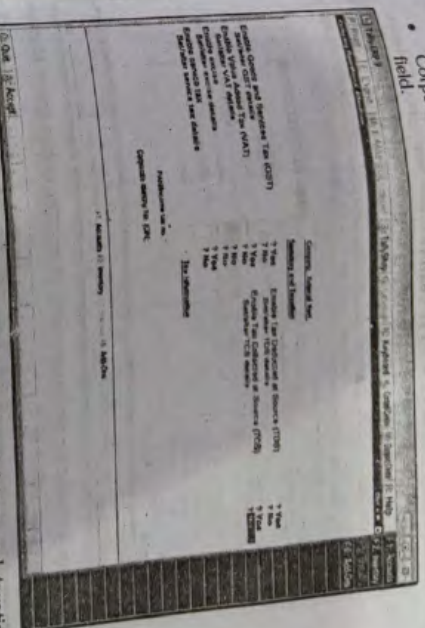
⇒ **Enable Tax collected at Source:** Enable this option to use TCS

- Set/alter TCS details

Tax Information: Tax No: Update the company permanent account
Tax ID: Update the company tax number in this field

PAN/Income tax number in this field.
 (PAN) / Income tax number in this field.
 Identify No: Update the company CIN number in this number

Corporate Identity field.



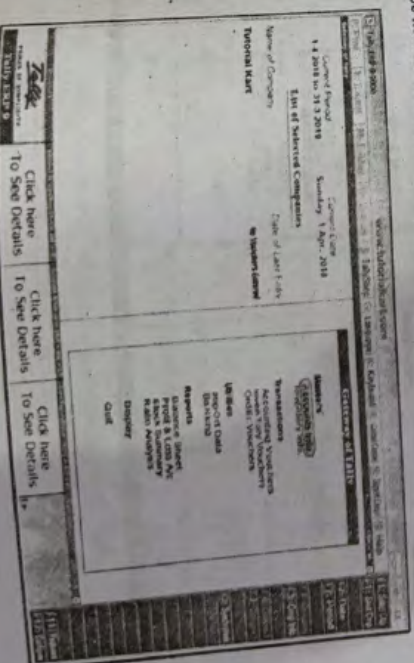
After updating all the required details for statutory and taxation, A consent to save the details.

choose A: Accept to save the company.

Q.17. How to create a group in Tally.

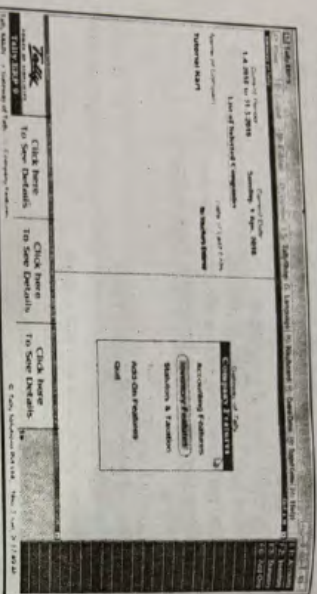
Ans. The groups like Sundry Debtors Ledgers Accounts in Tally can

be maintained like:



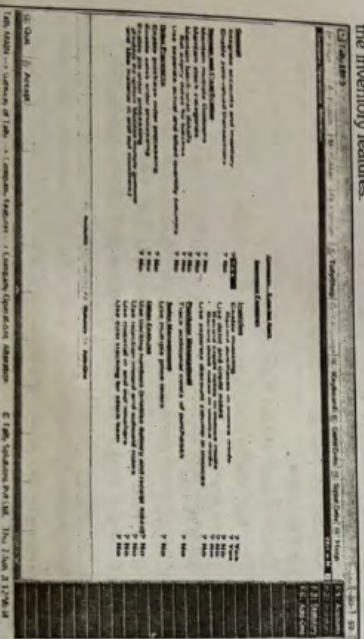
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4. Invoicing
 5. Purchase Management
 6. Sales Management
 7. Other features
- To start inventory features in Tally ERP 9**
- Path: Tally Main -> Gateway of Tally -> F11: Features -> Company Features -> Inventory
 - Features or click on F2: Inventory.



To enable inventory features in Tally ERP 9

By using inventory features, you enable or disable the options for day-to-day business transactions. The following screen displays after executing the inventory features.



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On company alteration screen, update the following details

General :

- Integrate accounts and inventory: Choose this option as Yes to include stock or inventory balances in inventory records.
- Include zero value transactions: Choose this option as Yes to allow the zero value transactions.

Storage and classification :

- Maintain multiple godowns: Enable this option if you have more than one storage location and godowns for storing the materials.
- Maintain stock categories: Enable this to define or maintain stock categories
- Maintain batch wise details: Enable this option to maintain batch wise details for stock items
- Set expiry dates for batches: Enable this option for maintaining expiry dates for batches
- Use separate actual and billed quantity columns

Order Processing :

- Enable purchase order processing: Enable this option to define purchase orders
- Enable sales order processing: Enable this option to define sales orders after executing the inventory features.
- Enable job order processing: Enable this option to define job orders.

Invoicing :

- Enable Invoicing:
- Record purchases in invoice mode
- Use debit and credit notes
- Record credit notes in invoice mode
- Record debit notes in invoice mode
- Use separate discount column in invoices

Purchase Management :

- Track additional costs of purchases

Sales management :

- Use multiple price levels Other Features
- Use tracking numbers (enables delivery and receipt notes)
- Use rejection inward and outward notes
- Use material in and out vouchers
- Use cost tracking for stock item

After enabled or disabled the features, choose **A: Accept** or press **ctrl + A** to save the details.

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Journal Voucher : The Journal Voucher is used by businesses for multiple purposes, based on their business types. Some accountants use them for purchases and sales as well. Both accounting and Inventory Journal Vouchers are available in Tally.ERP 9. The Inventory Journal Voucher can be used to adjust inventory or for movement of inventory from one godown to another.

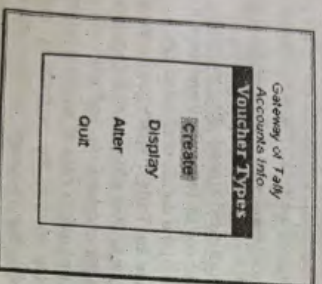
Credit Note Voucher : In Tally, the Credit Note Voucher is used generally for a sales return. By default, the Credit Note is not enabled in Tally.ERP 9. It can be enabled by pressing on F11 and configuring the Features. While passing Credit Note, we can refer to the original invoice number as well. Upon selection of a party, Tally.ERP 9 will by default show us all the invoices which have been raised against the particular party for easy reference.

Debit Note Voucher : In Tally, a Debit Note is used for purchase returns. With Tally.ERP 9, a user can either pass a Debit Note as a voucher or as an invoice where the inventory values also gets affected. The Debit Note Voucher can be enabled by pressing F11 and configuring the Features. We can provide details of the original invoice numbers as well.

Q.21. How to create different Voucher types in Tally?

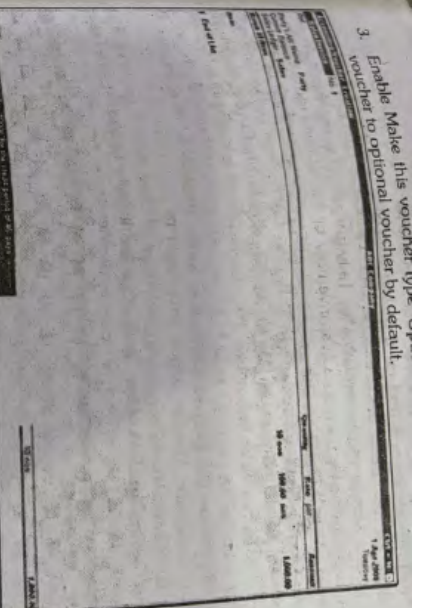
Ans. To create a voucher type :

1. Go to Gateway of Tally > Accounts Info. or Inventory Info. > Voucher Type > Create.

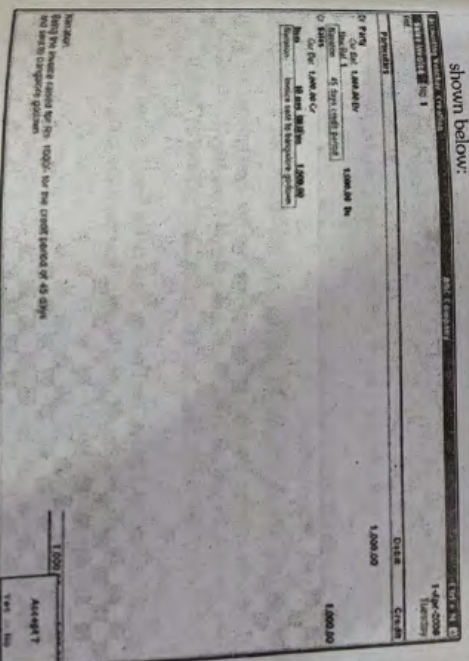


The Voucher Type Creation screen is divided into three sections depending on various settings:

- General
 - Printing
 - Voucher Class
2. Enable Use effective dates for vouchers to enter effective dates for vouchers.



4. Enable Provide narration for each ledger in voucher? If we want to give a separate narration for each entry of a voucher. This would be applicable for a multiple entry voucher where we want separate details for each entry. The narrations for each entry appears as shown below:



[illegible]

Q.20. Write a note on Voucher creation in Tally?

Ans. Voucher is an internal document used in a company's accounts payable department in order to collect and organise the necessary documentation and approvals before paying a vendor invoice. The voucher acts as a cover page to which the following will be attached: vendor invoice, company's purchase order, company's receiving report, and other information needed to process the vendor invoice for payment.

There are 18 vouchers created in Tally ERP 9, which is divided into two parts:

1. Accounting Vouchers
2. Inventory Vouchers

Accounting Voucher: All entries which you made in these given accounting vouchers is effect on your current accounting of your business.

F4: Contra-> Used for cash and bank entries and also fund transfer from one bank to another.

F5: Payment -> Used for expenditure and payment to parties by cheque or cash.

F7: Journal -> Used for adjustable and transferable entries.

F8: Sales -> Used for sales entries and income

F-9: Purchases -> Used for purchased entry and expenses.

CM + F8. Credit Note -> Used for sales return entries.

CUIT 179. Detail Note -> Used for purchases return entries.

Journal: Used for rectifying any wrong entries. Reverse Journal: Memo (Memorandum): Used for reversing entries. Voucher: A document used to record a transaction.

F10: Voucher entry in tally. (Non-Accounting vouchers in Tally.ERF)

Accounting Voucher : Accounting Voucher is most widely used of all. Depending on the nature of the transaction, it is classified into Sales Voucher, Purchase Voucher, Receipt Voucher, Payment Voucher, etc.

Sales Voucher In the case of the users of Tally.ERP 9, it is a type of accounting voucher. Depending on the nature of the business, it can be created in the invoice mode or the voucher mode. In the invoice mode, we can print and provide a copy of the invoice to your customers. The Voucher mode can be used when we need to basically record transactions for statutory purpose only, and when we need to have the need to print and share the information with different needs.

Purchase Voucher in Tally : The Purchase Voucher too can be your customer. Tally, ERP 9 gives the flexibility to address your customer. Tally, ERP 9 gives the flexibility to address your customer.

[illegible]

You can add more details by entering a **Payment Voucher in Tally: ERP 9** all times of details when creating it. While making payment

lets us provide details such as the instrument number, and even to a party we can provide details such as the Payment Voucher, we can print the cheque. As soon as we pass a Payment Voucher, we can print the corresponding cheque. To see the list of cheques which need to be printed, go to Banking and click on Cheque Printing. Tally.ERP 9 supports over 500 banks from both India and abroad. After making the payment, we can generate a Payment Advice in Tally.ERP 9 and share it with your supplier.

Receipt Voucher in Tally : When you create a Receipt Voucher, as it will update the instrument number, you will be able to track the payments as it will update the instrument number. Tally/ERP 9 prompts us to take a look at all the pending invoices for which payments are yet to be received. As and when our customer makes a payment, we can record details such as against which invoice the payment is made, whether we receive the payment by cash, cheque or via NEFT/RTGS, and what the instrument numbers are. We can even email this information to your customer. This way, we will never lose track of the payments.

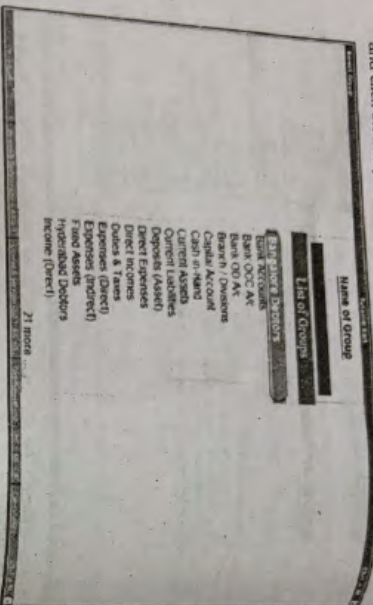
Contra Voucher : Contra Vouchers are generally used by businesses to withdraw cash from banks or to deposit cash in banks. With Tally ERP we can also generate a cash deposit slip. Tally ERP 9 also provides the denomination of notes to let us track and take a print of the same at the time of depositing money.

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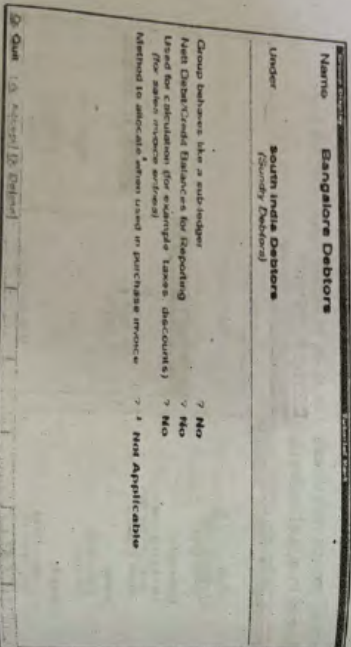
Step 1: Path: Gateway of Tally > Accounts Info > Groups.

Step 2: Click on the option display under single group to displays groups in Tally.

Step 3: Under list of groups names, choose the required group name and click on that particular group to display on the screen.



Now the ledger (Bangalore Debtors) display on the screen as :



Click on Q: Quit to close the screen.

Q.19. How to alter a Group in Tally?

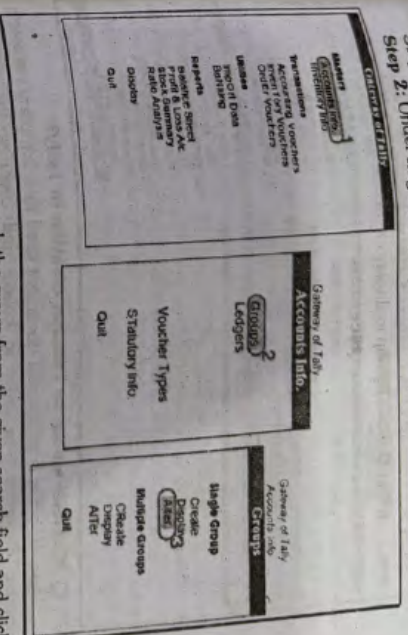
Ans. After groups are created in Tally ERP 9 application, the details can be altered as per the requirements.

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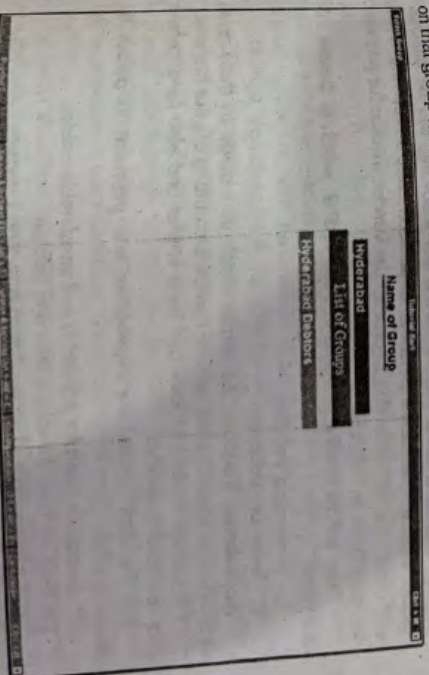
To modify/alter group in tally, refer below steps:

Step 1: Go to Gateway of Tally -> Accounts Info -> Groups.

Step 2: Under single group, click on alter option.



Step 3: We can search the group from the given search field and click on that group name to modify the details.



Step 4: On Group Alteration screen, update the required details and click A: Accept to save the details.

The Trial Balance of Sutton Ltd. 31st Dec. 2006

1910		1911		1912		1913		1914		1915		1916		1917		1918		1919		1920		1921		1922		1923		1924		1925		1926		1927		1928		1929		1930		1931		1932		1933		1934		1935		1936		1937		1938		1939		1940		1941		1942		1943		1944		1945		1946		1947		1948		1949		1950		1951		1952		1953		1954		1955		1956		1957		1958		1959		1960		1961		1962		1963		1964		1965		1966		1967		1968		1969		1970		1971		1972		1973		1974		1975		1976		1977		1978		1979		1980		1981		1982		1983		1984		1985		1986		1987		1988		1989		1990		1991		1992		1993		1994		1995		1996		1997		1998		1999		2000		2001		2002		2003		2004		2005		2006		2007		2008		2009		2010		2011		2012		2013		2014		2015		2016		2017		2018		2019		2020		2021		2022		2023		2024		2025		2026		2027		2028		2029		2030		2031		2032		2033		2034		2035		2036		2037		2038		2039		2040		2041		2042		2043		2044		2045		2046		2047		2048		2049		2050		2051		2052		2053		2054		2055		2056		2057		2058		2059		2060		2061		2062		2063		2064		2065		2066		2067		2068		2069		2070		2071		2072		2073		2074		2075		2076		2077		2078		2079		2080		2081		2082		2083		2084		2085		2086		2087		2088		2089		2090		2091		2092		2093		2094		2095		2096		2097		2098		2099		2100	
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	27	28	29	30	31	32	33	34	35	36	37	38	39	40	41	42	43	44	45	46	47	48	49	50	51	52	53	54	55	56	57	58	59	60	61	62	63	64	65	66	67	68	69	70	71	72	73	74	75	76	77	78	79	80	81	82	83	84	85	86	87	88	89	90	91	92	93	94	95	96	97	98	99	100																																																																																																																																																																																																																																																																																										

(iv) **Cash/Bank Books :** It displays balances as and when transactions that affect cash and bank balances are recorded. We can view Cash/Bank Books under Accounts Book under Display on Gateway of Tally. If we press enter on cash, you can view monthly ledger summary as well. The Cash/Bank Books of Suniti Ltd. will appear as shown below.

This image shows a blank, aged, cream-colored page, likely an endpaper or flyleaf of a book. The paper has a slightly textured appearance with some minor creases and discoloration, characteristic of old paper. The left edge of the page is bound, showing the inner cover material and the stitching of the binding. The overall tone is warm and off-white.

1. Name
2. Address
3. City
4. State
5. Zip
6. Date
7. Time
8. Signature
9. Initials
10. Remarks

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Q.22. Write a short note on generating reports in :

- Balance Sheet
- Profit and Loss Account
- Trial Balance
- Cash/Bank Book

Ans. (i) **Balance Sheet** : It is a financial statement that reports the financial position of the business as on a specific date. It shows a balance between assets and liabilities signifying Assets = Liabilities + Capital.

We can view balance sheet on Gateway of Tally under Reports. Alternatively, if you have set 'Use separate menu for Final Accounts Statements as yes' in General Configurations, then we can find balance sheet under 'Final Accounts'.

The balance Sheet of Surbhi Ltd. will appear as seen below.

Particulars	Amount	Particulars	Amount
Fixed Assets	1,00,00,00	Current Liabilities	1,00,00,00
Current Assets	1,00,00,00	Share Capital	1,00,00,00
Total	2,00,00,00	Reserves	1,00,00,00
		Total	2,00,00,00

We can view detailed balance Sheet by using F1: Detailed or in condensed form.

Also we can see the balance sheet on different dates like on 1st April, 2025 and 1st May, 2025 and the same will show effect on stock valuation on different dates. The balance sheet gets updated automatically after each transaction once recorded.

(ii) Profit and Loss Account : Profit and Loss Account is a financial statement which displays and Expense Statement for a specified period.

It gets updated automatically after each transaction and displays reports based on primary groups. We can view Profit and Loss Account on Gateway of Tally under Reports. Alternatively, if you have set 'Use separate menu for Final Accounts Statements as yes' in General Configurations, then you can find Profit and Loss Account under 'Final Accounts'. You can view detailed Profit and Loss Account by using F1: Detailed or in condensed form.

The Profit and Loss Account of Surbhi Ltd. will appear as below.

Particulars	Amount	Particulars	Amount
Income	1,00,00,00	Expenses	1,00,00,00
Profit	1,00,00,00	Net Profit	1,00,00,00
Total	1,00,00,00	Total	1,00,00,00

Also we can see the Profit and Loss Account on different dates like on 1st April, 2025 and 1st May, 2025 and the same will show effect of stock and expenses and income on different dates.

(iii) Trial Balance : A trial balance is a book-keeping worksheet in which the balances of all ledgers are compiled into debit and credit columns. The objective is to ensure arithmetical accuracy. The total of debit and credit should be equal. A trial balance is usually prepared at the end of reporting period. We can view Trial Balance on Gateway of Tally under Reports and by using F1: Detailed or in condensed form.

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For Delivery Note, Receipt, Rejection In and Rejection Out, the option provided in the Stock Journal, the option provided in the voucher is not available.

For Stock Journal, Rejection, is not available.

5. Enable Print voucher after saving to print every voucher after entering it.
6. Set the Default title to print on invoice to print the same title for POS invoice.
7. Select the bank in Default bank option to print the default bank ledger when the option Print Bank Details is enabled in a Sales voucher.
8. Enter the Default jurisdiction to be printed on the invoice, if required.
9. Create a voucher class in the Name of Class field, if required. The completed Voucher Type Creation screen appears as shown below:

[illegible]

10. Press Enter to save.

- To create a Sales Voucher in Tally, Here are the exact steps.
- From Gateway of Tally, go to Accounting Voucher.
- From there select Sales from the right hand sidebar or simply press F8.
- After selecting Sales, we have to pass Sales Entry. As we have already created the required ledgers, just pass the entry as shown in the picture below.

Page No.	Date	Page No.	Date
1	1/1/2018	1	1/1/2018
2	2/2/2018	2	2/2/2018
3	3/3/2018	3	3/3/2018
4	4/4/2018	4	4/4/2018
5	5/5/2018	5	5/5/2018
6	6/6/2018	6	6/6/2018
7	7/7/2018	7	7/7/2018
8	8/8/2018	8	8/8/2018
9	9/9/2018	9	9/9/2018
10	10/10/2018	10	10/10/2018
11	11/11/2018	11	11/11/2018
12	12/12/2018	12	12/12/2018
13	13/13/2018	13	13/13/2018
14	14/14/2018	14	14/14/2018
15	15/15/2018	15	15/15/2018
16	16/16/2018	16	16/16/2018
17	17/17/2018	17	17/17/2018
18	18/18/2018	18	18/18/2018
19	19/19/2018	19	19/19/2018
20	20/20/2018	20	20/20/2018
21	21/21/2018	21	21/21/2018
22	22/22/2018	22	22/22/2018
23	23/23/2018	23	23/23/2018
24	24/24/2018	24	24/24/2018
25	25/25/2018	25	25/25/2018
26	26/26/2018	26	26/26/2018
27	27/27/2018	27	27/27/2018
28	28/28/2018	28	28/28/2018
29	29/29/2018	29	29/29/2018
30	30/30/2018	30	30/30/2018
31	31/31/2018	31	31/31/2018
32	32/32/2018	32	32/32/2018
33	33/33/2018	33	33/33/2018
34	34/34/2018	34	34/34/2018
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39	39/39/2018	39	39/39/2018
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41	41/41/2018	41	41/41/2018
42	42/42/2018	42	42/42/2018
43	43/43/2018	43	43/43/2018
44	44/44/2018	44	44/44/2018
45	45/45/2018	45	45/45/2018
46	46/46/2018	46	46/46/2018
47	47/47/2018	47	47/47/2018
48	48/48/2018	48	48/48/2018
49	49/49/2018	49	49/49/2018
50	50/50/2018	50	50/50/2018
51	51/51/2018	51	51/51/2018
52	52/52/2018	52	52/52/2018
53	53/53/2018	53	53/53/2018
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68	68/68/2018	68	68/68/2018
69	69/69/2018	69	69/69/2018
70	70/70/2018	70	70/70/2018
71	71/71/2018	71	71/71/2018
72	72/72/2018	72	72/72/2018
73	73/73/2018	73	73/73/2018
74	74/74/2018	74	74/74/2018
75	75/75/2018		

Enter to save it.

After writing the entry, press **F5 to save the Purchase Voucher in Tally:**

- **Creating a Purchase Entry**
- In order to run a business, we know that Sales are necessary.
- In selling we need to have something to sell.
- That is where we purchase things in a simple business and sell it at a higher price to earn profit.
- So, let's see how we can create a purchase entry in Tally with very much ease:
- From Gateway of Tally, go to Accounting Vouchers.
- From there select Purchases from the right hand sidebar or just simply press F9.
- After selecting Purchases, we have to pass a Purchase Entry.
- I am purchasing Rs. 10,000 worth of goods from Rohan.
- After we have perfectly writing the entry as shown in the picture, press Enter to save it.

[illegible]

Ans. (a) For a period of one month

(35) Profit or Loss on revaluation at the time of retirement must be transferred to the partners in :

- (a) Capital Ratio
- (b) Old profit sharing ratio
- (c) Gaining ratio
- (d) None of these

Ans. (b) Old profit sharing ratio

(36) Partnership Act provided that interest on amount left by the retiring partner be paid at :

- (a) 5%
- (b) 6%
- (c) Bank rate
- (d) None of these

Ans. (b) 6%

(37) In the absence of any contract to the contrary, Capital profit on dissolution of a Partnership Firm is shared amongst partners :

- (a) in capital ratio
- (b) in profit sharing ratio
- (c) Equally
- (d) None of these

Ans. (b) in profit sharing ratio.

(38) The Capital accounts are closed in case of firm's dissolution :

- (a) By Balance
- (b) By Bank A/c
- (c) By Purchase A/c
- (d) By P/L A/c

Ans. (b) By Bank A/c

(39) The balance of all assets are transferred to Realization account in firms dissolution :

- (a) On Book Value
- (b) On Market Value
- (c) On Purchase Value
- (d) None of these

Ans. (a) On Book Value.

(40) Who is the marketer of Tally?

- (a) Tally Package Pvt. Ltd.
- (b) Tally Gold Pvt. Ltd.
- (c) Tally Solutions Pvt. Ltd.
- (d) None of the above

Ans. (c) Tally Solutions Pvt. Ltd.

(41) Who is the developer of Tally?

- (a) Wally Feurzeig
- (b) John G. Kemeny
- (c) Nandan M. Nilekani
- (d) Shyam Sundar Goenka

Ans. (d) Shyam Sundar Goenka

(42) What is the Short-cut key for quitting tally?

- (a) Alt + Ctl + Q
- (b) Alt + Q
- (c) Ctl + Q
- (d) Alt + F2 + Q

Ans. (b) Alt + Q

(43) What does tally run on?

- (a) Windows
- (b) Tally Solutions
- (c) ERP Module
- (d) Tally Gold Edition

Ans. (a) Windows

(44) What is Short-cut key for selecting company?

- (a) Alt + F1
- (b) F1
- (c) Ctl + F1
- (d) Alt + Ctl + F1

Ans. (a) Alt + F1

(45) What are the two ledgers that is by default provided by tally?

- (a) Cash a/c & Bank a/c
- (b) Bank a/c & P/L a/c
- (c) Cash a/c & P/L a/c
- (d) None of the above

Ans. (a) Cash a/c & Bank a/c

(46) How to activate calculator in tally anywhere?

- (a) Alt + C
- (b) Ctl + N
- (c) Ctl + Alt + N
- (d) Ctl + R

Ans. (a) Alt + C

(47) What are the languages required for tally?

- (a) C
- (b) C++
- (c) C & C++
- (d) None of the above

Ans. (b) C++

(48) What is Primary Key?

(a) A primary key is a maximal set of attributes in a table that uniquely identifies tuples in that table.

(b) A primary key is a minimal set of attributes in a table that uniquely identifies tuples in that table.

(c) A primary key is a unique identifier.

(d) Both b & c

Ans. (d) Both b & c

(49) What is the short-cut key for back-up?

- (a) Shift + Tab
- (b) Alt + Tab
- (c) Shift + Ctl + Tab
- (d) None of the above

Ans. (a) Shift + Tab

(50) What is the short-cut to copy text from Tally?

- (a) Ctl + Alt + C
- (b) Alt + C
- (c) Ctl + Shift + C
- (d) Alt + Shift + C

Ans. (a) Ctl + Alt + C

(51) What is the short-cut to paste text from Tally?

- (a) Ctl + Shift + V
- (b) Alt + V
- (c) Ctl + Alt + V
- (d) Alt + Shift + V

Ans. (c) Ctl + Alt + V

(52) How can you file an income tax return in India?

- (a) www.gst.gov.in
- (b) www.mca.gov.in
- (c) www.incometaxindiaefiling.gov.in
- (d) None of the above

Ans. (c) www.incometaxindiaefiling.gov.in

Ans. (c) www.incometaxindiaefiling.gov.in

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- (b) Cash is matched with profits
(c) Expenses of a period should be matched with related revenues
(d) Liabilities are matched with capital
- Ans. (c) Expenses of a period should be matched with related revenues

(18) Which book is used to record returns of goods sold?

- (a) Purchase Book (b) Sales Book
(c) Sales Return Book (d) Journal Proper

Ans. (c) Sales Return Book

(19) Provision of depreciation is done by :

- (a) Fixed assets (b) Sales expenses
(c) Floating assets (d) Invisible assets

Ans. (a) Fixed assets

(20) Outstanding expenses are shown in the form of :

- (a) An asset (b) A liability
(c) A income (d) An expense

Ans. (b) A liability

(21) Accounting Standard-6 is applicable for the following :

- (a) Goodwill (b) Animal stock
(c) Gardens and parks (d) Tools and Machinery

Ans. (d) Tools and Machinery

(22) Journal proper records

- (a) all transactions (b) all cash transactions
(c) all credit transactions
(d) all transactions not recorded in any of subsidiary books

Ans. (d) all transaction not recorded in any of subsidiary books

(23) The purchases journal contains :

- (a) All purchases
(b) All purchases of merchandise
(c) Credit purchase of merchandise
(d) Cash purchase of merchandise

Ans. (c) Credit purchase of merchandise

(24) Under diminishing balance method of charging depreciation, the depreciation :

- (a) Increases every year (b) Decreases every year
(c) Remains constant every year (d) None of these

Ans. (b) Decreases every year

(25) Balancing of account means :

- (a) Total of debit side (b) Total of credit side
(c) Difference in total of debit and credit
(d) None of these

(c) Difference in total of debit and credit will be entered in

Ans. (c) Difference in total of debit and credit will be entered in

(26) Suspense account

Ans. (c) Difference in total of debit and credit will be entered in

(c) Difference in total of debit and credit will be entered in

Ans. (c) Difference in total of debit and credit will be entered in

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(c) Difference in total of debit and credit will be entered in

Objective Type Questions

(1) The Ancient Indian accounting system was based on:

- (a) Double-entry system
- (b) Single-entry system
- (c) Trial balance
- (d) Cash basis only

Ans. (b) Single-entry system

(2) The Babi-Khata used in Ancient Indian accounting is similar to:

- (a) Ledger
- (b) Balance sheet
- (c) Trial Balance
- (d) Journal

Ans. (a) Ledger

(3) Which is a major merit of the Ancient Indian accounting system?

- (a) Highly standardized
- (b) Simple and easy to use
- (c) Globally accepted
- (d) Used computerized methods

Ans. (b) Simple and easy to use

(4) A key demerit of the Ancient Indian accounting system was:

- (a) Over-dependence on technology
- (b) Lack of double-entry system
- (c) Too many auditors involved
- (d) Too much accuracy

Ans. (b) Lack of double-entry system

(5) The English system of accounting is also known as:

- (a) Cash system
- (b) Single-entry system
- (c) Double-entry system
- (d) Hybrid system

Ans. (c) Double-entry system

(6) Who is considered the father of the double-entry system of bookkeeping?

- (a) Luca Pacioli
- (b) Kautilya
- (c) Adam Smith
- (d) Karl Marx

Ans. (a) Luca Pacioli

(7) In the double-entry system, every transaction has:

- (a) Only a debit
- (b) Only a credit
- (c) Both debit and credit aspects
- (d) No accounting entry

Ans. (c) Both debit and credit aspects

(8) Which of the following is NOT a subsidiary book?

- (a) Sales book
- (b) Purchase book
- (c) Journal Proper
- (d) Trial Balance

Ans. (d) Trial Balance

(9) Journal is also known as:

Financial Accounting

- (a) Book of final entry
- (b) Book of original entry
- (c) Book of balance
- (d) Book of ledgers

Ans. (b) Book of original entry

(10) The main purpose of preparing a ledger is to:

- (a) Record transactions in chronological order
- (b) Classify transactions under specific heads
- (c) Prepare a list of balances
- (d) Record only cash transactions

Ans. (b) Classify transactions under specific heads

(11) Which of the following is NOT an example of a real account?

- (a) Furniture A/c
- (b) Cash A/c
- (c) Building A/c
- (d) Rent A/c

Ans. (d) Rent A/c

(12) The accounting equation is expressed as:

- (a) Assets = Liabilities - Capital
- (b) Assets = Capital - Liabilities
- (c) Assets = Liabilities + Capital
- (d) Assets + Liabilities = Capital

Ans. (c) Assets = Liabilities + Capital

(13) Trial Balance is prepared to check:

- (a) Cash balance
- (b) Arithmetic accuracy of books
- (c) True profit of business
- (d) Valuation of assets

Ans. (b) Arithmetic accuracy of books

(14) Which of the following is NOT a component of the final accounts?

- (a) Profit and Loss Account
- (b) Balance Sheet
- (c) Trading Account
- (d) Journal Proper

Ans. (d) Journal Proper

(15) The balance sheet is prepared to show:

- (a) Profit or loss of the year
- (b) Financial position of the business
- (c) Cash flow
- (d) Day-to-day expenses

Ans. (b) Financial position of the business

(16) Which principle states that both debit and credit must be equal?

- (a) Dual Aspect Principle
- (b) Going Concern Principle
- (c) Prudence Principle
- (d) Matching Concept

Ans. (a) Dual Aspect Principle

(17) According to the matching principle:

- (a) Only revenue is recorded

Ans. (b) FALSE

(88) A company can file its return electronically without digital signature.

(a) TRUE

(b) FALSE

Ans. (b) FALSE

(89) A firm or an individual or a Hindu Undivided Family (HUF) whose books of account are required to be audited under section 44AB shall furnish the return of income electronically under digital signature.

(a) TRUE

(b) FALSE

Ans. (a) TRUE

(90) A resident and ordinarily resident individual/HUF having any assets (including financial interest in any entity) located outside India or signing authority in any account located outside India shall furnish the return of income electronically with digital signature.

(a) TRUE

(b) FALSE

Ans. (b) FALSE

(91) A partnership firm required to get its books of account audited shall file the return of income electronically with or without digital signature

(a) TRUE

(b) FALSE

Ans. (b) FALSE

(92) Where the return of income is electronically filed without digital signature and without using electronic verification code, then a copy of ITR-V, duly signed by the taxpayer, is to be sent (within the period specified in this regard, i.e., 120 days) by ordinary post or speed post or courier to "Income-tax Department - CPC, Post Bag No. 1, Electronic City Post Office, Bengaluru-560100 (Karnataka).

(a) TRUE

(b) FALSE

Ans. (b) FALSE

(93) To get Payroll Reports choose

(a) Gateway of Tally > Display

(b) Gateway of Tally > Display > Statement of Accounts

(c) Gateway of Tally > Display > Statement of Payroll

(d) Gateway of Tally > Display > Payroll Reports

Ans. (d) Gateway of Tally > Display > Payroll Reports

(94) TDS deduction entry can be made through

(a) Payment Voucher

(b) Journal Voucher

(c) Receipt Voucher

Ans. (b) Journal Voucher

(d) All of the above

(95) Which shortcut key is pressed to create a new Ledger during voucher entry?

(a) Alt + C

(b) Alt + X

(c) Alt + D

(d) Alt + A

Ans. (a) Alt + C

(96) To register and create account for e filing of Income Tax which is the required documents

(a) Permanent Account Number

(b) Tax Deduction Account Number

(c) TDS Certificate

(d) Form 16

Ans. (a) Permanent Account Number

(97) Following is an annual statement maintained for disclosing the details of tax credit in a tax-payer's account as per the database of the IT Department:

(a) 234C

(b) 26AS

(c) ITR V

(d) None of the above

Ans. (b) 26AS

(98) Transfer of materials from one godown to another godown, use

(a) Manufacturing Journal

(b) Stock Journal

(c) Purchase Journal

(d) Both A & B

Ans. (b) Stock Journal

(99) To save entry without any amount, we have to use

(a) Cost Center

(b) Maintain Multiple godown

(c) Allow 0 value entry

(d) Use Rejection notes

Ans. (c) Allow 0 value entry

(100) What is the Short-cut used for Sales Order in Tally?

(a) Alt + F4

(b) Alt + F5

(c) Alt + F7

(d) Alt + F8

Ans. (b) Alt + F5

(101) We can repeat narration by pressing:

(a) Shift + R

(b) Alt + R

(c) Ctrl + R

(d) Alt + Shift + R

Ans. (b) Alt + R

(102) In ancient India, business accounts were maintained by

(a) Zamindars

(b) Kshatriyas

(c) Lekhakas (scribes) and Mahajans

(d) Soldiers.

Ans. (c) Lekhakas (scribes) and Mahajans.

(103) Compared to the English accounting system, the Indian ancient system lacked:

(a) Ledger preparation

(b) Balance sheet presentation

(c) Trial Balance

(d) None of the above

Ans. (a) Ledger preparation

(104) The following is not a feature of the Indian ancient system:

(a) Ledger preparation

(b) Balance sheet presentation

(c) Trial Balance

(d) None of the above

Ans. (c) Trial Balance

- (69) A report generator is used to
 (b) Print files on paper.
 (a) Delete files
 (c) Data entry.
 (d) Update files

Ans. (b) Print files on paper.

- (70) Which option is used in Tally to make changes in created company?
 (a) Shut Company
 (b) Select Company
 (c) Alter
 (d) None of these

Ans. (c) Alter

- (71) Salary Account comes under which head
 (a) Indirect Incomes
 (b) Indirect Expenses
 (c) Direct Incomes
 (d) Direct Expenses

Ans. (b) Indirect Expenses

- (72) To creating voucher, step after GOT is
 (a) Accounts info.
 (b) Accounting vouchers
 (c) Inventory vouchers
 (d) Inventory info.

Ans. (a) Accounts info.

- (73) Which menu appears after starting tally for the first time?
 (a) Gateway of Tally
 (b) Company Info
 (c) Display
 (d) None of these

Ans. (b) Company Info

- (74) Which shortcut key is used in Company Features screen to use Inventory features in Tally?
 (a) F1
 (b) F2
 (c) F4
 (d) F3

Ans. (b) F2

- (75) We deduct _____ after computing tax liability, to determine the actual tax payment.
 (a) Advance tax
 (b) TDS
 (c) TCS
 (d) Both i & ii

Ans. (d) Both i & ii

- (76) Which shortcut key to zoom in Tally?
 (a) Alt+P
 (b) Alt+Z
 (c) Alt+Cvt+Z
 (d) None of these

Ans. (a) Alt+P

- (77) Which shortcut key is used in company for statutory and taxation in Tally?
 (a) F11 And Then F3
 (b) F12 And Then F3
 (c) Alt+F11
 (d) Alt+Cvt+F11

Ans. (a) F11 And Then F3

- (78) Which key is used to post credit purchase in Tally?
 (a) F8
 (b) F9

- (c) F10
 (b) F9
 (d) F2

- Ans. (b) F9
 (79) Where do we record transactions of Salary, Rent paid?
 (a) Contra
 (b) Journal
 (c) Receipt
 (d) Payment

Ans. (d) Payment

- (80) In Tally functions of F3 button
 (a) To close the company
 (b) To select the different company
 (c) To change the current date
 (d) To select the company

- Ans. (b) To select the different company
 (81) Select the right usefulness of Tally vault Password
 (a) It will lock the period of Company Sales
 (b) It will lock the period of Company Sales
 (c) It will lock all voucher entries for that Company
 (d) It will not show the Company Name in the Company Select List

- Ans. (d) It will not show the Company Name in the Company Select List
 (82) In Tally to make journal entry select the right option
 (a) F7
 (b) F10
 (c) F11
 (d) Alt+F7

Ans. (a) F7

- (83) Select Credit Note Voucher with shortcut key
 (a) Alt+F8
 (b) Cvt+F8
 (c) Shift+F8
 (d) None of the above

Ans. (b) Cvt+F8

- (84) For Reconciliation of Bank in bank ledger press
 (a) F3
 (b) F5
 (c) F10
 (d) F12

Ans. (b) F5

- (85) To record purchase of Fixed Assets in credit, pass the entry from
 (a) Payment mode
 (b) Receipt Mode
 (c) Journal Mode
 (d) Contra Mode

Ans. (c) Journal Mode

- (86) Patent account falls under :
 (a) Investments
 (b) Liabilities
 (c) Current Assets
 (d) None of these

Ans. (d) None of these

- (87) The return of income can be filed with the Income-tax Department in electronic mode only.
 (a) TRUE
 (b) FALSE

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(53) What are the details required for filing income tax returns?

- (a) PAN, Aadhar Card, Current address and Bank Details
- (b) Income proofs and information about all the deductions claimed under Section 80
- (c) Tax payment information such as TDS and advance tax payments
- (d) All of the above

Ans. (d) All of the above

(54) What is the benefit of income tax return file?

- (a) Claim Tax Refund
- (b) Income & Address Proof
- (c) Avoid Penalty and Prosecution
- (d) All of the above

Ans. (d) All of the above

(55) What is the due date of submission of return for an individual?

- (a) 31st July
- (b) 31st August
- (c) 30th September
- (d) 31st October

Ans. (a) 31st July

(56) What is the due date of submission of return for a company?

- (a) 31st July
- (b) 31st August
- (c) 30th September
- (d) 31st October

Ans. (c) 30th September

(57) What is the Short-cut key for Payments in Tally?

- (a) F3
- (b) F4
- (c) F5
- (d) F6

Ans. (c) F5

(58) What is the short-cut key for Receipts (transaction for direct cash) in Tally?

- (a) F4
- (b) F5
- (c) F6
- (d) F7

Ans. (c) F6

(59) Which Shortcut key is used to create a new company in Tally?

- (a) Ctrl+F3
- (b) Alt+F3
- (c) Ctrl+F4
- (d) Alt+F4

Ans. (b) Alt+F3

(60) Create a new company in Tally from Company Info. menu is possible by selecting:

- (a) New Company
- (b) Start Company
- (c) Create
- (d) Create Company

Ans. (d) Create Company

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(61) The option used in Tally to close opened Company is:

- (a) Alter Company
- (b) Close Company
- (c) Shut Company
- (d) Exit Company

Ans. (c) Shut Company

(62) The return of income is to be furnished in

- (a) ITNS281
- (b) Form 26AS
- (c) Form26Q
- (d) ITR 1 - to 7 (as the case may be)

Ans. (d) ITR 1 - to 7 (as the case may be)

(63) Which one from the following options is the acknowledgement of filing the return of income?

- (a) ITR4
- (b) ITR - V
- (c) Form26AS
- (d) Form 26QBR

Ans. (b) ITR - V

(64) TDS (Tax deducted at source) was deducted on interest from tax-saving Fixed Deposits (FDs) The tax payer-----

- (a) Will not have to report the income because tax has already been paid.
- (b) Has to add the income to his annual income and pay additional tax if necessary.
- (c) Can claim a refund of the TDS because these were tax saving fixed deposit
- (d) Any of the above.

Ans. (a)

(65) Has to add the income to his annual income and pay additional tax if necessary

(66) Number of digit in a PAN card is:

- (a) 7
- (b) 9
- (c) 10
- (d) 8

Ans. (c) 10

(67) Which sub menu is used to create new ledger, groups and voucher types in tally

- (a) Account Info
- (b) Accounting Vouchers
- (c) Inventory Vouchers
- (d) Inventory Info

Ans. (a) Account Info

(68) If the recipient of income doesn't furnish his PAN to deductor then TDS is to be deducted at which rate?

- (a) 10%
- (b) 15%
- (c) 5%
- (d) 20%

Ans. (d) 20%

(69) Related fields in a database are grouped to form a

- (a) Data file.
- (b) Data record.
- (c) Bank.
- (d) Menu.

Ans. (b) Data record.

(c) Double-entry recording (d) All of the above.

Ans. (d) All of the above.

(104) The fundamental principle of double-entry is :

- (a) Every debit has a corresponding credit
- (b) Only cash transactions are recorded
- (c) Assets = Liabilities + Income
- (d) No verification of transactions.

Ans. (a) Every debit has a corresponding credit.

(105) The subsidiary books are maintained for :

- (a) Transactions of small importance only
- (b) Only cash transactions
- (c) Specialised transactions like sales, purchases, returns
- (d) International transactions only.

Ans. (c) Specialised transactions like sales, purchases, returns.

(106) Which of the following is NOT a subsidiary book?

- (a) Purchase book
- (b) Sales book
- (c) Cash book
- (d) Balance sheet.

Ans. (d) Balance sheet.

(107) The trial balance is prepared to :

- (a) Find out financial position
- (b) Test arithmetical accuracy of ledger balances
- (c) Record all transactions
- (d) Verify auditing rules.

Ans. (b) Test arithmetical accuracy of ledger balances.

(108) The financial statement that shows assets liabilities and capital is :

- (a) Profit & Loss A/c
- (b) Trial balance
- (c) Balance sheet
- (d) Ledger.

Ans. (c) Balance sheet.

(109) All payments are entered under Accounting Voucher in

Tally through

- (a) F5
- (b) F6
- (c) F7
- (d) F8

Ans. (a) F5

(110) For Bad Debt Recovery which group required to be selected

- (a) Indirect income
- (b) Direct income
- (c) Direct expenses
- (d) Indirect expenses

Ans. (a) Indirect income

(111) Is it possible to load companies with the same name at the same time?

- (a) Yes
- (b) No
- (c) Always possible
- (d) Sometimes possible

Ans. (b) No

